

Management Discussion & Analysis

Performance during the Financial Year 2025-26

Amidst a volatile business environment characterised by significant geopolitical events and global trade uncertainty, the Company delivered yet another year of strong performance, achieving a robust 28% revenue growth and crossing a commendable milestone of ₹ 76,000+ crore (excluding bullion sales) in consolidated revenues for the year.

- The Analog Watch business continued its strong growth trajectory, supported by sustained product innovation, with a strong and focused premiumisation strategy aimed at leveraging the rising aspirations and increasing disposable incomes of the Indian consumer.
 - The Jewellery business delivered one of its strongest topline growth performances, driven by a well executed competitive strategy, continued thrust on product and retail innovation, and partially aided by sharp and continuous increase in gold prices. While elevated gold prices led to moderation in demand at lower price points and resulted in single digit buyer growth, the Company witnessed strong growth in higher price bands. Studied jewellery growth remained healthy, which was driven by differentiated product offerings and brand-led initiatives.
 - The EyeCare business witnessed a return to double-digit growth trajectory in the 2nd half of Financial Year 2025-26 and is poised for sustained growth in Financial Year 2026-27, led by Vision meets Fashion strategy, retail transformation initiatives, and strategic collaboration with leading international brands.
 - Emerging businesses performed well, led by Fragrances & Women's Bags, while the Indian Dress Wear business witnessed a relatively muted performance.
 - The International Business expansions progressed well in North America; however, the GCC region was impacted during March due to geo-political developments. Overall, the International jewellery business recorded healthy growth supported by new store expansions and same store growth.
 - CARATLANE, the wholly owned subsidiary of the Company delivered strong double-digit profitable growth amidst growing competitive intensity and volatile gold prices, driven by continued expansion of its retail footprint significantly, while strengthening its omnichannel presence.
 - TEAL, the wholly owned subsidiary of the Company in the B2B Engineering segment, delivered one of its best performances driven by strong growth in its Automation Solutions business, while the opportunities in the Manufacturing Services business continue to expand across the emerging sectors.
- Strategic Developments:**
- ◆ Launched Lab Grown Diamond (LGD) jewellery under the brand 'beYon'
 - ◆ Acquired a 67% stake in Damas Jewellery business through its Wholly Owned Subsidiary, Titan Holdings International FZCO

The Company remains focused on innovation led topline growth, market share expansion, and strengthening the portfolio of aspirational brands to cater to the evolving needs of the consumers in a premiumising India. Continued investments in Manufacturing, Retail and Digital capabilities are expected to support long term growth and competitiveness.



“The Company remains confident of navigating the evolving macroeconomic landscape through its strong balance sheet, differentiated customer offerings and continued investments in digital, design and supply chain capabilities. While remaining watchful of global uncertainties, the Company is well positioned to deliver sustainable growth and long-term value creation for its stakeholders.”

Ashok Sonthalia, Chief Financial Officer



WATCHES DIVISION

The Watches Division delivered a strong performance during Financial Year 2025-26, recording a revenue growth of 17% year on year in Net Sales Value. Analog watches segment grew by 24%, outperforming the market growth of 18%, resulting in a gain in market share. The Division's share in the analog segment stands at approximately 27%.

Premiumisation continued to be a key structural driver of growth in the Titan, Raga, Edge and Xylys brands. Equally, mass fashion, on the back of innovative, cost reengineered products and rigorous go-to-market strategies aided high double-digit growths in the Sonata and Fastrack brands.

The category continued to witness a shift in consumer behaviour with Analog watches being increasingly perceived as "Markers of Personal Journeys". Brand and product narratives that integrated meaning, artistry and horology resonated strongly with consumers, reinforcing the premiumisation trend.

During the year, the Division strengthened its innovation pipeline with several notable launches. These include the launch of 'Wandering Hour', a limited edition, space inspired stellar collection, with in-house automatic movement capabilities; "Jalsa by Nebula", a breathtakingly rare in-house designed tourbillon movement masterpiece, priced at ₹ 40 lakhs, marked the Company's official entry to the Grand Prix d'Horlogerie de Genève (GPHG) 2025; and the introductions under the EDGE range, including the 'Ultra Slim 3.3 mm' and 'Fumage' collections. The Company also introduced "Titan of the Year", a whole new brand platform recognising individuals who have put India on the global map, with the inaugural edition honouring World Chess Champion Mr. Gukesh Dommaraju, through a limited-edition timepiece.

Women consumers continued to be an important growth segment for the Division. Innovations in Raga Cocktail, Glimmers, and Ethereal delivered on

both product artistry and a new bold identity for the Indian women, growing the Raga brand by 24%.

The wearables segment continued to witness a shift in consumer preferences, with a moderation in demand from casual users. However, a focused segment of consumers seeking fitness, health and productivity solutions continue to present opportunities, particularly in the mid-to-premium price segments.

The Division expanded its retail footprint to a total of 1,292 stores with a network of 743 Titan World, 288 Helios, 252 Fastrack and 9 Helios Luxe stores. As a result of the transformation activities undertaken in the last two years, the Multi-Brand Retail channel galloped to an impressive growth of 24%. Department stores and marketplace E-commerce channels also registered healthy growth and increase in market share for the Division's brands.



On the manufacturing front, the Division continued to strengthen its capabilities with significant progress in research and development and increasing levels of automation. Production volumes scaled to record levels to meet strong demand, supported by focus on quality, efficiency and timely delivery.

Outlook

Financial Year 2026-27 is expected to see a continued structural shift toward analog watches. The premium segment (above ₹ 25,000) is expected to remain robust, supported by the European Free Trade Association trade deal on Swiss watches, while the sub ₹ 25,000 is also expected to deliver double-digit growth amidst heightened competition from other players. The Division remains well positioned to capitalise on these realities and is poised for another year of strong growth.



“Over the past year, we have seen encouraging signs that Indian watchmaking is earning greater global recognition. Whether through the craftsmanship behind Nebula’s in-house Flying Tourbillon, the international acclaim for Titan Edge, or the continued evolution of our design language across brands, our focus has remained the same — to create products with distinct character and enduring value. The next phase for the Watches Division is about building on this momentum through innovation, stronger storytelling, specialised retail, and deeper horological expertise, so that India can emerge as a more meaningful voice in the world of watchmaking.”

Kuruvilla Markose, CEO - Watches



JEWELLERY DIVISION

The Financial Year 2025-26 was a year that saw a continued rise in gold prices, from about 33% year on year in Quarter 1 to 78% year on year in Quarter 4, and increased competitive intensity driven by formalisation of the jewellery industry. The volatile gold prices impacted consumer sentiment, which was subdued in the first half of the year and turned favourable in the second - across gold and studded jewellery as well as coins.

In this environment, the Division delivered a strong performance, recording a very healthy 33% growth over the previous fiscal, with same store growth of 27%. Studded jewellery also witnessed healthy growth at 23%, supported by improved buyer traction and stronger sales momentum in the second half of the year.

Tanishq continued to drive its Retail Transformation programme with the expansion of larger, re-modelled stores taking its retail network to 528 stores during the year including the first Rivaah Wedding Lounge in New Delhi. Growth was further supported by Tanishq’s regionalisation initiatives, introduction of contemporary and lightweight collections, strengthening of omnichannel capabilities and sustained investments in high-value wedding collections across gold and studded jewellery. In response

to elevated gold prices, the Company introduced 18kt gold and 14kt studded jewellery to enhance affordability and actively encouraged exchange of old gold to minimise gold imports and stimulate demand.

On the innovation front, Tanishq embarked on an industry-first initiative to establish ‘Diamond Expertise Centres’ across stores, aimed at enhancing transparency and consumer confidence. These centres integrate advanced

technology and expert gemmologists to enable detection of lab-grown diamonds, grading of natural diamonds and assessment of solitaire performance, in collaboration with international partners such as De Beers.

The Division also piloted its first exclusive lab-grown diamond store under the brand “beYon”, with plans for calibrated expansion as the category evolves, given the significant under-penetration of diamonds in the Indian market.

Mia by Tanishq, a sub brand of Tanishq crossed the ₹ 2,000 crore milestone during the year, registering a topline growth of over 67%, driven by strong network expansion, innovative product offerings and marketing campaigns. The brand expanded its presence to 292 stores across 100+ towns and continued to resonate strongly with young, modern consumers through distinctive designs, compelling brand narratives and digital-first engagement strategies. Mia by Tanishq is also retailed through 500+ Tanishq stores, enabling the recruitment of new, young and first-time precious jewellery buyers.

CaratLane had another very successful year with over 30% growth and added 50 stores with current store count at 378 and 12 Shaya stores. Internationally, the brand has two stores in the US, New Jersey and Dallas.

In Financial Year 2025-26, a large thrust was put in improving brand awareness through several national and regional engagement campaigns, besides strengthening digital presence.

A few category shaping bold initiatives like the launch of 9 kt jewellery, Shaya diamond (natural diamond in silver) at starting price of ₹5000/- upgrading default diamond quality to far superior FG colour category apart from a stream of new innovative designs reinforced its design leadership in the fine jewellery segment.

Zoya, the luxury brand, expanded its presence across 9 cities in India through 13 exclusive boutiques and select galleries within Tanishq stores. It is one of India's largest luxury jewellery brands and has built an enviable base of discerning, well-heeled HNI clients. The brand's appeal is driven by a deeply meaningful brand essence, innovative and differentiated design stories, intricately crafted products featuring rare stone cuts, intimate retail experiences and curated, personalised client experiences.

The Division's portfolio strategy, anchored by a differentiated bouquet of brands, positions it well to capitalise on the structural shifts in the industry, particularly premiumisation and formalisation, enabling sustained growth across segments.



International

The Financial Year 2025-26 saw periods of turbulence in consumer sentiment, operations and demand across key international markets.

In the United States, elevated tariff regimes necessitated agile supply chain redesign and sourcing strategies to mitigate impact. In the Middle East, the Division focused on seamless integration and collaboration with the Damas business during the year, while also ensuring continuity of operations and prioritising employee well-being amidst challenging geopolitical conditions towards the year end.

Integrated Supply Chain Management

The Division continues to lead in responsible sourcing, with over 90% of its vendors consistently sustaining a "Standard" rating under the 4P framework—People, Place, Process, and Planet, through a rigorous third-party assessment program. Ethical sourcing remains a cornerstone, with gold procurement from London Bullion Market Association (LBMA) certified sources and through recycled customer-exchanged gold. In addition, the Division maintains 100% ethical diamond sourcing through a structured Titan Supplier Engagement Protocol, setting strong benchmarks

for the industry. To further strengthen authenticity, advanced analytical laboratories have been established to certify and ensure the authenticity of natural gemstones and diamonds used

in the Company's jewellery. Continuous manufacturing improvements have also strengthened product quality, craftsmanship and finish, enhancing overall consumer appeal.



Outlook

Gold prices are expected to remain elevated and volatile, given ongoing geopolitical developments and global conflicts leading to macroeconomic uncertainties. In this environment, there could be shifts in demand segments and the Division will continue to prioritise market share led, topline growth supported by sustained investments in retail expansion, product innovation, customer engagement, new collections, manufacturing excellence and brand building. Whilst outlook in India remains positive by favorable demographics, and the continued relevance of jewellery as a store of value, short-term demand fluctuations may persist. The Division expects the international markets to remain dynamic with cautious optimism in the United States and watchfulness in the Middle East in light of the prevailing geopolitical conditions.



“At Tanishq, every idea begins with a simple question: how do we deepen the trust our customers place in us? In FY26, we continued to build on our legacy of transparency and credibility through initiatives such as Diamond Expertise Centres, a reinvigorated Gold Exchange Programme, and new retail experiences like the Rivaah Lounge. Together, these efforts reflect our belief that trust must be continuously earned, strengthened and reimagined for the future.”

Arun Narayan, CEO - Jewellery



EYECARE DIVISION

Financial Year 2025–26 was a strong, execution-led year for the EyeCare Division. The Division delivered a topline of ₹ 1,452 crore (consumer prices), reflecting a 14% growth, significantly ahead of the industry growth range of ~7%–8%.

This performance was driven by a clear strategy of 'Vision meets Fashion'. The Division undertook a significant Retail Transformation Program during the year. This was coupled with continued innovations in frames and lenses, as well as strengthening optometry capabilities.

The Retail Transformation Program involved the renovation of 150 stores, addition of 57 new stores, and rationalisation of 109 under-performing stores. These initiatives enhanced store modernity, improved customer experience and supported stronger conversion.

The Division continued to strengthen its fashion proposition, with strong

momentum across international sunglass brands, resulting in healthy growth and the launch of 'Runway', exclusive premium sunglass destination stores across leading malls and airports. E-commerce also witnessed increased traction, supported by offerings such as "Tees by Fastrack" for value-conscious consumers. Product-led innovations, including 'Switchers' and the 'Glam'

collection, along with collaborations such as Disney and Mission Impossible, further enhanced brand appeal. The Titanium range under the Titan brand continued to drive premiumisation through lightweight, durable and design-led offerings.

Titan Eye+ continued to deepen its Vision proposition through investments



in customer experience and clinical-quality processes. Investments included the Lens App for contactless eye measurements and phoropters across many doors. During the year, a first-of-its-kind partnership was announced with Carl Zeiss Vision Care on its photochromatic offering, introducing state-of-the-art Titan PhotoFusion products for consumers seeking a seamless indoor and outdoor visual experience. The response has been extremely encouraging.

The Division also strengthened its omnichannel presence, with E-commerce leading from the front with over ~55-60 million visits to the website during the year. Website enhancements, supported by the largest selection across Titan, Fastrack and international brands, led to enhanced reach, engagement and improved conversions. The Division remained focused on profitable growth through disciplined execution, portfolio balancing and operational efficiency, while reinforcing its brand promise of expertise, empathy and fashion leadership.

The year also witnessed significant recognition in marketing excellence, with the Company winning three Bronze Lions at Cannes. Campaigns such as the 'Ek Taara Test' further strengthened brand salience and consumer engagement.



Outlook

The eyewear industry continues to present significant growth potential, with a large underserved market for vision correction in India, with an estimated 700 million people in India requiring vision correction and only about 250 million currently addressed. Structural tailwinds such as increased screen time, growing eye health awareness, and premiumisation are expected to support demand. With an expanded retail footprint, a strengthened omnichannel engine, and continued focus on innovation and partnerships, the Division aims to pursue healthy growth while remaining mindful of macro volatility, competition, and cost pressures. The Division will continue to build on its differentiated positioning of professional, empathy-led eye care combined with a fashion forward assortment, while enhancing experience, speed, and consistency across channels.



Building India's most trusted eye care platform requires us to continually raise the bar on both customer experience and clinical excellence. During the year, we strengthened our vision care ecosystem through innovations such as Blue Oleo, Titan PhotoFusion, and the Lens App — bringing greater precision, convenience, and personalisation to consumers. These advancements reflect our commitment to enhancing lives through better vision and style, while setting new benchmarks for the future of eye care in India.



N S Raghavan, CEO - EyeCare



FRAGRANCES & WOMEN'S BAGS

FRAGRANCES

The Fragrances business continues to build very strong customer value proposition by offering high quality products crafted by Master Perfumers under the House of Titan at accessible price points ranging from Fastrack perfumes at ₹ 895/- to SKINN Nox Oud at ₹ 4,995/- per 100 ml, with a wide portfolio in between. The Division has played a significant role in democratising usage of perfume in India, positioning fragrance usage as an essential part of everyday dressing and grooming rituals.

The SKINN brand continues to anchor the portfolio maintaining its position as a leading player across department chains and online channels. During the year, the proposition for Fastrack perfumes gained further traction, with positive consumer response following its repositioning and strengthened product-market fit.

The organised perfume market, estimated at approximately ₹ 4,500 crore, continues to grow at around 15%, supported by increasing consumer adoption. The category remains highly dynamic, with new direct-to-consumer brands entering the market alongside established beauty and fashion players. The growing influence of Middle Eastern brands, supported by strong marketing investments, and rising demand from younger consumers are shaping category trends, particularly in the mass segment.

The Fragrances business grew 38% during the Financial Year 2025–26, driven by E-commerce and own retail network. SKINN continued to innovate and strengthen its presence across premium retail destinations such as malls and airports. Fastrack fragrances also witnessed strong momentum, supported by distinctive packaging, vibrant positioning and targeted distribution strategies aimed at the youth segment.



WOMEN'S BAGS

The Women's Bags business continued to strengthen its value proposition, with IRTH positioned around thoughtfully designed organising and styling solutions for women with active lifestyles. The brand has established strong consumer resonance, supported by its presence across 100+ department stores in over 30 cities and 17 exclusive outlets across 8 cities.

The Fastrack Brand continues to cater to the youth segment through trendy, fashionable designs with exceptional quality, making Fastrack Girls bags an essential wearable fashion accessory. Fastrack Girls bags are widely available across leading online marketplaces and over 100 doors in major department store chains, reinforcing the brand's relevance as an essential fashion accessory for young consumers.

Organised women handbags segment is estimated to have crossed ₹ 3,000 crore growing at ~13% and is estimated to be around 45% of the overall women's handbag market. The category continues to witness a lot of excitement through various new D2C brands, international fashion labels and domestic players.

The Women's Bags business delivered a breakout performance during FY 2025-26, marking a milestone phase in its scale up journey with over one million customers, reflecting strong traction across brands and channels.



Outlook

The Division will continue to focus on scaling its presence across mass and masstige segments, strengthening brand visibility, enhancing product innovation and leveraging omnichannel distribution. With the strong brand equity of SKINN and growing traction for Fastrack fragrances, the business is well positioned to drive sustained growth while expanding market share in a highly competitive landscape

The Division is focused on scaling IRTH's experiential retail footprint, strengthening Fastrack's leadership in the youth segment and driving innovation in design, materials and occasion-led portfolios. Continued investments in omnichannel capabilities and distribution expansion are expected to support growth. The business is positioned as a key emerging growth engine, with a clear focus on building scale.



“FY26 was shaped by ideas that challenged conventions and unlocked new avenues for growth. From pioneering retail experiments like kiosks and IRTH experiences, to building compelling product propositions across fragrances and accessories, to harnessing the scale of e-commerce and quick commerce, we continued to expand how consumers engage with our brands. These ideas not only fuelled growth but also helped us deepen our connection with millions of shoppers across the country.”

Manish Gupta, CEO - Fragrances & Women's Bags



INDIAN DRESS WEAR DIVISION

Taneira maintained its position during Financial Year 2025–26 as a key organised player in India's ethnic wear market, with continued focus on improving retail productivity, enhancing consumer engagement and building brand salience across markets. The brand was recognised as 'Ethnic Fashion Retailer of the Year' at the ET Retail Great Indian Retail Awards for the second consecutive year, reinforcing its differentiated positioning in a largely unorganised category.

During the year, Taneira sharpened its merchandising and design strategies to strengthen price-band wise store assortment, planogramming, merchandise

freshness, and catchment-level product skews. The brand adopted a calibrated retail approach focused on network productivity and consolidation, ending the year with 78 stores across 41 cities.

Brand investments remained focused on strengthening emotional connect and occasion-led relevance through integrated campaigns, while continued engagement initiatives and accessibility programmes supported deeper consumer connect.

On the product front, the Division strengthened its occasion-led portfolio and expanded ready-to-wear offerings, which emerged as an important growth lever. Concurrently, supply chain initiatives were undertaken improving agility, cost efficiency and vendor diversification, enabling better responsiveness and consistent product quality while supporting artisan ecosystems.



Outlook

The Division remains focused on accelerating growth through strengthening retail productivity, expanding reach and driving consumer acquisition, particularly in accessible price segments. With improving brand salience, sharper positioning and strengthening operational fundamentals, Taneira is well positioned to scale in the evolving ethnic wear market.



“ In FY26, RND’s in-house design teams successfully developed new brands and store formats, including beYon, Rivaah by Tanishq, and Titan World 2.0. These initiatives have been met with enthusiastic appreciation from customers and industry experts alike. Our teams consistently adopt a safety-first approach while delivering superior quality with agility and cost efficiency, creating sustainable value for our brands. We look forward to building on this momentum and continuing to deliver excellence and innovation in the years to come. ”

Naveen Dadlani, Head - Retail Network Development

DIGITAL

With AI now becoming mainstream, the world has infinite possibilities. The Company has been able to leverage a continuum of automation, machine learning, deep learning, LLMs, agents to build an intelligent enterprise. Be it enhancing customer experience or improving employee productivity, there are several examples of agents within the Company. There are apps to glean information from thousands of designs, manage assortments or synthesise information and receive curated alerts. The Company has seen the power of LLMs to enable creation of apps at a very quick pace or even manage the end to end of the procure-to-pay cycle completely through agents. Given the price volatility of gold, front-office integration with commodity exchanges continues to enable efficient, real-time hedging of gold, while streamlining of back-end processes has significantly improved recycling efficiency. AI-powered design solutions are being leveraged for identification of design trends and whitespaces in the product portfolio. With increasing adoption of AI across the enterprise, robust guardrails have been established to secure both generative and agentic AI workloads.

Customer experience and outcomes continue to scale: newer journeys and features such as pre-booking of orders enabled for peak festive events, increasing selection, and improving fulfilment efficiency

via integration of inventory at the regional warehouses make it easy for the customer. Integration with ecosystem- marketplaces, quick commerce, distributors not just streamline operational efficiency, but also give valuable intelligence and signals. Not just for the end customer, apps created for dealers also make purchases seamless. As a result, online

and omnichannel journeys continue to contribute meaningfully to all businesses and are strong growth channels.

The Company envisions a future where technologies will rapidly evolve alongside the associated costs and risks that come with it as well. Ensuring resilience and data privacy will be of



utmost importance. Therefore, the Digital function has embraced these core operating principles.

During the year, the Information Security function further strengthened the Company's security posture through enhanced controls, continuous monitoring, and proactive risk management, enabling operations without any material or reportable

security incidents. AI-driven capabilities were progressively adopted to improve threat detection, incident response, and vulnerability management. Focus areas also included brand protection, dark web monitoring, strengthened identity governance, and secure adoption of generative and agentic AI. The Company strongly believes in 'building its own timber' and there are

enterprise-wide initiatives to educate employees, so they can upskill and leverage AI and Digital tools effectively. The Digital function sees digital tools and AI as enablers of improving employee experience. The Company's digital stack and data are strategic assets that continue to be guarded with numerous security initiatives including cybersecurity as well infra to safeguard customer data.



We have integrated our foundational platforms with agile omnichannel experiences, creating a truly unified data ecosystem. By embedding advanced analytics and AI across this continuum, we are infusing intelligence into every aspect of our operations. As a result, our digital nervous system proactively anticipates the needs of our businesses and customers, driving continuous excellence and innovation as we scale globally.



Krishnan V, Chief Digital & Information Officer



DESIGN EXCELLENCE CENTRE

The Design Excellence Centre (DEC) is the creative nucleus of the Company, driving design leadership and product differentiation across all brands. Backed by multi disciplinary teams, deep consumer insighting, trend intelligence, and robust design processes, DEC consistently delivers authentic, trend setting products. A holistic focus on innovation, functionality, ergonomics, and aesthetics, combined with the adoption of new age technologies ensures distinctive, winning design outcomes across every product category.

During the Financial Year 2025-26, the key focus was on strengthening and embedding a strong design culture across the organisation through multiple strategic initiatives. Premiumisation and innovation emerged as the two primary drivers across all businesses, elevating the overall quality and impact of design outputs to the next level.

Collaborations with external experts and the adoption of new thought processes, closely aligned with the ethos and positioning of the Company's brands led to several meaningful and exciting design associations. These partnerships brought fresh perspectives and enriched the design thinking ecosystem within the organisation.

Another important area of focus was the exploration and adoption of AI-driven tools and technologies to enhance productivity, efficiency, and creative exploration within the design process.

These concerted efforts resulted in strong external recognition, with the organisation winning prestigious global accolades such as the iF Design Award, Good Design Award, and German Design Award, along with multiple leading Indian design awards during the year.



At Titan, design is fuelled by ideas that blend craftsmanship with innovation across watches, jewellery, eyewear and bags. We reimagine form, material, and storytelling to create pieces that resonate with evolving lifestyles. In 25-26 we scaled new frontiers in aesthetics, functionality, and sustainability, we crafted designs that are distinctive and future-ready—reflecting our commitment to excellence, cultural relevance, and creating meaningful experiences for every customer touchpoint.



Revathi Kant, Chief Design Officer

PEOPLE FUNCTION

The People Function continues to play a strategic role in enabling the Company's growth by building a high-performing, agile, and future-ready organisation, driven by a high-tech, high-touch approach that combines digital innovation with a strong human-centric focus.

The Company's DEIB agenda is anchored in its purpose of 'doing the right thing.' 3,042 employees (30.3%) were women, and 127 employees were differently abled. Gender diversity

stands at 15% in top Management and 31% at the entry level, with focused efforts to strengthen representation across mid and senior levels. The Company ensures pay equity across genders and continues to advance diversity across PwD, LGBTQ+, and generational cohorts, with a healthy DEI score against external benchmarks.

Progressive policies including period and menopause support, caregiver leave cover, Moms@Work, and the Sequel returnship programme (a

structured, phased return-to-work initiative enabling women to reintegrate after career breaks) support employees across life stages. Inclusive hiring, mentoring, and awareness initiatives, along with crèche facilities and caregiving support, further reinforce an equitable and inclusive environment.

Inclusion and well-being are embedded across culture, capability, and employee experience, with a strong focus on holistic physical, mental, and emotional well-being, enabling a resilient and supportive workplace.





Transformation & Business Partnering Strategy 2.0

The People Function has aligned closely with business divisions through People Strategy 2.0, delivering tailored, division-specific strategies and enabling agile organisational design. The transformation journey focuses on future-ready structures, data-centricity, technology enablement, and operational excellence, with a strong emphasis on enhancing employee experience. The introduction of digitally enabled contract workforce management has further strengthened visibility, compliance, and governance of off-roll workforce.

People360, the shared services engine, enables seamless and efficient service delivery, while AI-led and digital interventions elevate employee

experience across both on-roll and off-roll workforce. The Company's people practices continue to receive global recognition, including being named among the HR Asia Best Companies to Work for in Asia for three consecutive years (2023–2025).

Career Development

Under Titan Career Vista, employees are enabled to Dream, Discover, and Design their careers through mentorship, workshops, and functional corners. The Bridge Marketplace enables cross-functional, short-term assignments to enhance exposure and collaboration.

Leadership development initiatives include Emerging Leaders Programme (ELP) for middle management cohort, Senior Management Development

(Transcend) for senior management and Sales Excellence Programme (SEP) for frontline sales roles. New-age learning approaches, including immersive and technology-enabled formats, are being piloted to accelerate skill-building and readiness.

CREST- Manager's Promise

At the core of manager capability building, CREST – The Titan People Manager Promise defines the standards of managerial excellence, anchored in fostering a culture of trust, inclusivity, accountability, and high performance. It serves as a common leadership framework that guides managers in driving engagement, enabling team effectiveness, and delivering consistent people experiences across the organisation.

CREST is deeply embedded across talent processes and learning interventions, supported by tools that enable real-time, anonymous feedback and focused action planning. This is further strengthened through targeted capability-building workshops, deployed across regions and ISCM, to drive deeper skill-building and behavioural transformation at scale.

Talent & Performance

Building a high-performance culture remains a core priority, with sustained investments in identifying, developing, and retaining key talent. To strengthen this, the Company enhanced its Performance Management System by transitioning from a 4-point to a 6-point rating scale, enabling sharper differentiation of performance and rewards across the spectrum.

This is complemented by a range of focused interventions for key talent, including structured development journeys, leadership engagement, targeted learning opportunities, and proactive retention mechanisms. Performance conversations have

also evolved into Performance Development & Coaching dialogues, fostering continuous, forward-looking discussions that enhance capability, accelerate growth, and drive sustained impact across critical talent segments.

Culture of Listening

Tell Me is the Company's long-standing listening platform, providing employees a direct line of communication with the Managing Director and Chief People Officer. Established in 2003, it remains a powerful forum for employee voice, recognised as a best practice under the Tata Business Excellence Model (TBEM) and published as a Harvard Case Study. Leadership continues to invest 80+ hours in direct listening, reinforcing the importance of open dialogue at the highest levels.

This is complemented by Heartbeat, the Company's employee engagement survey, which provides regular, structured insights into employee sentiment across cohorts. Together, these platforms foster a culture of listening anchored in accountability, where feedback is systematically

captured, tracked, and closed through robust digital mechanisms; ensuring transparency, ownership, and timely action across the organisation.

Insights from this integrated listening ecosystem continue to inform targeted interventions, including frontline experience enhancements (Spark the Smile), demonstrating a strong link between employee voice and tangible action.

Employee Relations

The successful conclusion of the wage settlement reinforces a strong culture of trust, collaboration, and harmonious industrial relations. The Company also actively engages in cross-industry forums with leading organisations to exchange best practices and stay aligned with evolving employee relations frameworks.

These collective efforts strengthen the Company's foundation for a future-ready organisation. Backed by progressive people practices and a strong culture of listening, the Company remains committed to building an agile, inclusive, and high-performing workforce for the future.



“ At Titan, we believe innovation thrives when people are empowered to question, experiment, and create - and every voice has the confidence to shape the future. ”

Swadesh Behera, Chief People Officer

KEY RISKS AND MITIGATION MEASURES AT ENTERPRISE LEVEL

The Company being a prominent player in the retail sector with presence in multiple lifestyle products categories is exposed to certain risks at the enterprise level which may impact the Company's operations and growth plans. Considering the same and in order to be agile and to ensure sustainability of the businesses, the Company periodically reviews risks at the enterprise level and also puts in place mitigation measures to address the fallout of such risks. The Company's Board of Directors and the Risk Management Committee frequently review these risks and necessary action plan is put in place.



Geopolitical Risks

Nature of Risk

The Company's operations remain exposed to geopolitical developments that can impact supply chains, input costs, and consumer demand across markets. The ongoing global conflicts and geopolitical tensions continue to contribute to volatility in gold prices, currency movements, and macroeconomic conditions, which may influence consumer sentiment and demand patterns, especially in discretionary segments.

Key Mitigation Measures

The Company mitigates these risks through supplier diversification, increasing localisation and indigenous capabilities, prudent inventory planning, and continued monitoring of international developments across its key markets, including the Middle East and the United States.



Regulatory Risks

Nature of Risk

The Company operates in a regulated environment and is exposed to changes in government policies and regulations that may impact business dynamics. In particular, the Jewellery business is sensitive to changes in customs duties on gold and other precious materials, as well as other fiscal measures that directly influence input costs, pricing and demand. Any adverse changes in such regulations may affect margins and consumer behavior, especially in value-sensitive segments.

Key Mitigation Measures

The Company closely monitors regulatory developments and undertakes appropriate pricing, sourcing and inventory strategies to mitigate the impact of such changes.



Data Privacy Across All Business Operations

Nature of Risk

Probability of breach of customer/employees Sensitive Personal Information in violation of laid down country specific privacy regulations.

Key Mitigation Measures

The Company's business systems are continually upgraded/updated to continuously mitigate data privacy risks including carrying out privacy impact assessment, defining data privacy framework, usage of privacy enhancing technologies and a regular independent assessment of data and benchmarking against industry parameters and scores.



Cyber Attacks & Security

Nature of Risk

Potential loss of sensitive data or disruption to the Company's operations due to cyber-attack or hardware/software failure, compromise of customer data, defacement of Titan website, and social media profile, etc.

Key Mitigation Measures

As a responsible corporate citizen, Titan embeds a 'security-first' philosophy into every facet of our business. In an era of increasingly sophisticated cyber risks, safeguarding customer data and ensuring operational resilience is our priority. The Company maintains a proactive defense through industry-aligned security frameworks, continuous independent evaluations, and comprehensive incident readiness. By extending these rigorous standards to the vendor network and empowering the employees of the Company with ongoing security and responsible AI training, steps have been taken to actively protect the trust placed in the Company by the stakeholders.



Data Security Leakage from Third Party Agencies

Nature of Risk

As the Company uses third party agencies for carrying out various business related activities, there could be a probability of loss of business sensitive data and sensitive customer data managed by third parties.

Key Mitigation Measures

The Company has adopted the best available cyber security framework and deployed a number of Industry leading Cyber Defence Technological Controls. Periodic Security Assurance Validation by an external party is also carried out. Continuous cyber awareness programs for employees are also ensured.

INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY

During the year, the Company has reviewed its Internal Financial Control (IFC) systems and has continually contributed to the establishment of a more robust and effective IFC framework, prescribed under the ambit of Section 134(5) of Companies Act, 2013. The preparation and presentation of the financial statements is pursuant to the control criteria defined considering the essential components of Internal Control – as stated in the "Guidance Note on Audit of Internal Financial Controls over Financial Reporting" issued by the Institute of Chartered Accountants of India (ICAI).

The control criteria ensures the orderly and efficient conduct of the Company's business, including adherence to its policies, the safeguarding of its assets, prevention and detection of frauds and errors, accuracy and completeness of the accounting records and the timely preparation of reliable financial information.

Based on the assessment carried out by the Management and the evaluation of the results of the assessment, the Board of Directors are of the opinion that the Company has an adequate Internal Financial Controls system, operating effectively as at 31st March 2026. There is an active internal audit function carried out partly by the internal resources and the balance activity outsourced to chartered accountant firms. As part of the efforts to evaluate the effectiveness of internal control systems, the internal audit department reviews control measures on a periodic basis and recommends improvements, wherever appropriate. The Internal Audit department is staffed by qualified and experienced personnel and reports directly to the Audit Committee of the Board. The Audit Committee regularly reviews the audit findings as well as adequacy and effectiveness of the internal control measures.

SEGMENT WISE PERFORMANCE

(₹ in crore)

Segment Results	Year Ended 31 st March 2026 (Audited)	Year Ended 31 st March 2025 (Audited)
Net Sales/Income from Operations		
Watches	5,233	4,576
Jewellery	71,108	49,227
EyeCare	907	796
Others	508	406
Corporate (Unallocated)	333	330
Total	78,089	55,335

(₹ in crore)

Segment Results	Year Ended 31 st March 2026 (Audited)	Year Ended 31 st March 2025 (Audited)
Profit/(Loss) from segments before finance costs and taxes		
Watches	842	553
Jewellery	6,601	4,764
EyeCare	84	85
Others	(114)	(124)
Total	7,413	5,278
Less: Finance costs	955	767
Exceptional Item	89	-
Corporate (unallocated)	(171)	(30)
Profit before taxes	6,198	4,481

(₹ in crore)

Segment Net Assets	Year Ended 31 st March 2026 (Audited)	Year Ended 31 st March 2025 (Audited)
Watches	3,132	2,865
Jewellery	11,653	11,488
EyeCare	265	256
Others	270	262
Corporate (unallocated)	5,167	1,940
Total	20,487	16,811

HOW THE COMPANY FARED

Some of the key financial indicators are as below:

	Financial Year 2025-26	Financial Year 2024-25	Financial Year 2023-24
Sales to Net fixed assets (No. of times)	44	35	32
Sales to Debtors (No. of times)	87	56	50
Sales to Inventory (No. of times)	2.2	2.2	2.8
Retained Earnings - ₹ in crores	17,440	13,786	11,427

	Financial Year 2025-26	Financial Year 2024-25	Financial Year 2023-24
Return on Capital Employed	39%	30%	38%
Return on Net Worth	23%	21%	27%
Interest Coverage Ratio*	16	12	23
Current Ratio	1.4	1.4	1.7
Debt Equity Ratio	0.30	0.47	0.40
Operating Profit Margin*	8.6%	8.7%	9.7%
Net Profit Margin	6.0%	6.1%	7.0%

SIGNIFICANT CHANGES IN KEY FINANCIAL RATIOS

During the year, following are the key financial ratios of the Company where there was a change of 25% or more as compared to the immediate previous financial year

	Financial Year 2025-26	Financial Year 2024-25	% change
Return on Capital Employed (a)	39%	30%	29%
Interest Coverage Ratio (b)	16	12	29%
Debt Equity Ratio (b)	0.3	0.4	35%

(a) Increase in profit before tax and repayment of borrowings during the current year resulted in change in the ratio.

(b) Repayment of borrowings during the current year resulted in change in the ratio

DISCLOSURE OF ACCOUNTING TREATMENT

The financial statements of the Company have been prepared in accordance with the Indian Accounting Standards (Ind-AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 and Companies (Indian Accounting Standards) (Amendment) Rules, 2016 read with Section 133 of the Companies Act, 2013.

OUTLOOK FOR FINANCIAL YEAR 2026-27

The Company enters Financial Year 2026–27 with strong momentum across its businesses, supported by enduring brand equity, expanding retail presence and a continued focus on premiumisation and customer engagement. However, the external environment is expected to remain volatile, with geopolitical uncertainties, particularly the ongoing conflict in West Asia, potentially impacting consumer sentiment, supply chains and input costs, including precious metals and gemstones.

In this context, the Company will prioritise agility in operations, disciplined inventory and cost management, and calibrated expansion across domestic and international markets. The jewellery business is expected to sustain growth driven by structural shifts towards organised players, though near-term demand may see intermittent fluctuations. Other businesses will continue to strengthen their value propositions while progressing towards scale and profitability.

CAUTIONARY STATEMENT

Statements in the Management Discussion and Analysis describing the Company's objectives, projections, estimates and expectations may be forward-looking statements within the meaning of applicable securities laws and regulations. Actual results could differ materially from those expressed or implied. Important factors that could make a difference to the Company's operations include, among others, economic conditions affecting demand/supply and price conditions in the domestic and overseas markets in which it operates, changes in the Government regulations, tax laws and other statutes, any epidemic or pandemic, natural calamities over which we do not have any direct/indirect control.

Ratios given in notes as part of Financials differ from ratios given in the Management Discussion and Analysis as the ratios in Financials are computed purely based on formulas given in the Guidance Note issued by the ICAI. The figures in the Management Discussion and Analysis are commentaries by the Businesses and are basis business metrics which may differ from the Financials in the Annual Report.

Consolidated balance sheet

as at 31st March 2026

Particulars		Note	As at 31 st March 2026	As at 31 st March 2025
₹ in crore				
ASSETS				
(1) Non-current assets				
(a)	Property, plant and equipment	3.1	2,684	1,854
(b)	Capital work-in-progress	3.2	135	93
(c)	Right-of-use assets	4	2,195	1,774
(d)	Investment property	5.1	136	1
(e)	Goodwill	5.2	758	123
(f)	Other intangible assets	6.1	1,105	310
(g)	Intangible assets under development	6.2	28	12
(h)	Investments accounted for using equity method	43	152	-
(i)	Financial assets			
(i)	Investments	7.1	1,105	651
(ii)	Loans	7.2	66	62
(iii)	Other financial assets	7.3	982	868
(j)	Deferred tax assets	8	173	170
(k)	Income tax assets (net)	8	107	104
(l)	Other non-current assets	9	154	191
			9,780	6,213
(2) Current assets				
(a)	Inventories	10	42,743	28,184
(b)	Financial assets			
(i)	Investments	11.1	2,249	1,337
(ii)	Trade receivables	11.2	916	1,068
(iii)	Cash and cash equivalents	11.3	873	407
(iv)	Bank balances other than (iii) above	11.3	1,044	1,177
(v)	Loans	11.4	51	44
(vi)	Other financial assets	11.5	672	260
(c)	Other current assets	12	2,233	1,957
			50,781	34,434
	TOTAL ASSETS		60,561	40,647
EQUITY AND LIABILITIES				
Equity				
(a)	Equity share capital	13.1	89	89
(b)	Other equity	13.2	15,614	11,535
	TOTAL EQUITY		15,703	11,624
Liabilities				
(1) Non-current liabilities				
(a)	Financial liabilities			
(i)	Borrowings	14.1	93	595
(ii)	Lease liabilities	14.2	2,712	2,318
(iii)	Other financial liabilities	14.3	1,876	6
(b)	Provisions	15	375	299
(c)	Deferred tax liability	8	-	2
(d)	Other non-current liabilities	16	9	10
			5,065	3,230
(2) Current liabilities				
(a)	Financial liabilities			
(i)	Borrowings	17.1	11,285	9,691
(ii)	Gold on loan	17.2	16,070	7,810
(iii)	Lease liabilities	17.3	461	363
(iv)	Trade payables			
-	Total outstanding dues of micro and small enterprises	17.4	609	217
-	Total outstanding dues of creditors other than micro and small enterprises	17.4	2,255	1,746
(v)	Other financial liabilities	17.5	2,530	1,330
(b)	Other current liabilities	18	6,233	4,441
(c)	Provisions	19	327	155
(d)	Current tax liabilities (net)	8	23	40
			39,793	25,793
	TOTAL EQUITY AND LIABILITIES		60,561	40,647
Material accounting policies		2		

See accompanying notes to the consolidated financial statements.
As per our report of even date attached

for **B S R & Co. LLP**

Chartered Accountants

Firm Registration No.: 101248W/W-100022

Arjun Ramesh

Partner

Membership Number: 218495

Place: Bengaluru

Date: 8th May 2026

for and on behalf of the Board of Directors

Sandhya V Sharma

Srinivasan Varadarajan

Ajoy Chawla

Ashok Sonthalia

Dinesh Shetty

Chairperson (DIN: 08445015)

Director (DIN: 00033882)

Managing Director (DIN: 07083700)

Chief Financial Officer (M.No.: 055490)

General Counsel and Company Secretary (M.No.: F3879)

Place: Bengaluru

Date: 8th May 2026

Consolidated statement of profit and loss

for the year ended 31st March 2026

₹ in crore

Particulars	Note	For the year ended 31 st March 2026	For the year ended 31 st March 2025
I. Revenue from operations	20	87,584	60,456
II. Other income	21	552	486
III. Total income (I + II)		88,136	60,942
IV. Expenses:			
Cost of materials and components consumed		69,212	47,708
Purchase of stock-in-trade		11,031	7,563
Changes in inventories of finished goods, stock-in-trade and work-in-progress	22	(9,936)	(7,815)
Employee benefits expense	23	2,681	2,156
Finance costs	24	1,180	953
Depreciation and amortisation expense	25	826	693
Other expenses	26	6,241	5,150
Total expenses		81,235	56,408
V. Profit before share of profit of an associate and joint venture, exceptional item and tax (III - IV)		6,901	4,534
VI. Share of profit of:			
- Associate and joint venture, net of tax	43	1	1
VII. Profit before exceptional item and tax (V + VI)		6,902	4,535
VIII. Exceptional item	44	101	-
IX. Profit before tax (VII - VIII)		6,801	4,535
X. Tax expense:			
Current tax	8	1,740	1,183
Deferred tax	8	(12)	15
Total tax expense		1,728	1,198
XI. Profit for the year (IX - X)		5,073	3,337
XII. Other comprehensive income (OCI)			
(i) Items that will not be reclassified to the statement of profit and loss			
- Remeasurement of employee defined benefit plans		(79)	(27)
- Income-tax on (i) above		20	6
- Fair value changes on equity investments through OCI		-	(111)
(ii) Items that will be reclassified to profit and loss			
a. Exchange differences on translating the financial statements of foreign operations		(35)	(5)
- Income-tax on (a) above		0	1
b. Net movement on Effective portion of Cash Flow Hedges		(3)	-
- Income-tax on (b) above		1	-
Total other comprehensive loss		(96)	(136)
XIII. Total comprehensive income (XI + XII)		4,977	3,201
Profit for the year attributable to:			
- Owners of the Company		5,073	3,337
- Non-controlling interest		-	0
		5,073	3,337
Other comprehensive income for the year attributable to:			
- Owners of the Company		(96)	(136)
- Non-controlling interest		-	(0)
		(96)	(136)
Total comprehensive income for the year attributable to:			
- Owners of the Company		4,977	3,201
- Non-controlling interest		-	-
		4,977	3,201
XIV. Earnings per equity share of ₹ 1 {based on profit for the year (XI)}			
Basic	28	57.19	37.62
Diluted	28	57.16	37.61
Material accounting policies	2		

See accompanying notes to the consolidated financial statements.

As per our report of even date attached

for **B S R & Co. LLP**

Chartered Accountants

Firm Registration No.: 101248W/W-100022

Arjun Ramesh

Partner

Membership Number: 218495

Place: Bengaluru

Date: 8th May 2026

for and on behalf of the Board of Directors

Sandhya V Sharma
Srinivasan Varadarajan
Ajoy Chawla
Ashok Sonthalia
Dinesh Shetty

Place: Bengaluru

Date: 8th May 2026

Chairperson (DIN: 08445015)

Director (DIN: 00033882)

Managing Director (DIN: 07083700)

Chief Financial Officer (M.No.: 055490)

General Counsel and Company Secretary (M.No.: F3879)

Consolidated statement of changes in equity

as at 31st March 2026

(a) Equity share capital

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Opening balance	89	89
Changes in equity share capital during the year	-	-
Closing balance	89	89

(b) Other equity

	Reserves and surplus												Attributable to the owners of the Company	Non-controlling interest	Total
	Capital reserve*	Capital redemption reserve	Securities premium	Employee Stock option Reserve	General reserve	Retained earnings	Treasury Shares	Items of other comprehensive income (refer note 13.2)							
								Remeasurement of employee defined benefit plans	Foreign currency translation reserve	Equity instruments through OCI	Effective portion of cash flow hedges	Total			
Balance as at 1 st April 2024	0	1	142	48	3,066	6,419	(236)	(82)	2	(56)	-	(136)	9,304	0	9,304
Profit for the year (net of taxes)	-	-	-	-	-	3,337	-	-	-	-	-	-	3,337	-	3,337
Other comprehensive income for the year (net of taxes)	-	-	-	-	-	-	-	(21)	(4)	(111)	-	(136)	(136)	(0)	(136)
Acquisition of NCI without change in control	-	-	-	-	-	(1)	-	-	-	-	-	-	(1)	-	(1)
Acquisition of treasury shares (refer note 13.1(e))	-	-	-	-	-	-	(6)	-	-	-	-	-	(6)	-	(6)
Employee stock compensation	-	-	-	13	-	-	-	-	-	-	-	-	13	-	13
Total comprehensive income for the year	-	-	-	13	-	3,336	(6)	(21)	(4)	(111)	-	(136)	3,207	-	3,207
Payment of dividends (refer note 13.3)	-	-	-	-	-	(976)	-	-	-	-	-	-	(976)	-	(976)
Balance as at 31 st March 2025	0	1	142	61	3,066	8,779	(242)	(103)	(2)	(167)	-	(272)	11,535	-	11,535
Balance as at 1 st April 2025	0	1	142	61	3,066	8,779	(242)	(103)	(2)	(167)	-	(272)	11,535	-	11,535
Profit for the year (net of taxes)	-	-	-	-	-	5,073	-	-	-	-	-	-	5,073	-	5,073
Other comprehensive income for the year (net of taxes)	-	-	-	-	-	-	-	(59)	(35)	-	(2)	(96)	(96)	-	(96)
Employee stock compensation	-	-	-	78	-	-	-	-	-	-	-	-	78	-	78
Total comprehensive income for the year	-	-	-	78	-	5,073	-	(59)	(35)	-	(2)	(96)	5,055	-	5,055
Payment of dividends (refer note 13.3)	-	-	-	-	-	(976)	-	-	-	-	-	-	(976)	-	(976)
Balance as at 31 st March 2026	0	1	142	139	3,066	12,876	(242)	(162)	(37)	(167)	(2)	(368)	15,614	-	15,614

*items not presented due to rounding off to the nearest ₹ crore

Material accounting policies

Note 2

See accompanying notes to the consolidated financial statements.

As per our report of even date attached

for **B S R & Co. LLP**

Chartered Accountants

Firm Registration No.: 101248W/W-100022

Arjun Ramesh

Partner

Membership Number: 218495

Place: Bengaluru

Date: 8th May 2026

for and on behalf of the Board of Directors

Sandhya V Sharma

Srinivasan Varadarajan

Ajoy Chawla

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Dinesh Shetty

Chairperson (DIN: 08445015)

Director (DIN: 00033882)

Managing Director (DIN: 07083700)

Chief Financial Officer (M.No.: 055490)

General Counsel and Company Secretary (M.No.: F3879)

Place: Bengaluru

Date: 8th May 2026

Consolidated statement of cash flow

for the year ended 31st March 2026

₹ in crore

Particulars	Note	For the year ended 31 st March 2026	For the year ended 31 st March 2025
A. Cash flow from operating activities			
Net profit before tax		6,801	4,535
Adjustments for:			
- Depreciation and amortisation expense		826	693
- Net unrealised exchange loss		(9)	9
- Share of profit of the associate		(1)	(1)
- Employee stock compensation expense		78	13
- Loss/(Gain) on disposal of property, plant and equipment (net)		2	(1)
- Provision for doubtful trade receivables (net) and bad trade receivables written off		11	27
- Government grant		1	1
- Interest income		(279)	(288)
- Gain on investments carried at fair value through profit and loss		(140)	(157)
- Gain on pre-closure of lease contracts		(21)	(11)
- Rent waiver		(2)	1
- Finance costs		1,180	953
Operating profit before working capital changes		8,447	5,774
Adjustments for:			
- (increase)/decrease in trade receivables		210	(95)
- (increase)/decrease in inventories		(11,592)	(9,072)
- decrease/(increase) in financial assets-loans		(8)	4
- decrease/(increase) in other financial assets		(244)	75
- (increase)/decrease in other assets		(217)	(235)
- increase in gold on loan		7,304	2,468
- increase in trade payables		472	564
- increase/(decrease) in other financial liabilities		1,138	663
- increase/(decrease) in other liabilities		1,773	350
- increase/(decrease) in provisions		44	52
Cash generated from operating activities before taxes		7,327	548
- Direct taxes paid, net		(1,737)	(1,089)
Net cash generated from/(used in) operating activities	A	5,590	(541)
B. Cash flow from investing activities			
Purchase of property, plant and equipment, intangible assets and investment property		(902)	(494)
Proceeds from sale of property, plant and equipment		25	24
Investment in non convertible debentures, certificate of deposits and government securities		(1,120)	(663)
Proceeds from redemption of non convertible debentures, government securities and certificate of deposit		300	325
Purchase of commercial papers		(99)	-
Inter-corporate deposits placed		100	(332)
Proceeds from inter-corporate deposits		(100)	575
Bank deposits placed		(5,823)	(2,384)
Bank deposits matured		5,738	2,332
Purchase of mutual funds		(20,816)	(14,679)
Sale of mutual funds		20,497	15,422
Lease payments received from sub-lease (excluding interest received)		210	132
Consideration paid for business acquisition (net of cash acquired) (refer note 40)		(1,171)	-
Interest received		227	288
Net cash (used in)/generated from investing activities	B	(2,934)	546

Consolidated statement of cash flow

for the year ended 31st March 2026

₹ in crore

Particulars	Note	For the year ended 31 st March 2026	For the year ended 31 st March 2025
C. Cash flow from financing activities			
Proceeds from long term borrowings		-	70
Repayment of long term borrowings		(2,632)	(378)
Proceeds from short term borrowings, net		3,314	2,529
Dividends paid		(976)	(976)
Payment of lease liabilities		(865)	(700)
Acquisition of treasury shares		-	(6)
Acquisition of non controlling interest		-	(1)
Share based payments		-	(7)
Finance costs paid		(1,000)	(538)
Net cash used in financing activities	C	(2,159)	(7)
Net increase/(decrease) in cash and cash equivalents during the year (A+B+C)		497	(2)
Cash and cash equivalents (opening balance)	11.3	407	409
Add: Foreign currency translation adjustments		(31)	-
Add: Unrealised exchange gain/(loss)*		0	-
Cash and cash equivalents (closing balance)	11.3	873	407

₹ in crore

Particulars	Note	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Debt reconciliation statement in accordance with Ind AS 7			
Borrowings	14.1 & 17.1		
Opening balance		10,286	7,838
Proceeds from long term borrowing		-	70
Repayment of long term borrowing		(2,632)	(378)
Proceeds from short term borrowings, net		3,314	2,529
Non cash changes		410	227
Closing balance		11,378	10,286
Reconciliation of Lease liability	14.2 & 17.3		
Opening balance		2,681	2,349
Payments made during the year		(865)	(700)
Non-cash changes		1,357	1,032
Closing balance		3,173	2,681

* Items not presented due to rounding off to the nearest ₹ crore.

Material accounting policies

2

See accompanying notes to the consolidated financial statements.

As per our report of even date attached

for **B S R & Co. LLP**

Chartered Accountants

Firm Registration No.: 101248W/W-100022

Arjun Ramesh

Partner

Membership Number: 218495

Place: Bengaluru

Date: 8th May 2026

for and on behalf of the Board of Directors

Sandhya V Sharma

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Chairperson (DIN: 08445015)

Director (DIN: 00033882)

Managing Director (DIN: 07083700)

Chief Financial Officer (M.No.: 055490)

General Counsel and Company Secretary (M.No.: F3879)

Place: Bengaluru

Date: 8th May 2026

Notes to consolidated financial statements

for the year ended 31st March 2026

1. Corporate Information

Titan Company Limited ('Titan' or 'the Company'), and its subsidiaries (collectively, the "Group"), associate is primarily involved in manufacturing and sale of watches, jewelry, eyewear and other accessories and products.

Titan is a public Company domiciled in India, with its registered office situated at 3, SIPCOT Industrial Complex, Hosur - 635 126, Tamil Nadu, India. The Company has been incorporated under the provisions of the Indian Companies Act and its equity shares are listed on the National Stock Exchange (NSE) and BSE Ltd. in India.

2. Material Accounting Policies

This note provides a list of material accounting policies adopted in the preparation of the consolidated financial statements. These policies have been consistently applied to all the years presented, unless otherwise stated.

Basis of Preparation

i. Statement of compliance

The consolidated financial statements of the Group have been prepared in accordance with Indian Accounting Standard ("Ind AS") notified under the Companies (Indian Accounting Standards) Rules, 2015, as amended from time to time, read with section 133 of the Companies Act, 2013 ("the Act") and other relevant provisions of the Act.

The consolidated financial statements are approved for issue by the Company's Board of Directors on 8th May 2026.

ii. Basis of measurement

The consolidated financial statements have been prepared on an accrual basis under the historical cost convention except for the following that are measured at fair value as required by relevant Ind AS:

- Certain financial assets and liabilities (including derivative instruments).
- The defined benefit asset/(liability) is recognised as the present value of defined benefit obligation less fair value of plan assets.

- Valuation of grants under Employees Share Options (ESOPs).

- Deferred Consideration.

Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

iii. Current/non-current classification

Based on the time involved between acquisition of assets for processing and their realisation in cash and cash equivalents, the Group has identified twelve months as its operating cycle for determining current and non-current classification of assets and liabilities in the balance sheet.

iv. Rounding of amounts

All amounts disclosed in the consolidated financial statements and notes have been rounded off to rupees crore as per the requirement of Schedule III, unless otherwise stated. Transactions and balances with values below the rounding off norm adopted by the Group have been reflected as "0" in the relevant notes to these financial statements. Accordingly, comparative numbers which were reported in lakh previously have been reflected in crore in the current financial statements.

v. Use of estimates and judgement

The preparation of consolidated financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amount of assets and liabilities, revenues and expenses and disclosure of contingent liabilities. Such estimates and assumptions are based on management's evaluation of relevant facts and circumstances as on the date of consolidated financial statements. The actual outcome may diverge from these estimates.

Notes to consolidated financial statements

for the year ended 31st March 2026

Estimates and assumptions are reviewed on a periodic basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Assumptions and estimation

Information about assumptions and estimation uncertainties that have significant risk of resulting in a material adjustment in the year ending 31st March 2026 is included in the following notes:

- Note 3 – Useful life of the Property, Plant and Equipment;
- Note 6 – Useful life of the Intangible assets;
- Note 8 – Valuation of deferred tax assets;
- Note 4, 14.2, 17.3 and 29 – Leases;
- Note 30 – Provision and contingent liabilities;
- Note 32 – Measurement of defined benefit obligations: key actuarial assumptions;
- Note 33 – Readjustment of vesting criteria based on performance conditions and estimated forfeitures in share based compensation expenses;
- Notes 35.1 and 35.2 – Fair value measurement of financial instruments.

vi. Basis of consolidation

The consolidated financial statements relate to Titan Company Limited and entities controlled by the Company. The control is achieved when the Company has power over the entity, is exposed, or has rights, to variable returns from its involvement with the investee; and has the ability to affect the entity's returns by using its power over the entity.

The consolidated financial statements of the Company and its subsidiaries have been combined on a line by line basis by adding together the book

values of like items of assets, liabilities, income and expenses, after fully eliminating intra-group balances, intra-group transactions and unrealised profit or losses. These financial statements are prepared by applying uniform accounting policies in use at the Group. The excess of the Company's portion of equity of the subsidiaries as at the date of its investment over the cost of its investment is treated as Capital Reserve on consolidation.

The excess of cost to the Company of its investment over the Company's portion of equity as at the date of investment is treated as Goodwill on consolidation.

Investment in associate and joint venture are accounted for using the equity method of accounting. Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter to recognise the Group's share of the post-acquisition profits or losses of the investee in statement of consolidated profit and loss, and the Group's share of other comprehensive income of the investee in other comprehensive income. Dividends received or receivable from associates and joint ventures are recognised as a reduction in the carrying amount of the investment. When the Group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity.

Entities controlled by the Company are consolidated from the date the control commences until the date control ceases.

Notes to consolidated financial statements

for the year ended 31st March 2026

The subsidiary companies which are included in the consolidation and the Company's holdings therein are as under:

Name of the company	Country of incorporation	Ownership interest 31 st March 2026	Ownership interest 31 st March 2025
Titan Engineering & Automation Limited ("TEAL")	India	100%	100%
Titan Watch Company Limited Hong Kong (Subsidiary of Titan Holdings International FZCO)	Hong Kong	100%	100%
CaratLane Trading Private Limited	India	100%	100%
StudioC (100% subsidiary of CaratLane Trading Private Limited)	United States of America	100%	100%
Titan Holdings International FZCO	United Arab Emirates	100%	100%
Titan Global Retail LLC (Subsidiary of Titan Holdings International FZCO)	United Arab Emirates	100%	100%
Titan International QFZ LLC (Subsidiary of Titan Holdings International FZCO)	Qatar	100%	100%
Signature Jewellery Holding Limited (Subsidiary of Titan Holdings International FZCO)	United Arab Emirates	100%*	NA
Damas LLC (Subsidiary of Signature Jewellery Holding Limited)	United Arab Emirates	100%*	NA
Damas Jewellery LLC (Subsidiary of Damas LLC)	United Arab Emirates	100%*	NA
Damas Jewellery DMCC (Subsidiary of Damas Jewellery LLC)	United Arab Emirates	100%*	NA
Damas Jewellery Kuwait Co. WLL (Subsidiary of Damas Jewellery LLC)	Kuwait	100%*	NA
Damas Saudi Arabia Co. Ltd. (Subsidiary of Damas Jewellery LLC)	The Kingdom of Saudi Arabia	100%*	NA
Damas Doha Jewellery WLL (Subsidiary of Damas Jewellery LLC)	Qatar	100%*	NA
Damas Jewellery SPC (Subsidiary of Damas Jewellery LLC)	Oman	100%*	NA
Damas Company WLL (Subsidiary of Damas Jewellery LLC)	Bahrain	100%*	NA
Titan Commodity Trading Limited	India	100%	100%
TCL North America Inc.	United States of America	100%	100%
TEAL USA Inc. (Wholly owned subsidiary of Titan Engineering & Automation Limited)	United States of America	100%	100%

*The Company holds a 100% ownership interest; however, such interest is subject to a put option.

Accordingly, non-controlling interest is not recognised to the extent of the put option.

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for the year ended 31st March 2026

The jointly controlled entity and associate company which are included in the consolidation and the Company's holdings therein are as under:

Name of the company	Country of incorporation	Ownership interest 31 st March 2026	Ownership interest 31 st March 2025
Green Infra Wind Power Theni Limited - Associate company	India	26.79%	26.79%
Roberto Coin Middle East LLC.	United Arab Emirates	50.00%	NA

The financial statements of the subsidiary companies and associate company which are included in the consolidation are drawn up to the same reporting date as that of the Company i.e. 31st March 2026. The figures used in consolidation for equity accounting of the investment in the associate companies are unaudited.

vii. Business combinations and goodwill

Business combinations are accounted for using the acquisition method. A business consists of an integrated set of inputs and processes applied to those inputs that have the ability to contribute to the creation of outputs. In determining whether a particular set of activities and assets is a business, the Group assesses if the acquisition includes, at a minimum, an input and a substantive process that together significantly contribute to the ability to create outputs.

The cost of an acquisition is measured as the aggregate of the consideration transferred measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their acquisition date fair values. For this purpose, the liabilities assumed include contingent liabilities representing present obligation and they are measured at their acquisition fair values

irrespective of the fact that outflow of resources embodying economic benefits is not probable.

Business combinations arising from transfer of interests in entities that are under the common control are accounted at historical cost. The difference between any consideration given and the aggregate historical carrying amounts of assets and liabilities of the acquired entities are recorded in shareholders' equity.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests, and any previous interest held, over the net identifiable assets acquired and liabilities assumed. After initial recognition, goodwill is measured at cost less any accumulated impairment losses.

viii. Investment in associates and joint ventures

The group holds an interest in a joint venture, Roberto Coin Middle East LLC., and an interest in an associate, Green Infra Wind Power Theni Limited.

The financial statements of Roberto Coin Middle East LLC. and Green Infra Wind Power Theni Limited are prepared for the same reporting period as the Group. The accounting policies of both companies are aligned with those of the Group.

Therefore, no adjustments are made when measuring and recognising the Group's share of the profit or loss of the investees after the date of acquisition.

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for the year ended 31st March 2026

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

A joint venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint venture. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The considerations made in determining whether significant influence or joint control are similar to those necessary to determine control over the subsidiaries.

The Group's investments in its associate and joint venture are accounted for using the equity method. Under the equity method, the investment in an associate or a joint venture is initially recognised at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the associate or joint venture since the acquisition date.

The P&L reflects the Group's share of the results of operations of the associate or joint venture. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognised directly in the equity of the associate or joint venture, the Group recognises its share of any changes, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the associate or joint venture are eliminated to the extent of the interest in the associate or joint venture.

If an entity's share of losses of an associate or a joint venture equals or exceeds its interest in the associate or joint venture (which includes any long-term interest that, in substance, form part of the Group's net investment in the associate or joint venture), the entity discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations

or made payments on behalf of the associate or joint venture. If the associate or joint venture subsequently reports profits, the entity resumes recognising its share of those profits only after its share of the profits equals the share of losses not recognised.

The aggregate of the Group's share of profit or loss of an associate and a joint venture is shown separately on the face of the statement of profit and loss and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.

The financial statements of the associate or joint venture are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its associate or joint venture. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate or joint venture is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying value, and then recognises the loss as 'Share of profit of an associate and a joint venture' in the P&L.

Upon loss of significant influence over the associate or joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate or joint venture upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

ix. Functional and presentation currency

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the Group operates (i.e. the "functional currency"). The consolidated financial statements are presented in Indian Rupee, the national

Notes to consolidated financial statements

for the year ended 31st March 2026

currency of India, which is the functional currency of the Group. All amounts have been rounded-off to the nearest crore, unless otherwise indicated.

x. Measurement of fair values

Certain accounting policies and disclosures of the Group require the measurement of fair values, for both financial and non-financial assets and liabilities.

The Group has an established control framework with respect to the measurement of fair values and the valuation team regularly reviews significant unobservable inputs and valuation adjustments.

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. If the inputs used to measure the fair value of an asset or a liability fall into a different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Further information about the assumptions made in the measuring fair values is included in the following notes:

- Note 5.1 – Investment property.
- Note 35 - Financial instruments.

xi. Revenue and other income recognition

The Group recognises revenue when the control of goods being sold is transferred to the customer

and when there are no longer any unfulfilled obligations. The performance obligations in the contracts are fulfilled based on various customer terms including at the time of delivery of goods, dispatch or upon customer acceptance based on various distribution channels. The Group has generally concluded that it is the principal in its revenue arrangements, because it typically controls the goods or services before transferring them to the customer.

- a) Sale of goods: Revenue from the sale of products is recognised at the point in time when control is transferred to the customer. Revenue is measured based on the transaction price, which is the consideration, net of customer incentives, discounts, variable considerations, payments made to customers, other similar charges, as specified in the contract with the customer. Additionally, revenue excludes taxes collected from customers, which are subsequently remitted to governmental authorities. Accruals for returns are estimated (using the most likely method) based on accumulated experience and agreements with customers.
- b) Revenues from fixed price contracts are recognised on the percentage of completion method, in proportion that the contract costs incurred for work performed up to the reporting date bear to the estimated total contract costs. Contract revenue earned in excess of billing has been reflected under "Other current assets" and billing in excess of contract revenue has been reflected under "Other current liabilities" in the balance sheet. Full provision is made for any loss in the year in which it is first foreseen. Liquidated damages/penalties are provided for as per the contract terms wherever there is a delayed delivery attributable to the Group.

Contract assets are recognised when there is excess of revenue earned over billings on contracts. Contract assets are classified as unbilled receivables (only act of invoicing is pending) when there is unconditional right to receive cash, and only passage of time is required, as per contractual terms. Other

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for the year ended 31st March 2026

contract assets are classified as other assets. Unearned and deferred revenue ("contract liability") is recognised when there is billings in excess of revenues. Advances received for services are reported as liabilities until all conditions for revenue recognition are met.

Barter Transactions

The Group has entered into barter arrangements with certain media and advertising agencies, where products are provided in exchange for advertisement services. These transactions are recognised in accordance with Ind AS 115- Revenue from contracts with customers considering the following:

- The contracts were enforceable, approved by both parties, and had commercial substance.
- The Group transferred control of goods to the counterparty, satisfying performance obligations.
- Revenue was recognised based on the fair value of the merchandise provided.

Customer loyalty programmes

The Group has a customer loyalty programme for selected customers. The Group grants credit points to those customers as part of a sales transaction which allows them to accumulate and redeem those credit points. The consideration is allocated between the loyalty programme and the goods based on their relative standalone selling prices. The credit points have been deferred and will be recognised as revenue when the reward points are redeemed or lapsed.

- c) Service income: Service income is recognised on rendering of services based on the agreements/arrangements with the concerned parties.
- d) Dividend and interest income: Dividend income from investments is recognised when the Group's right to receive the payment has been established i.e., either when the dividend is declared or when shareholders approve the dividend in case of equity investments.

For all financial instruments measured at amortised cost, interest income is recorded using the effective interest rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset. Interest income is included in other income in the Statement of profit and loss.

Other Operating Income:

Indirect tax incentives are recognised when the right to receive the amount as per the terms of scheme is established in respect of industrial promotion scheme applicable to the respective units.

Use of significant judgements in revenue recognition:

- a) The Group's contracts with customers could include promises to transfer multiple goods to a customer. The Group assesses the goods promised in a contract and identifies distinct performance obligations in the contract. Identification of distinct performance obligation involves judgement to determine the deliverables and the ability of the customer to benefit independently from such deliverables.
- b) Judgement is also required to determine the transaction price for the contract. The transaction price could be either a fixed amount of customer consideration or variable consideration with elements such as volume discounts, performance bonuses, price concessions and incentives. The transaction price is also adjusted for the effects of the time value of money if the contract includes a significant financing component. Any consideration payable to the customer is adjusted to the transaction price, unless it is a payment for a distinct good from the customer. The estimated amount of variable consideration is adjusted in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur and is reassessed at the end of each reporting period.

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- c) The Group uses judgement to determine an appropriate standalone selling price for a performance obligation. The Group allocates the transaction price to each performance obligation on the basis of the relative standalone selling price of each distinct good or service promised in the contract. Where standalone selling price is not observable, the Group uses the expected cost plus margin approach to allocate the transaction price to each distinct performance obligation.
- d) The Group uses the percentage-of-completion method in accounting for its fixed-price contracts. Use of the percentage-of-completion method requires the Group to estimate the costs expended to date as a proportion of the total costs to be expended. Costs expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based on the expected contract estimates at the reporting date.

Interest income is recognised as it accrues in the consolidated statement of profit and loss using effective interest rate method.

Commission income is generally recognised when the related sale is executed as per the terms of the agreement.

The Group has determined that the revenues as disclosed in Note 20 are disaggregated into categories that depict how the nature, amount, timing and uncertainty of revenue and cash flows are affected by economic factors.

xii. Inventories

Inventories [other than quantities of gold for which the price is yet to be determined with the suppliers (Unfixed gold) or where hedge contracts have been entered into for quantities of gold and accounted for as fair value hedge] are stated at the lower of

cost and net realisable value determined on an item-by-item basis. Cost is determined as follows:

- a) Gold is valued on first-in-first-out basis.
- b) Stores and spares, loose tools and raw materials are valued on a moving weighted average rate.
- c) Work-in-progress and finished goods (other than gold) are valued on full absorption cost method based on the moving average cost of production.
- d) Traded goods are valued on a moving weighted average rate/cost of purchases.

Cost comprises all costs of purchase including duties and taxes (other than those subsequently recoverable by the Group), freight inwards and other expenditure directly attributable to acquisition. Work-in-progress and finished goods include appropriate proportion of overheads and, where applicable, other taxes.

Unfixed gold and quantities of gold covered under fair value hedge is valued at gold prices prevailing on the period closing date. Gold quantities other than unfixed and covered through fair value hedge is valued on first-in-first-out basis. Net realisable value represents the estimated selling price for inventories less estimated costs of completion and costs necessary to make the sale. The net realisable value of work-in-progress is determined with reference to the selling prices of related finished goods. Raw materials, components and other supplies held for use in the production of finished products are not written down below cost except in cases when a decline in the price of materials indicates that the cost of the finished products shall exceed the net realisable value. The comparison of cost and net realisable value is made on an item-by-item basis.

- e) Options against unhedged inventory

The Group uses derivative financial instruments, including options on gold, as part of its risk management strategy to protect against extreme adverse movements in gold prices relating to a portion of its unhedged gold inventory.

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Derivative financial instruments are initially recognised at fair value on the date on which the Group becomes a party to the contractual provisions of the instrument. For purchased options, fair value at initial recognition equals the premium paid or received.

Subsequent to initial recognition, all derivative financial instruments that are not designated in a qualifying hedging relationship are measured at fair value through profit or loss (FVTPL) in accordance with Ind AS 109 Financial Instruments. Changes in the fair value of such derivatives are recognised immediately in the Statement of Profit and Loss.

These option contracts do not qualify for hedge accounting due to absence of economic relationship, hence are accounted as derivative financial instruments under Ind AS 109. Derivative assets/liability are presented separately under financial assets/liability in the balance sheet.

xiii. Property, Plant and Equipment

a) *Recognition and measurement:*

The cost of an item of property, plant and equipment shall be recognised as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably.

Land and buildings held for use in the production or supply of goods or services, or for administrative purposes, are stated at cost less accumulated depreciation and accumulated impairment losses. Freehold land is not depreciated.

Property, plant and equipment are carried at cost less accumulated depreciation and impairment losses, if any. The cost of property, plant and equipment comprises its purchase price/acquisition cost, net of any trade discounts and rebates, any import duties and other taxes (other than those subsequently recoverable from the tax authorities), any directly attributable

expenditure on making the asset ready for its intended use, other incidental expenses and interest on borrowings attributable to acquisition of qualifying property, plant and equipment up to the date the asset is ready for its intended use. Machine spare parts are recognised in accordance with this Ind AS when they meet the definition of property, plant and equipment, otherwise, such items are classified as inventory. Subsequent expenditure on property, plant and equipment after its purchase/completion is capitalised only if such expenditure results in an increase in the future benefits from such asset beyond its previously assessed standard of performance and the cost of item can be measured reliably.

The estimated useful life of the tangible assets and the residual value are reviewed at the end of the each financial year and the depreciation period is revised to reflect the changed pattern, if any.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of consolidated profit and loss.

b) *Depreciation*

Depreciable amount for assets is the cost of an asset, or other substituted for cost, less its estimated residual value. Depreciation is calculated on the basis of the estimated useful lives using the straight line method and is generally recognised in the statement of consolidated profit and loss. Depreciation for assets purchased/sold during the year is proportionately charged from/upto the date of disposal. However, leasehold improvements are depreciated on a straight-line method over the shorter of their respective useful lives or the tenure of the lease arrangement. Free hold land is not depreciated.

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The estimated useful lives of items of property, plant and equipment for the current and comparative periods are as follows:

Asset category	Management estimate of useful life	Useful life as per Schedule II
Building	30 to 60 years	30 to 60 years
Plant, machinery and equipment	4 to 15 years	10 to 15 years
Computers and server	3 to 6 years	3 to 6 years
Furniture and Fixtures	5 to 10 years	10 years
Office equipment	4 to 5 years	5 years
Vehicles	4 to 5 years	8 years

Based on technical evaluation and consequent advice, the Management believes that its estimates of useful lives as given above represents the period over which the Management expects to use these assets.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment. Repairs and maintenance costs are recognised in the statement of consolidated profit and loss when incurred.

The cost and related accumulated depreciation are eliminated from the consolidated financial statements upon sale or disposition of the asset and the resultant gains or losses are recognised in the statement of consolidated profit and loss.

Advance paid towards acquisition of fixed assets outstanding at each consolidated balance sheet date is disclosed as capital advances under non-current assets.

Capital work-in-progress includes cost of property, plant and equipment under installation/under development as at the consolidated balance sheet date.

investment properties are measured in accordance with Ind AS 16's requirements for cost model.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of consolidated profit and loss in the period in which the property is derecognised.

The Group depreciates building component of investment property over 20 years from the date of acquisition.

The fair values of the investment property are disclosed in the notes. Fair values is determined by an independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the investment property being valued.

The cost of Investment property at 1st April 2016, the Group's date of transition to Ind AS, was determined with reference to its carrying value recognised as per the previous GAAP (deemed cost), as at the date of transition to Ind AS.

xiv. Investment property

Investment properties are properties held to earn rentals and/or for capital appreciation. Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition,

xv. Leases

The Group assesses at contract inception whether a contract is, or contains, a lease i.e., if the contract conveys the right to control the use of an identified asset for a period in exchange of consideration.

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for the year ended 31st March 2026

Group as a Lessee

The Group applies a single recognition and measurement approach for all leases except for short-term leases. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets. The nature of expenses related to those leases has changed from lease rent in previous periods to (i) amortisation for the right-to-use asset, and (ii) interest accrued on lease liability.

a) Right-of-use assets:

Right-of-use assets are measured at cost comprising the following:

- i) the amount of the initial measurement of lease liability
- ii) any initial direct costs
- iii) restoration costs

Right-of-use assets are depreciated over the lease term on a straight-line basis.

b) Lease Liabilities:

Lease liabilities are measured at present value of following components:

- i) fixed payments less any lease incentives receivable
- ii) amounts expected to be payable by the Group under residual value guarantee

Incremental borrowing rate used for discounting has been determined by taking the interest rates obtained from financial institutions for borrowing the similar value of right of use assets for similar tenure. The rates will be reassessed on a yearly basis at the beginning of each accounting period to reflect changes in financial conditions.

c) Short-term leases:

The Group applies the short-term lease recognition exemption to its short-term lease contracts (i.e. those leases that have

a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on a short-term leases are recognised as expense on a straight-line basis over the lease term.

d) Variable payments:

Variable lease payments that depend on sales are recognised in the Statement of profit or loss in the period in which the condition that triggers those payments occurs.

e) Modification/termination of lease:

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment. A corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

Group as a Lessor:

In case of sub-leasing, where the Group, being the original lessee and intermediate lessor, grants a right to use the underlying asset to a third party, the head lease is recognised as lease liability and sub-lease is recognised as lease receivables in the Balance Sheet of the Group. Interest expense is charged on the lease liability and interest income is recognised on lease receivables in the statement of profit or loss.

xvi. Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Subsequent expenditure is capitalised only when it increases the future economic benefits attributable to the asset will flow to the Group and the cost of asset

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can be measured reliably. All other expenditure is recognised in profit or loss as incurred.

Intangible assets are stated at cost less accumulated amortisation and impairment. Intangible assets are amortised over their respective estimated useful lives on a straight line basis, from the date that they are available for use. The estimated useful life of an identifiable intangible assets is based on a number of factors including the effects of obsolescence, demand, competition and other economic factors (such as the stability of the industry and known technological advances) and the level of maintenance expenditures required to obtain the expected future cash flows from the asset.

The estimated useful lives of intangible assets are as follows:

Computer Software - License period or 5 years, whichever is lower.

Intellectual properties - 5 years

Patents - 5 years

Trademarks - Infinite life

Brand - Infinite life.

The estimated useful life of the intangible assets and the amortisation period are reviewed at the end of each financial year and the amortisation period is revised to reflect the changed pattern, if any.

The cost of Intangible assets at 1st April 2016, the Group's date of transition to Ind AS, was determined with reference to its carrying value recognised as per the previous GAAP (deemed cost), as at the date of transition to Ind AS.

Intangibles under development includes cost of intangible assets under development as at the balance sheet date.

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

xvii. Impairment

Impairment of financial assets:

The Group recognises loss allowances using the expected credit loss (ECL) model for the financial assets which are not fair valued through profit or loss. Loss allowance for trade receivables with no significant financing component is measured at an amount equal to life time ECL. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL.

The Group evaluates a significant increase in credit risk based on quantitative and qualitative indicators such as overdue status, deterioration in credit rating, and adverse changes in business or economic conditions.

The amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recognised is recognised as an impairment gain or loss in the statement of consolidated profit and loss.

Impairment of non-financial assets:

At the end of each reporting period, the Group reviews the carrying amounts of its non-financial assets (other than investment property, inventories, contract asset and deferred tax assets) to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the assets is estimated in order to determine the extent of the impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

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Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of consolidated profit and loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or cash generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash generating unit) in prior years. A reversal of impairment loss is recognised immediately in the statement of consolidated profit and loss.

Impairment of Infinite intangible assets:

A cash generating unit to which infinite intangible assets has been allocated is tested for impairment annually, or more frequently when there is an indication that the unit may be impaired. If the recoverable amount of the cash generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any infinite intangible assets allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit. Any impairment loss for such asset is recognised in the statement of consolidated profit and loss. An impairment loss recognised of such asset is not reversed in subsequent periods.

xviii. Foreign currencies

a) Transactions and balances:

In preparing the consolidated financial statements of the Group, transactions in currencies other than the entity's functional

currency (foreign currencies) are recognised at the rates of exchange prevailing at the date of the transaction. At the end of each reporting period, monetary items denominated in foreign currency are translated at the rates prevailing at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are not translated.

Exchange differences on monetary items are recognised in the statement of consolidated profit and loss in the period in which they arise except for exchange differences on transactions designated as cash flow hedge (refer note xxiii(b)).

b) Foreign operations:

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations that have a functional currency other than Indian rupees are translated into Indian rupees using exchange rates prevailing at the reporting date. Income and expense items are translated at the average exchange rates for the period. Exchange differences arising, if any, are recognised in other comprehensive income and held in foreign currency translation reserve (FCTR), a component of equity, except to the extent that the translation difference is allocated to non-controlling interest. When a foreign operation is disposed off, the relevant amount recognised in FCTR is transferred to the statement of consolidated profit and loss as part of the profit or loss on disposal. Goodwill and fair value adjustments arising on the acquisition of a foreign operation are treated as assets and liabilities of the foreign operation and translated at the exchange rate prevailing at the reporting date.

xix. Borrowing cost

Borrowing costs are interest and other costs (including exchange differences relating to foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs) incurred in connection with borrowing of funds. The borrowing cost includes interest expense

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for the year ended 31st March 2026

accrued on gold on loan taken from banks. Borrowing costs attributable to acquisition or construction of an asset which necessarily take a substantial period of time to get ready for their intended use are capitalised as part of the cost of asset. Other borrowing costs are recognised as an expense in the period in which they are incurred.

xx. Employee benefits

Short-term employee benefits

All short-term employee benefits such as salaries, wages, bonus, special awards and medical benefits which fall within 12 months of the period in which the employee renders related services which entitles them to avail such benefits and non-accumulating compensated absences are recognised on an undiscounted basis and charged to the statement of consolidated profit and loss.

A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined contribution plan

The Group's contributions to the Superannuation Fund which is managed by a Trust and Pension Fund administered by Regional Provident Fund Commissioner and Group's contribution to National pension Scheme are charged as an expense based on the amount of contribution required to be made and when services are rendered by the employees.

Defined benefit plan

The contribution to the Group's Gratuity Trust and liability towards pension of retired managing directors are provided using the projected unit credit method, with actuarial valuations being carried out at the end of each reporting period. Remeasurement, comprising actuarial gains and losses is reflected immediately in the consolidated balance sheet with charge or credit recognised in other comprehensive income in the period in which they occur. Remeasurement recognised in other comprehensive income is reflected in retained earnings and is not reclassified to the statement of consolidated profit and loss.

The contribution to the Group's Provident Fund Trust is made at predetermined rates and is charged as an expense based on the amount of contribution required to be made and when services are rendered by the employees.

Compensated absences

Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as an actuarially determined liability at the present value of the defined benefit obligation at the consolidated balance sheet date.

xxi. Taxation

Income tax comprises of current tax and deferred tax. It is recognised in the statement of consolidated profit and loss except to the extent that it relates to an item recognised directly in the other comprehensive income.

- a) Current tax: The current tax is based on taxable profit for the year. Taxable profit differs from 'profit before tax' as reported in the statement of consolidated profit and loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.
- b) Deferred tax: Deferred tax assets and liabilities are recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax assets paid in accordance with the tax laws in India, which is likely to give future economic benefits in the form of availability of set off against future income tax liability.

Deferred income tax liabilities are recognised for all taxable temporary differences except in respect of taxable temporary differences associated with investments in subsidiaries,

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associates and joint ventures where the timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

Deferred tax assets are not recognised, when the deferred income tax arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable profits or loss at the time of the transaction.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be utilised.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

The Group offsets deferred income tax assets and liabilities, where it has a legally enforceable right to offset current tax assets against current tax liabilities, and they relate to taxes levied by the same taxation authority on either the same taxable entity, or on different taxable entities where there is an intention to

settle the current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

Current and deferred tax are recognised as an expense or income in the Standalone Statement of Profit and Loss, except when they relate to items credited or debited either in Other Comprehensive Income or directly in equity, in which case the tax is also recognised in OCI or directly in equity.

xxii. Financial instruments

Recognition of financial assets:

Financial assets and financial liabilities are recognised when the Group becomes a party to the contractual provisions of the instruments.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus. Transaction costs that are directly attributable to financial assets and liabilities [other than financial assets and liabilities measured at fair value through profit and loss (FVTPL)] are added to or deducted from the fair value of the financial assets or liabilities, as appropriate on initial recognition. Transaction costs directly attributable to acquisition of financial assets or liabilities measured at FVTPL are recognised immediately in the statement of profit and loss.

A trade receivable without a significant financing component is initially measured at the transaction price.

All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in market place.

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of financial assets.

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for the year ended 31st March 2026

A) **Financial Assets**

Classification of financial assets:

On initial recognition, a financial asset is classified at

- (i) Amortised cost
- (ii) Fair value through other comprehensive income (FVOCI)
- (iii) Fair value through profit and loss (FVTPL)

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the group changes its business model for managing financial assets.

i) Financial assets at amortised cost:

A financial asset is measured at amortised cost if both of the following conditions are met:

- a) the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and
- b) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

In case of financial assets classified and measured at amortised cost, any interest income, foreign exchange gains or losses and impairment are recognised in the Statement of Profit and Loss.

Effective interest method:

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period. The effective interest rate that exactly discounts estimated future cash receipts through the expected life of the debt instrument, or, where appropriate, a shorter period, to the net carrying amount on initial recognition.

Income is recognised on an effective interest basis for debt instruments other than those financial assets. Interest income is recognised in profit or loss and is included in the "Other income" line item.

ii) Investments in equity instruments at Fair Value Through Other Comprehensive Income (FVTOCI)

On initial recognition, the Group can make an irrevocable election (on an instrument-by-instrument basis) to present the subsequent changes in fair value either in the statement of consolidated profit and loss or in other comprehensive income pertaining to equity instruments. This election is not permitted if the equity investment is held for trading. These elected investments are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the 'Reserve for equity instruments through other comprehensive income'. The cumulative gain or loss is not reclassified to the statement of consolidated profit and loss on disposal of the investment.

A financial asset is held for trading if:

- it has been acquired principally for the purpose of selling it in the near term; or
- on initial recognition it is part of a portfolio of identified financial instruments that the Group manages together and has a recent actual pattern of short-term profit-taking; or
- it is a derivative that is not designated and effective as a hedging instrument or a financial guarantee.

Currently, the Group has not elected to present subsequent changes in investments in equity instruments in OCI. Accordingly, the same are considered as investments measured at FVTPL.

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for the year ended 31st March 2026

iii) *Investments in equity instruments at FVTPL*

A financial asset that meets the amortised cost criteria may be designated as at FVTPL upon initial recognition if such designation eliminates or significantly reduces a measurement or recognition inconsistency that would arise from measuring assets or liabilities or recognising the gains and losses on them on different bases.

Financial assets at FVTPL are measured at fair value at the end of each reporting period, with any gains or losses arising on remeasurement recognised in the statement of consolidated profit and loss. The net gain or loss recognised in the statement of consolidated profit and loss incorporates any dividend or interest earned on the financial asset and is included in the 'Other income' line item. Dividend on financial assets at FVTPL is recognised when the Group's right to receive the dividend is established, it is probable that the economic benefits associated with the dividend will flow to the entity, the dividend does not represent a recovery of part of the cost of the investment and the amount of dividend can be measured reliably.

a) *Subsequent measurement and gains and losses*

Financial assets at FVTPL: These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.

Financial assets at amortised cost: These assets are subsequently measured at amortised cost using the effective interest method. Any interest income, foreign exchange gains or losses and impairment are recognised in the Statement of Profit and Loss.

Financial assets at FVTOCI: Currently, the Group has not elected to present subsequent changes in investments in equity instruments in OCI. Accordingly, the same are considered as investments measured at FVTPL.

b) *Derecognition of financial assets*

A financial asset is derecognised only when

- The Group has transferred the rights to receive cash flows from the financial asset or
- retains the contractual rights to receive the cash flows of the financial asset, but assumes a contractual obligation to pay the cash flows to one or more recipients.

When the entity has transferred an asset, the Group evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised.

Whether the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.

Where the entity has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of the financial asset, the financial asset is derecognised if the Group has not retained control of the financial asset. When the Group retains control of the financial asset, the asset is continued to be recognised to the extent of continuing involvement in the financial asset.

Any gain or loss arising from the derecognition of the financial asset is recognised in the profit and loss statement.

c) *Foreign exchange gains and losses*

The fair value of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period.

- For foreign currency denominated financial assets measured at amortised cost and FVTPL, the exchange differences are recognised in the statement of consolidated profit and loss except for those which are designated as hedging instruments in a hedging relationship.

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- For the purposes of recognising foreign exchange gains and losses, FVTOCI debt instruments are treated as financial assets measured at amortised cost. Thus, the exchange differences on the amortised cost are recognised in the statement of consolidated profit and loss and other changes in the fair value of FVTOCI financial assets are recognised in other comprehensive income.

d) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the balance sheet when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

B) Financial liabilities: classification, subsequent measurement and derecognition:

Equity instruments:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by a group entity are recognised at the proceeds received, net of direct issue costs.

Other Financial liabilities:

All financial liabilities are subsequently measured at amortised cost using the effective interest method or at FVTPL.

However, financial liabilities that arise when a transfer of a financial asset does not qualify for derecognition or when the continuing involvement approach applies, financial guarantee contracts issued by the Group, and commitments issued by the Group to provide a loan at below-market interest rate are measured in accordance with the specific accounting policies set out below.

Financial liabilities at FVTPL

A financial liability is classified as FVTPL if it is classified as held-for-trading, or it is a derivative or it is designated as such in initial recognition.

Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in the statement of consolidated profit and loss. The net gain or loss recognised in the statement of consolidated profit and loss incorporates any interest paid on the financial liability and is included in the 'Other income/Other expenses' line item.

The Group has designated amount payable for gold taken on loan from banks on initial recognition as fair value through profit and loss.

Financial liabilities subsequently measured at amortised cost.

Financial liabilities that are not held-for-trading and are not designated as at FVTPL are measured at amortised cost at the end of subsequent accounting periods. The carrying amounts of financial liabilities that are subsequently measured at amortised cost are determined based on the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Foreign exchange gains and losses:

For financial liabilities that are denominated in a foreign currency and are measured at amortised cost at the end of each reporting period, the foreign exchange gains and losses are determined based on the amortised cost of the instruments and are recognised in the statement of consolidated profit and loss.

The fair value of financial liabilities denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of the reporting period. For financial liabilities that are measured as at FVTPL, the foreign exchange component forms part of the fair value gains or losses and is recognised in the statement of consolidated profit and loss.

Notes to consolidated financial statements

for the year ended 31st March 2026

Derecognition of financial liabilities:

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or have expired. An exchange with a lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability.

The Group has applied derecognition requirements of financial assets and financial liabilities prospectively for transactions occurring on or after the transition date of Ind AS.

xxiii. Derivative financial instruments

a) *Derivative instruments not designated as Cash flow hedges/Fair value hedge:*

The Group enters into a variety of derivative financial instruments to manage its exposure to foreign exchange rate risks, including foreign exchange forward contracts, future contracts and options.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in the statement of consolidated profit and loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedging relationship and the nature of the hedged item.

b) *Cash flow hedges*

The Group uses derivative financial instruments to manage risks associated with gold price fluctuations relating to certain highly probable forecasted transactions, foreign currency fluctuations relating to certain firm commitments. The Group has designated derivative financial instruments taken for gold price fluctuations as 'cash flow' hedges relating to highly probable forecasted transactions.

The use of derivative financial instruments is governed by the Group's policies approved by the Board of Directors, which provide written principles on the use of such instruments consistent with the Group's risk management strategy.

Hedging instruments are initially measured at fair value, and are re-measured at subsequent reporting dates. Changes in the fair value of these derivatives that are designated and effective as hedges of future cash flows are recognised in other comprehensive income and accumulated under the heading hedging reserve and the ineffective portion is recognised immediately in the statement of profit and loss.

Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated, or exercised, or no longer qualifies for hedge accounting. For forecasted transactions, any cumulative gain or loss on the hedging instrument recognised in hedging reserve is retained until the forecast transaction occurs upon which it is recognised in the statement of profit and loss. If a hedged transaction is no longer expected to occur, the net cumulative gain or loss accumulated in hedging reserve is recognised immediately to the statement of profit and loss.

The Group has designated derivative financial instruments taken for gold price fluctuations as 'cash flow' hedges relating to highly probable forecasted transactions. The Group has followed cashflow hedge for hedging contracts taken up to 30th June 2021.

c) *Fair Value Hedge:*

The Group adopted fair value hedge for the derivative contracts entered into and designated derivative contracts or non-derivative financial liabilities as hedging instruments to mitigate the risk of change in fair value of hedged item due to movement in interest rates, foreign exchange rates and commodity prices. Changes in the fair value

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of hedging instruments and hedged items that are designated and qualify as fair value hedges are recorded in the Statement of Profit and Loss with an adjustment to the carrying value of the hedged item. Hedge accounting is discontinued when the Group revokes the hedge relationship, the hedging instrument or hedged item expires or is sold, terminated, or exercised or no longer meets the criteria for hedge accounting.

The Group designates derivative contracts as hedging instruments to mitigate the risk of change in fair value of hedged item i.e. fixed gold inventory due to movement in gold prices.

The Group also designated the trade payables pertaining to gold taken on loan from banks ('unfixed gold') as a fair value hedge to the corresponding gold inventory purchased on loan.

The Group designates non derivative financial liabilities as hedging instruments to mitigate the risk of change in fair value of hedged item due to movement in interest rates, foreign exchange rates and commodity prices. Changes in the fair value of hedging instruments and hedged items that are designated and qualify as fair value hedges are recorded in the statement of consolidated profit and loss with an adjustment to the carrying value of the hedged item.

xxiv. Provisions and contingencies

Provisions: A provision is recognised when the Group has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash

flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of time value of money is material).

Product warranty expenses: Product warranty costs are determined based on past experience and provided for in the year of sale.

Contingent liabilities: A disclosure for contingent liabilities is made where there is a possible obligation or a present obligation that may probably not require an outflow of resources. When there is a possible or a present obligation where the likelihood of outflow of resources is remote, no provision or disclosure is made in the consolidated financial statements.

Provision for onerous contracts. i.e. contracts where the expected unavoidable cost of meeting the obligations under the contract exceed the economic benefits expected to be received under it, are recognised.

Contingent assets: Contingent asset is not recognised in standalone financial statements since this may result in the recognition of income that may never be realised. However, when the realisation of income is virtually certain, then the related asset is not a contingent asset and is recognised.

Provisions, contingent liabilities and contingent assets are reviewed at each Balance Sheet date.

When it is probable that an outflow of resources embodying economic benefits will be required to settle a present obligation as a result of an obligating event based on a reliable estimate of such obligation.

xxv. Segment reporting

Operating segments are reported in the manner consistent with the internal reporting to the chief operating decision maker (CODM).

The Group's primary segments consist of Watches, Jewellery, Eyewear, Corporate and Others, where 'Others' include Aerospace & Defence, Automation

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for the year ended 31st March 2026

Solutions, Fragrances, Accessories and Indian dress wear. Secondary information is reported geographically.

Segment assets and liabilities include all operating assets and liabilities. Segment results include all related income and expenditure. Corporate (unallocated) represents other income and expenses which relate to the Group as a whole and are not allocated to segments.

xxvi. Consolidated cash flow statement

Consolidated cash flows are reported using indirect method, whereby net profits before tax is adjusted for the effects of transactions of a non-cash nature and any deferrals or accruals of past or future cash receipts or payments and items of income or expenses associated with investing or financing cash flows. The consolidated cash flows from regular revenue generating (operating activities), investing and financing activities of the Group are segregated.

xxvii. Cash and cash equivalents

Cash and cash equivalents includes cash on hand, demand deposits with banks, other short-term highly liquid investments with original maturities of three months or less.

xxviii. Earnings per share

Basic Earnings Per Share ('EPS') is computed by dividing the net profit attributable to the equity shareholders by the weighted average number of equity shares outstanding during the year adjusted for treasury shares held. Diluted earnings per share is computed by dividing the net profit by the weighted average number of equity shares considered for deriving basic earnings per share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the year, unless issued at a later date. In computing diluted earnings per share, only potential equity shares that are dilutive and that either reduces earnings per share or increases loss per share are included.

xxix. Share based payments

The stock options granted to employees in terms of the Company's Performance Based Stock Units Scheme, are measured at the fair value of the options as on the grant date. The fair value of the options is accounted as employee expense is expensed over the period from the modification date till the vesting date over the vesting period on a straight-line basis (net of forfeitures) based on the fulfilment of the probability of the performance conditions and employee's requisite service period. The amount recognised as expense in each year is arrived at based on the number of grants expected to vest and if a grant lapses after the vesting period, the cumulative amount recognised as expense in respect of such grant is transferred to the retained earnings within equity. The fair value of the stock options granted to employees of the Company's subsidiaries is accounted as a recharge and recovered from the subsidiary.

On modification of an equity settled award, the Company re-estimates the fair value of stock option as on the date of modification and any incremental expense is expensed over the period from the modification date till the vesting date.

The share- based payment equivalent to the fair value as on the date of grant of employee stock options granted to key managerial personnel is disclosed as a related party transaction in the year of grant.

The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

The Company estimates the fair value of stock options using option pricing model.

xxx. Treasury share reserve

The Company's equity shares held by a trust, which is consolidated as a part of the Company, are classified as Treasury shares. Treasury shares are carried at acquisition cost and presented as a deduction from total equity as "Treasury share reserve". As and when treasury shares

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are transferred to employees on exercise after satisfaction of the vesting conditions, the balance lying in "Treasury share reserve" is transferred to "Retained earnings".

xxxi. Dividend

The final dividend proposed by the Board of Directors is recognised only on approval by the shareholders in the general meeting who have the right to decrease but not increase the amount of dividend recommended by the Board of Directors. Interim dividends are recognised on declaration by the Board of Directors. Final and interim dividend excludes dividend on treasury shares.

xxxii. Government Grants

Government grants are recognised where there is reasonable assurance that the grant will be received, and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed. When the grant relates to an asset, it is recognised as income in equal amounts over the expected useful life of the related asset.

When the Group receives grants of non-monetary assets, the asset and the grant are recorded at fair value amounts and released to profit or loss over the expected useful life in a pattern of consumption of the benefit of the underlying asset i.e. by equal annual instalments.

xxxiii. Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. 1st April 2025. The Group has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f 1st April 2025 The amendment relates to classification of liabilities as current or non-current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Group has no impact of these amendments in its classification criteria of current and non-current liabilities.
2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments - Disclosures, applicable w.e.f 1st April, 2025 - The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Group has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.
3. Ind AS 12, International Tax Reform - Pillar Two Model Rules applicable immediately - The amendments provide a temporary mandatory relief from deferred tax accounting for top-up tax and disclose that they have applied the relief. This relief is immediate and applies retrospectively. The Group has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

Notes to consolidated financial statements

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3.1 Property, plant and equipment

₹ in crore

Particulars	Land	Buildings	Plant, machinery and equipment	Computer and Servers	Leasehold improvements	Furniture and fixtures	Office equipments	Vehicles	Total
Gross block									
As at 1 st April 2024	138	594	899	212	556	173	110	50	2,732
Additions	-	17	129	52	125	45	22	15	405
Disposals/other adjustment	-	-	(19)	(36)	(15)	(19)	(7)	(9)	(105)
Assets held for sale	-	-	1	1	-	-	1	-	3
Adjustments	-	-	2	(1)	3	(6)	1	1	-
Currency translation differences*	-	-	0	0	-	0	0	-	0
As at 31st March 2025	138	611	1,012	228	669	193	127	57	3,035
As at 1 st April 2025	138	611	1,012	228	669	193	127	57	3,035
Additions	114	17	179	49	109	92	52	20	632
Disposals/other adjustment	-	-	(9)	(15)	(51)	(17)	(10)	(9)	(111)
Acquisition through business combination (refer note 40)	155	245	14	2	-	105	6	-	527
Currency translation differences	8	13	1	0	0	6	1	0	29
As at 31st March 2026	415	886	1,197	264	727	379	176	68	4,112
Accumulated depreciation									
As at 1 st April 2024	-	90	365	128	294	50	49	19	995
Depreciation expense	-	14	73	44	77	33	19	12	272
Disposals	-	-	(17)	(35)	(13)	(11)	(4)	(7)	(87)
Adjustments	-	-	1	-	(11)	8	2	-	-
Currency translation differences	-	-	0	0	(0)	0	1	-	1
As at 31st March 2025	-	104	422	137	347	80	67	24	1,181
As at 1 st April 2025	-	104	422	137	347	80	67	24	1,181
Depreciation expense	-	20	81	45	94	53	24	13	330
Disposals	-	-	(3)	(15)	(43)	(13)	(7)	(7)	(88)
Currency translation differences	-	-	(0)	1	0	2	0	-	4
As at 31st March 2026	-	124	500	168	398	122	85	30	1,427
Net carrying value									
As at 31st March 2025	138	507	590	91	322	113	60	33	1,854
As at 31st March 2026	415	762	697	96	329	257	91	38	2,684

Refer Note 17.1(a) for details of security

Notes to consolidated financial statements

for the year ended 31st March 2026

3.2 Capital work-in-progress

₹ in crore

Particulars	Amount
As at 1st April 2024	88
Additions	410
Capitalisations	(405)
As at 31 st March 2025	93
As at 1st April 2025	93
Additions	641
Acquisition through business combination (refer note 40)	33
Capitalisations	(632)
As at 31st March 2026	135

Capital-Work-in Progress (CWIP) ageing schedule

₹ in crore

Amount in CWIP as at 31 st March 2026	Amount in CWIP as at 31 st March 2026				Total
	< 1 year	1-2 years	2-3 years	> 3 years	
Projects in progress	124	10	1	0	135
Projects temporarily suspended	-	-	-	-	-

₹ in crore

Capital work-in-progress	Amount in CWIP as at 31 st March 2025				Total
	< 1 year	1-2 years	2-3 years	> 3 years	
Projects in progress	91	1	1	-	93
Projects temporarily suspended	-	-	-	-	-

Capital-Work-in Progress (CWIP) schedule whose completion is overdue as on 31st March 2026

₹ in crore

Projects	CWIP to be completed in				Total
	< 1 year	1-2 years	2-3 years	> 3 years	
Building - Jewellery	5	-	-	-	5
Building - Watches	-	-	-	-	-

Capital-Work-in Progress (CWIP) schedule whose completion is overdue as on 31st March 2025

₹ in crore

Projects	CWIP to be completed in				Total
	< 1 year	1-2 years	2-3 years	> 3 years	
Building - Jewellery	-	-	-	-	-
Building - Watches	-	-	-	-	-

Note: The Group does not have any projects whose costs have exceeded the original plan.

Notes to consolidated financial statements

for the year ended 31st March 2026

4 Right of use assets*

₹ in crore

Particulars	Leasehold land	Buildings	Total
As at 1 st April 2024	25	2,396	2,421
Additions	-	664	664
Derecognition	-	(164)	(164)
Currency translation differences	-	1	1
As at 31st March 2025	25	2,897	2,922
As at 1 st April 2025	25	2,897	2,922
Additions	-	773	773
Acquisition through business combination (refer note 40)	-	218	218
Modifications/terminations	-	18	18
Derecognition	-	(301)	(301)
Currency translation differences	-	21	21
As at 31st March 2026	25	3,626	3,651
Accumulated amortisation			
As at 1 st April 2024	2	876	878
Amortisation	0	360	360
Derecognition	-	(90)	(90)
Currency translation differences	-	(0)	(0)
As at 31st March 2025	2	1,146	1,148
As at 1 st April 2025	2	1,146	1,148
Amortisation	0	427	427
Derecognition	-	(125)	(125)
Currency translation differences	-	6	6
As at 31st March 2026	2	1,454	1,456
Net carrying value			
As at 31st March 2025	23	1,751	1,774
As at 31st March 2026	23	2,172	2,195

*Also, refer note 29

5.1 Investment property

₹ in crore

Particulars	Land and Building	Total
As at 1 st April 2024	1	1
Additions	-	-
As at 31st March 2025	1	1
As at 1 st April 2025	1	1
Additions	-	-
Acquired on account of business combination (refer note 40)	128	128
Depreciation	-	-
Currency translation differences	7	7
As at 31st March 2026	136	136

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	Land and Building	Total
Accumulated depreciation		
As at 1 st April 2024	-	-
Amortisation expense	-	-
Derecognition	-	-
Currency translation differences	-	-
As at 31st March 2025	-	-
As at 1 st April 2025	-	-
Amortisation expense*	0	0
Derecognition	-	-
Currency translation differences	-	-
As at 31st March 2026	0	0
As at 31st March 2025	1	1
As at 31st March 2026	136	136

- The Group's investment properties consist of land and building.
- Fair market value of existing land at ₹ 89 crore (Previous year: ₹ 89 crore) have been arrived at on the basis of valuations carried out by Chartered Engineer during the years ended 31st March 2026 and 31st March 2025.
- During the year, the group has acquired investment property as a part of acquisition of subsidiary. The acquired investment property consists of land and building held for capital appreciation purposes. The fair value of such investment properties are arrived at ₹ 135 crore (refer note 40).
- The Group has no restrictions on the realisability of its investment properties and no contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance and enhancements.
- Rental income has been accrued against these properties.

Information regarding income and expenditure of Investment properties

	31-Mar-26	31-Mar-25
Rental income derived from investment properties*	0	-
Direct operating expenses (including repairs and maintenance) arising from investment properties that generating rental income	-	-
Direct operating expenses (including repairs and maintenance) arising from investment properties that did not generate rental income	-	-
Profit arising from investment properties before depreciation and indirect expenses	0	-
Less – Depreciation*	0	-
Profit/(loss) arising from investment properties before indirect expenses	0	-

*Items not presented due to rounding off to the nearest ₹ crore.

Notes to consolidated financial statements

for the year ended 31st March 2026

5.2 Goodwill

₹ in crore	
Particulars	Land
Opening Goodwill as at 1 st April 2024	123
Movement during the year	-
Closing Goodwill as at 31st March 2025	123
Opening Goodwill as at 1 st April 2025	123
Acquisition through business combination (refer note 40)	603
Currency translation differences	32
Closing Goodwill as at 31st March 2026	758

Goodwill is tested for impairment at least annually in accordance with the Group's procedure for determining the recoverable value of such assets. For the purpose of impairment testing, goodwill is allocated to a CGU representing the lowest level/group of CGUs within the Group at which goodwill is monitored for internal management purposes, and which is not higher than the Group's operating segment. The goodwill amounting to ₹ 123 crore is allocated to the CaratLane CGU, ₹ 599 crore is allocated to Damas CGU and ₹ 4 crore is allocated to Chennai Nova Plant CGU.

The recoverable amount of the each CGU is determined on the basis of value-in-use (VIU). The VIU of the CGU is determined based on discounted cash flow projections. Key assumptions on which the Company has based its determination of VIU include estimated cash flows, terminal value and discount rates.

Value-in-use is calculated using after tax assumptions. The use of after tax assumptions does not result in a value-in-use that is materially different from the value-in-use that would result if the calculation was performed using before tax assumptions.

The key assumptions used in the estimation of the recoverable amount are set out below. The value assigned to the key assumptions represent management's assessment of future trends in the relevant industries and have been based on historical data from both external and internal sources.

For CaratLane CGU

- Terminal value growth rate 6% (previous year 6%)
- Discount rate post tax 13% (previous year 13%)

For Damas CGU

- Terminal value growth rate 3%
- Discount rate post tax 9.7%

For Chennai Nova plant CGU

- Terminal value growth rate 1%
- Discount rate post tax 16%

The discount rate is a post-tax measure estimated based on the historical industry average weighted-average cost of capital, with a possible debt leveraging applicable to the region at a market interest rate applicable to the respective region.

The cash flow projections include specific estimates for ten years for CaratLane CGU, five years for Damas CGU and three years for Chennai Nova Plant CGU and a terminal growth rate thereafter. The terminal growth rate has been determined based on management's estimate of the long-term compound annual EBITDA growth rate, consistent with the assumptions that a market participant would make. Revenue growth has been projected taking into account the average growth levels experienced over the past years and the estimated sales volume and price growth for the coming years. It has been assumed that the sales price would increase in line with forecast inflation over the next ten years/five years respectively.

Notes to consolidated financial statements

for the year ended 31st March 2026

An analysis of the calculation's sensitivity to a change in the key parameters (revenue growth, operating margin, discount rate and long-term growth rate) based on reasonably probable assumptions, did not identify any probable scenarios where the CGU's recoverable amount would fall below its carrying amount.

The cash flows beyond 5 years have been extrapolated assuming 6% long-term growth rates for CaratLane CGU, 3% long term growth rates for Damas CGU and 1% long term growth rates for Chennai Nova Plant CGU which are consistent. Any reasonably possible change in the key assumptions would not cause the carrying amount to exceed the recoverable amount of the cash generating unit. As a result of the updated analysis, management did not identify impairment for this CGU.

6.1 Other intangible assets

₹ in crore							
Particulars	Trademarks	Intellectual properties	Patents	Computer software	Technical knowhow	Brand	Total
Owned							
As at 1 st April 2024	3	6	8	304	-	180	501
Additions	-	-	-	70	-	-	70
Disposals/other adjustment	-	-	-	(6)	-	-	(6)
As at 31st March 2025	3	6	8	368	-	180	565
As at 1 st April 2025	3	6	8	368	-	180	565
Additions	-	-	-	33	-	-	33
Acquired on account of business combination (refer note 40)	-	-	-	3	26	763	792
Currency translation differences	-	-	-	-	-	38	38
As at 31st March 2026	3	6	8	404	26	981	1,428
Accumulated amortisation							
As at 1 st April 2024	3	2	4	187	-	-	196
Amortisation *	-	0	0	61	-	-	61
Disposals	-	-	-	(3)	-	-	(3)
Translation exchange differences	-	-	-	1	-	-	1
As at 31st March 2025	3	2	4	246	-	-	255
As at 1 st April 2025	3	2	4	246	-	-	255
Amortisation	-	-	-	62	7	-	69
Disposals	-	-	-	-	-	-	-
Currency translation differences	-	-	-	(1)	-	-	(1)
As at 31st March 2026	3	2	4	307	7	-	323
Net carrying value							
As at 31st March 2025	-	4	4	122	-	180	310
As at 31st March 2026	-	4	4	97	19	981	1,105

a) For brand impairment testing refer impairment of goodwill note 5.2.

*Items not presented due to rounding off to the nearest ₹ crore.

Notes to consolidated financial statements

for the year ended 31st March 2026

6.2 Intangible assets under development

₹ in crore	
Particulars	Amount
As at 1 st April 2024	9
Additions	66
Capitalisations	(63)
As at 31st March 2025	12
As at 1 st April 2025	12
Additions	49
Capitalisations	(33)
As at 31st March 2026	28

a) Intangible assets under development aging schedule

₹ in crore						
Particulars		As at 31 st March 2026				
		< 1 Year	1 - 2 Years	2 - 3 Years	> 3 Years	Total
i)	Projects in progress	23	5	0	-	28
ii)	Projects temporarily suspended	-	-	-	-	-
		23	5	0	-	28

b) Intangible assets under development aging schedule

₹ in crore						
Particulars		As at 31 st March 2025				
		< 1 Year	1 - 2 Years	2 - 3 Years	> 3 Years	Total
i)	Projects in progress	12	0	0	-	12
ii)	Projects temporarily suspended	-	-	-	-	-
		12	0	0	-	12

Note: The Group does not have any projects where its cost is exceeded its original budget value or where completion is overdue.

7 Financial assets

7.1 Investments

₹ in crore		
Particulars	As at 31st March 2026	As at 31st March 2025
1) Investment in equity instruments - unquoted		
<i>i) In associate company (at cost unless stated otherwise)</i>		
1,500,000 (Previous year: 1,500,000) fully paid equity shares of ₹ 10 each in Green Infra Wind Power Theni Limited {refer note (a) below}	6	5
	6	5

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	As at 31st March 2026	As at 31st March 2025
2) Other investments*		
i) Investments in equity instruments - quoted (at fair value through profit or loss)		
1,000 (Previous year: 1,000) fully paid equity shares of ₹ 10 each in NELCO limited (formerly known as National Radio and Electronics Company Limited)	0	0
25,110 (Previous year: 25,110) fully paid equity shares of ₹ 1 each in Tata Steel Limited	1	0
6,893 (Previous year: 6,893) fully paid equity shares of ₹ 1 each in Tata Consumer Products Limited	1	1
560 (Previous year: 560) fully paid equity shares of ₹ 10 each in Tata Chemicals Limited	0	0
2,211 (Previous year: Nil) fully paid equity shares of ₹ 10 each in M/s Premchander Winds Farms Pvt Ltd	0	-
4,114 (Previous year: Nil) fully paid equity shares of ₹ 10 each in M/s Kanagathara Winds Farms Pvt Ltd	0	-
3,000 (Previous year: 3,000) fully paid equity shares of ₹ 1 each in Trent Limited	1	2
	3	3
ii) Investments in equity instruments - unquoted (at fair value through profit or loss)*		
5,25,000 (Previous year: 5,25,000) fully paid equity shares of ₹ 10 each in Innoviti Payment Solutions Private Limited (formerly known as Innoviti Embedded Solutions Private Limited)	26	26
91,200 (Previous year: 91,200) fully paid equity shares of ₹ 10 each in Green Infra Wind Generation Limited	0	0
30,000 (Previous year: 30,000) fully paid equity shares of ₹ 10 each in Clean Wind Power (Pratapgarh) Private Limited	0	0
61,94,690 (Previous year: 61,94,690) fully paid equity shares of USD 0.5650 each in Investment in Cuezen Inc	33	30
	59	56
iii) Investments in equity instruments - unquoted (at fair value through OCI)		
40,00,000 (Previous year: 40,00,000) fully paid equity shares of USD 0.001 each in Investment in Great Heights Inc.	-	-
Less: Provision for impairment in value of investment	-	-
	-	-

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	As at 31st March 2026	As at 31st March 2025
iii) Investments in non-convertible debentures carried at amortised cost - unquoted		
Investment in non-convertible debentures	971	469
Investment in government securities	66	118
	1,037	587
Aggregate value of investments	1,105	651
Aggregate book value of quoted investments	3	3
Aggregate market value of quoted investments	3	3
Aggregate book value of unquoted investments	1,102	648

- a) The Company has given an undertaking not to sell or encumber in any manner its investments in Green Infra Wind Power Theni Limited in accordance with the Equity Participation agreement.

*Items not presented due to rounding off to the nearest ₹ crore.

7.2 Loans

₹ in crore

Particulars	As at 31st March 2026	As at 31st March 2025
<i>Unsecured, considered good</i>		
Employee loans	66	62
	66	62

7.3 Other financial assets

₹ in crore

Particulars	As at 31st March 2026	As at 31st March 2025
<i>Unsecured, considered good</i>		
Lease receivables	710	672
Security deposits	261	186
Other assets	11	10
	982	868

Notes to consolidated financial statements

for the year ended 31st March 2026

8 Income tax

a) The following is the analysis of deferred tax assets/(liabilities):

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Deferred tax assets	173	170
Deferred tax liabilities	-	(2)
Net deferred tax asset	173	168

₹ in crore

Particulars	As at 1 st April 2025	Recognised in the statement of profit and loss	Recognised in other comprehensive income	Recognised in Retained earnings	As at 31 st March 2026
Deferred tax assets					
Provision for doubtful trade receivables	6	6	-	-	12
Employee benefits	66	(17)	0	-	49
Compensation towards voluntary retirement of employees	11	(2)	-	-	9
Lease liabilities (net of Right-of-use assets)	74	38	-	-	112
Business Loss	7	(5)	-	-	2
Property, plant and equipment	(15)	19	-	-	4
Impairment	13	1	-	-	14
Cash flow hedge reserve	-	-	1	-	1
Others	13	(4)	1	-	10
Sub-total	175	36	2	-	213
Deferred tax liability					
Fair value of investments	(6)	1	-	-	(5)
Others	(1)	(25)	(9)	-	(35)
	(7)	(24)	(9)	-	(40)
	168	12	(7)	-	173

₹ in crore

Particulars	As at 1 st April 2024	Recognised in the statement of profit and loss	Recognised in other comprehensive income	Recognised in Retained earnings	As at 31 st March 2025
Deferred tax assets					
Provision for doubtful trade receivables	3	3	-	-	6
Employee benefits	66	0	-	-	66
Compensation towards voluntary retirement of employees	12	(1)	-	-	11
Lease liabilities (net of Right-of-use assets)	57	17	-	-	74

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	As at 1 st April 2024	Recognised in the statement of profit and loss	Recognised in other comprehensive income	Recognised in Retained earnings	As at 31 st March 2025
Business Loss	20	(13)	-	-	7
ESOP Liabilities (refer note 33)	5	(5)	-	-	-
Impairment	-	13	-	-	13
Others	3	10	-	-	13
Sub-total	166	24	-	-	190
Deferred tax liability					
Property, plant and equipment	(17)	3	-	-	(15)
Fair value of investments	36	(42)	-	-	(6)
Others	(1)	-	-	-	(1)
	18	(39)	-	-	(22)
	184	(15)	-	-	168

The deferred tax asset amounting to ₹ 51.03 crore has not been created for TCL North America due to huge carry forward of Net operating losses of previous years amounting to ₹ 255.14 crore and absence of any foreseeable sufficient taxable profits to support the realisation of Deferred Tax Assets.

b) Amounts recognised in consolidated statement of profit and loss and other comprehensive income.

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Income tax expenses		
1. Amounts recognised in profit or loss		
(i) Current income tax:		
Current income tax expense	1,740	1,223
Tax expense of earlier years	-	(40)
(ii) Deferred tax		
Tax expense on origination and reversal of temporary differences	(12)	15
Income tax expense reported in statement of profit or loss	1,728	1,198
2. Amounts recognised in OCI:		
(i) Items that will not be reclassified to profit or loss		
Remeasurement of employee defined benefit plans	(20)	(6)
(ii) Items that will be reclassified to profit and loss		
Exchange differences on translating the financial statements of foreign operations	(0)	(1)
Net movement on Effective portion of Cash Flow Hedges	(1)	-
Income tax expense reported in OCI section	(21)	(7)
Tax expense for the year	1,707	1,191

Notes to consolidated financial statements

for the year ended 31st March 2026

- c) The reconciliation between the provision of income tax of the Group and amounts computed by applying the Indian statutory income tax rate to profit before taxes is as follows:

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Profit before tax	6,800	4,534
Enacted income tax rate in India	25.17%	25.17%
Computed expected tax expense	1,711	1,141
Effect of:		
Expenses that are not deductible in determining taxable profit	22	22
Income taxes relating to earlier periods	(12)	(6)
Tax effect of losses of current year on which no deferred tax asset is recognised*	-	23
Effect of rebate	(1)	(1)
Rate difference	9	-
Others	(1)	19
Income tax expense recognised in the statement of profit and loss	1,728	1,198

*This includes business losses from a subsidiary in North America which are allowed to be carried forward for unlimited period.

- d) The following table provides the details of income tax assets and income tax liabilities as of 31st March 2026 and 31st March 2025

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Income tax assets (net)	107	104
Current tax liabilities (net)	23	40
Net current income tax assets at the end of the year	84	64

9 Other non-current assets

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
<i>Unsecured, considered good</i>		
Capital advances	37	44
Balance with revenue authorities	106	139
Other assets	11	8
	154	191

Notes to consolidated financial statements

for the year ended 31st March 2026

10 Inventories

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Raw materials	6,641	4,106
Work-in-progress {refer (a) below}	3,498	851
Finished goods	27,377	19,124
Stock-in-trade	5,181	4,065
Stores and spares	42	34
Loose tools	4	4
	42,743	28,184
Included above, goods- in- transit		
Raw materials	40	45
	40	45
(a) Details of inventory of work-in-progress		
Watches	322	272
Jewellery	3,067	481
Others	109	98
	3,498	851

- (b) The cost of inventories recognised as an expense during the year is ₹ 70,307 crore (Previous year: ₹ 47,456 crore).
- (c) The cost of inventories recognised as an expense includes net expense reversal ₹ 141 crore (Previous year: ₹ 9.4 crore) in respect of write down of inventory to net-realisable value.
- (d) The inventory includes Gold purchased on loan from banks amounting to ₹ 15,054 crore (Previous year: ₹ 7,590 crore).
- (e) Inventory lying with the job worker amounting to ₹ 210 crore (Previous year: ₹ 162 crore)
- (f) Refer point (xii) under Material accounting policies for method of valuation.

11 Financial assets

11.1 Investments

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
i) Investments in mutual funds (Unquoted) - {at fair value through profit or loss}		
Mutual funds	1,473	1,031
ii) Investments in non-convertible debentures carried at amortised cost - unquoted		
Investment in non convertible debentures	625	281
Investment in Government securities	52	5
Investment in Certificate Deposit	-	20
Investment in Commercial Paper	99	-
Aggregate value of unquoted investments	2,249	1,337
Aggregate value of investments	2,249	1,337
Aggregate book value of unquoted investments	2,249	1,337

Notes to consolidated financial statements

for the year ended 31st March 2026

11.2 Trade receivables

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Considered good- unsecured	937	1,083
Less: Allowance for doubtful trade receivables	(21)	(15)
	916	1,068
Credit impaired	3	2
Less: Allowance for doubtful trade receivables	(3)	(2)
	-	-
	916	1,068

Note -

(a) Includes dues from related parties - refer note 34.

(b) Expected credit loss allowance

The Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and adjusted for forward-looking information. The expected credit loss allowance is based on the ageing of the days the receivables are due and the rates as given in the provision matrix. The provision matrix at the end of reporting period is as follows:

Expected credit losses

Age of receivables	Expected credit loss (%)					
	Watches	Jewellery	Eyecare	New Category	Automated Solution	Aerospace & Defence
Less than 1 year	2%	0%	4%	2%	3%	3%
1 to 2 years	43%	22%	48%	33%	11%	52%
2 to 3 years	49%	27%	64%	26%	33%	66%
Over 3 years	100%	47%	100%	60%	100%	100%

Movement in expected credit loss allowance

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Balance at the beginning of the year	17	11
Provision for loss allowance	7	6
Balance at the end of the year	24	17

The concentration of credit risk is limited due to the fact that the customer base is large and unrelated.

Notes to consolidated financial statements

for the year ended 31st March 2026

a) Trade Receivables ageing schedule

₹ in crore

Particulars	Outstanding as at 31 st March 2026							Total
	Unbilled	Not Due	< 6 months	6 months to 1 year	1-2 years	2-3 years	> 3 years	
(i) Undisputed trade receivables - considered good	15	452	283	122	43	16	6	937
(ii) Undisputed trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(iii) Undisputed trade receivables - credit impaired	-	-	0	0	2	0	1	3
(iv) Disputed trade receivables - Considered Good	-	-	-	-	-	-	-	-
(v) Disputed trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(vi) Disputed trade receivables - credit impaired	-	-	-	-	-	-	-	-
	14	452	283	122	45	16	7	940
Less: Loss allowance								(24)
Trade receivables - Net								916

b) Trade Receivables Ageing Schedule

₹ in crore

Particulars	Outstanding as at 31 st March 2025							Total
	Unbilled	Not Due	< 6 months	6 months to 1 year	1-2 years	2-3 years	> 3 years	
(i) Undisputed trade receivables - considered good	17	805	170	66	19	4	2	1,083
(ii) Undisputed trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(iii) Undisputed trade receivables - credit impaired	-	-	1	0	0	0	1	2
(iv) Disputed trade receivables - Considered Good	-	-	-	-	-	-	-	-
(v) Disputed trade receivables - which have significant increase in credit risk	-	-	-	-	-	-	-	-
(vi) Disputed trade receivables - credit impaired	-	-	-	-	-	-	-	-
	17	805	171	66	19	4	3	1,085
Less: Loss allowance								(17)
Trade receivables - Net								1,068

Notes to consolidated financial statements

for the year ended 31st March 2026

11.3 Cash and bank balances

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Cash and cash equivalents		
Cash on hand	35	64
Cheques, drafts on hand	11	30
Balances with banks		
(i) Current account	734	255
(ii) Demand deposit	93	58
Total cash and cash equivalents	873	407
Other bank balances		
(iii) Earmarked accounts		
- Unclaimed dividend	18	16
(iv) Demand deposit {refer note (b) below}	525	603
(v) Fixed deposits held as margin money against bank guarantee	126	58
(vi) Fixed deposits held as deposit reserve fund {refer note (a) below}	375	500
Total other bank balances	1,044	1,177
	1,917	1,584

- (a) This amount represents restricted cash maintained for the gold harvest scheme for compliance with the Companies (Acceptance of Deposit) Rules, 2014 as per the Companies Act 2013 as amended.
- (b) Fixed deposit under lien with MCX (Exchange) amounted to ₹ 221.24 crore (Previous year: ₹ 287.64 crore) placed for the purpose of commencement of trading with Exchange.

11.4 Loans

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
<i>Unsecured, considered good</i>		
Employee loans	51	44
	51	44

11.5 Other financial assets

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
<i>Unsecured, considered good</i>		
Refunds due from government authorities	128	17
Derivative instruments other than in designated hedge accounting relationships	92	-

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Lease receivables	88	73
Security deposits	67	67
Other receivables	42	37
Fixed deposits {refer note (c) below}	221	-
Other assets (mark to market gain on gold future contracts, interest accrued on fixed deposits and ICDs){refer note (b) below}	34	66
	672	260

- (a) There were no loans and advances given to Promoters, Directors, Key managerial personnel or other related parties during the year ended 31st March 2026 and 31st March 2025.
- (b) The government grant have been accounted for the purchase of certain items of property, plant and equipment. There are no unfulfilled conditions or contingencies attached to the grant.
- (c) This amount includes ₹ 7 crore of fixed deposits held as margin money against bank guarantee

12 Other current assets

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
<i>Unsecured and considered good</i>		
Advances to suppliers	195	163
Prepaid expenses	153	117
Balance with revenue authorities {refer note (a) below}	1,485	1,267
Right to recover returned goods {refer note (b) below}	146	182
Contract asset {refer note (c) below}	88	78
Other assets (includes deferred employee cost and government grant receivable)	166	150
	2,233	1,957

- (a) Balance with revenue authorities includes GST credits of ₹ 1,432 crore (Previous year: ₹ 1,300 crore) in respect to GST input credit, transitional credit, deemed credit and refund on account of deemed exports (also refer note 9).
- (b) Right to recover returned goods represents the amount of goods expected to be received by the Company on account of sales return. Also, refer disclosure made under note 18.
- (c) Contract asset represents the value of payments for which revenue is recognised over the period of time in excess of billing.

Notes to consolidated financial statements

for the year ended 31st March 2026

13.1 Share capital

₹ in crore

Particulars	As at 31 st March 2026		As at 31 st March 2025	
	No. of shares (in crore)	Amount	No. of shares (in crore)	Amount
a) Authorised				
Equity share of ₹ 1 each with voting rights	120	120	120	120
Redeemable cumulative preference shares of ₹ 100 each	0.40	40	0.40	40
b) Issued, subscribed and fully paid up				
Equity share of ₹ 1 each with voting rights	89	89	89	89

c) Rights, preferences and restrictions attached to shares

The Company has only one class of equity shares. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees. The dividend proposed by the Board of Directors is subject to approval by the shareholders at the ensuing Annual General Meeting.

In the event of liquidation, the shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts, in proportion of their shareholdings.

d) Reconciliation of the shares outstanding at the beginning and at the end of the year:

Particulars	As at 31 st March 2026		As at 31 st March 2025	
	No. of shares (in crore)	₹ crore	No. of shares (in crore)	₹ crore
<i>Equity shares with voting rights</i>				
At the beginning of the year	89	89	89	89
At the end of the year	89	89	89	89

e) Reconciliation of the number of treasury shares held by controlled trust at the end of the financial year

Particulars	As at 31 st March 2026	As at 31 st March 2025
	No. of shares (in crore)	No. of shares (in crore)
At the beginning of the year	0.07	0.07
Add: Acquisition of shares by the Trust	-	0.00
At the end of the year	0.07	0.07

Notes to consolidated financial statements

for the year ended 31st March 2026

f) Shareholders holding more than 5% shares in the Company

₹ in crore

Particulars	As at 31 st March 2026		As at 31 st March 2025	
	No. of shares held*	% total holding	No. of shares held*	% total holding
Tamilnadu Industrial Development Corporation Limited	25	27.88	25	27.88
Tata Group				
Tata Sons Limited	19	20.84	19	20.84
Tata Investment Corporation Limited	2	2.01	2	2.01
Tata Chemicals Limited	1	1.56	1	1.56
Ewart Investments Limited	0	0.56	0	0.56
Piem Hotels Limited	0	0.05	0	0.05
Total - Tata Group	22	25.02	22	25.02

*Number of shares held in crore

g) Shares held by promoters

₹ in crore

Promoter	As at 31 st March 2026		As at 31 st March 2025		% of change
	No. of shares held*	% of total Shares	No. of shares held*	% of total Shares	
Tamilnadu Industrial Development Corporation Limited	25	27.88	25	27.88	-
Tata Sons Private Limited	19	20.84	19	20.84	-
	44	48.72	44	48.72	-

Promoter	As at 31 st March 2025		As at 31 st March 2024		% of change
	No. of shares held*	% of total Shares	No. of shares held*	% of total Shares	
Tamilnadu Industrial Development Corporation Limited	25	27.88	25	27.88	-
Tata Sons Private Limited	19	20.84	19	20.84	-
	44	48.72	44	48.72	-

*Number of shares held are in crore

h) Information regarding issue of shares in last five years

- The Company has not issued any shares without payment being received in cash
- The Company has not issued any bonus shares
- The Company has not undertaken any buy-back of shares

Notes to consolidated financial statements

for the year ended 31st March 2026

13.2 Other equity

Particulars	₹ in crore	
	As at 31 st March 2026	As at 31 st March 2025
Capital reserve	0	0
Capital redemption reserve	1	1
Securities premium	142	142
General reserve	3,066	3,066
Retained earnings	12,876	8,779
Treasury share reserve	(242)	(242)
Employee stock option reserve	139	61
Other comprehensive income	(368)	(272)
	15,614	11,535

- a) **Capital reserve:** Surplus on re-issue of forfeited shares and debentures.
- b) **Capital redemption reserve:** It represents the difference, between the amount recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor.
- c) **Securities premium account:** Amounts received on issue of shares in excess of the par value has been classified as securities premium, utilised in accordance with the provisions of the Companies Act, 2013.
- d) **General reserve:** Pursuant to the provisions of the Companies Act, 1956, the Company created a General reserve in earlier years wherein certain percentage of profits were required to be transferred before declaring dividends. As per Companies Act 2013, the requirements to transfer profits to General Reserve is not mandatory. General Reserve is a free reserve available to the Company.
- e) **Retained earnings:** Retained earnings comprise of the Group's prior years' undistributed earnings after taxes including transfers to general reserve, securities premium account etc.
- f) **Treasury share reserve:** Refer note xxx of Material Accounting Policies
- g) **Employee stock option reserve account:** It represents the amount recognised over the vesting period at the grant date fair value of units issued to employees of the Group under the Company's Performance Stock Unit plan.
- h) **Other comprehensive income:** It represents the changes in the remeasurements of employee defined benefit plans and foreign currency translation reserve.
- i) **Cash flow hedge reserve:** The Group uses foreign currency forward contracts to hedge the highly probable forecasted transaction. The effective portion of fair value gain/loss of the hedge instrument is recognised in the cash flow hedge reserve. Amounts recognised in the cash flow hedge reserve is reclassified to the Statement of Profit and Loss when the hedged item impact profit or loss.

13.3 Distributions made and proposed

The Board of Directors, in its meeting on 8th May 2026, has proposed a final dividend of ₹ 15 per equity share for the financial year ended 31st March 2026. The proposal is subject to the approval of shareholders at the ensuing Annual General Meeting and if approved would result in a cash outflow of approximately ₹ 1,332 crore.

The Board of Directors, in its meeting on 8th May 2025, have proposed a final dividend of ₹ 11 per equity share for the financial year ended 31st March 2025. The proposal was approved by shareholders at the Annual General Meeting held on 22nd July 2025 and the same was paid during the year ended 31st March 2026. This has resulted in a total outflow of ₹ 977 crore.

Notes to consolidated financial statements

for the year ended 31st March 2026

14 Financial liabilities

14.1 Borrowings

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Unsecured		
Redeemable non-convertible debentures{refer note (a) below}	-	-
Term loan {refer note (b) below}	93	562
Secured		
Term loan {refer note (b) below}	-	33
	93	595

Note:

a) Unsecured redeemable non-convertible fixed rate debentures (privately placed):

Particulars	Face value per debenture	As at 31 st March 2026 (₹ crore)	As at 31 st March 2025 (₹ crore)	Date of allotment	Rate of interest for the year	Terms of repayment as at 31 st March 2026
Series 1	1,00,000	-	1,289	3 rd November 2023	7.75% p.a payable annually	Redeemable at face value at the end of 18 months from the date of allotment
Series 2	1,00,000	-	1,289	3 rd November 2023	7.75% p.a payable annually	Redeemable at face value at the end of 24 months from the date of allotment

b) Details of term loans taken from banks

₹ in crore

Particulars	As at 31 st March 2026 (₹ crore)	As at 31 st March 2025 (₹ crore)	Rate of interest for the year	Terms of repayment as at 31 st March 2026
<i>Unsecured Loans</i>				
Term Loan I	300	400	5.36% to 7.19% p.a payable monthly	a) 20% payable on December 2024 b) 20% payable on December 2025 c) 60% payable on December 2026
Term Loan II	120	160	5.99% to 6.79% p.a payable monthly	a) 20% payable on January 2025 b) 20% payable on January 2026 c) 60% payable on January 2027
Term Loan III	141	190	5.40% to 7.68% per annum (PY: 7.23% to 7.68% per annum)	a) 60 equal monthly installments commencing on January 2024.

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	As at 31 st March 2026 (₹ crore)	As at 31 st March 2025 (₹ crore)	Rate of interest for the year	Terms of repayment as at 31 st March 2026
<i>Secured Loans</i>				
Term Loan IV	25	27	6.98% to 7.06% per annum	a) 12 equal quarterly installments after 36 months moratorium commencing from June 2026.
Term Loan V	-	8	8.87% to 8.90% p.a. payable monthly	a) 5% payable on September 2024 b) 95% payable in equal quarterly installments in next 3 years from September 2025.
Total	586	785		
Less; Current maturities of long term borrowings (unsecured)	493	190		
Total	93	595		

c) Annual disclosure as Large Corporate pursuant to SEBI circular dated 10th August 2021

Annexure A:

Particulars	Details
Name of the Company	Titan Company Limited
CIN	L74999TZ1984PLC001456
Outstanding borrowings of the Company as on 31 st March 2026 (₹ crore)*	586
Highest Credit Rating during the previous financial year along with name of the Credit Rating Agency	AAA from ICRA
Name of Stock Exchange in which the fine shall be paid, in case of shortfall in the required borrowing under the framework	National Stock Exchange of India Limited

*Amount pertains to long-term borrowings with original maturity of more of than one year.

14.2 Lease liabilities

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Lease liabilities (refer note 29)	2,712	2,318
	2,712	2,318

14.3 Other financial liabilities

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Deferred consideration at fair value through FVTPL (refer note 40)	1,758	-
Cash settled ESOP liability	-	0
Others (includes rental deposits)	118	6
	1,876	6

Notes to consolidated financial statements

for the year ended 31st March 2026

15 Provisions

Particulars	₹ in crore	
	As at 31 st March 2026	As at 31 st March 2025
Provision for compensated absences {refer note 32 (c)}	149	212
Provision for pension	29	32
Provision for other employee benefits	57	36
Provision for gratuity {refer note 32 (b)}	137	17
Provision for warranty {refer note 19 (a)}	3	2
	375	299

16 Other non-current liabilities

Particulars	₹ in crore	
	As at 31 st March 2026	As at 31 st March 2025
Others (includes deferred income in respect of government grant)	9	10
	9	10

17 Financial liabilities

17.1 Borrowings

Particulars	₹ in crore	
	As at 31 st March 2026	As at 31 st March 2025
<i>Secured</i>		
Bank overdraft {refer note (a) below}	885	319
Commercial paper {refer note 39 and note f below}	-	1,197
<i>Unsecured</i>		
Short term loan {refer note (b) below}	9,516	5,355
Bank overdraft {refer note (c) below}	298	16
Current maturities of long term borrowings	493	190
Bill discounting {refer note (d) below}	18	36
Loan from bank {refer note (g) below}	75	-
Redeemable non-convertible debentures	-	2,578
	11,285	9,691

- (a) Secured against one of the subsidiary's inventory, receivables and Property, Plant and Equipment on pari-passu basis. The interest rate on the overdraft varies from 7.50% to 9.50% per annum (previous year: 7.20% to 9.50% per annum) and is payable at monthly intervals. The overdraft is payable on demand. The subsidiary has filed statements as at the quarter end with the banks which are in agreement with the books of accounts as at respective quarter ends.
- (b) During the current year the loan had a tenure ranging from 7 days to 90 days. The interest rate varied from 4.32% to 7.51% per annum (previous year 4.90% to 9.15% per annum).
- (c) The interest rate on the overdraft is 3.65% - 4.35% per annum (previous year 5.60% to 6.75% per annum) and is payable at monthly intervals. The overdraft is payable on demand.

Notes to consolidated financial statements

for the year ended 31st March 2026

- (d) During the year ended 31st March 2026, the Group has entered into an arrangement with Receivable Exchange of India limited ('RXIL') with a credit period of 70 to 179 days and interest rate ranging from 6.02% to 7.5% (previous year: 6.80% to 7.90%) towards reverse factoring of MSME payments. These loans are unsecured.
- (e) Loan guaranteed by directors are Nil (previous year: Nil)
- (f) During the year, the Group issued commercial paper which are unsecured commercial paper at discount bearing no coupon interest. The yield varied from 5.70% to 6.53% (previous year 6.99% to 7.50%)
- (g) The interest rate on the loan from bank is 6.65% p.a (previous year 7.75% - 8.90% p.a). The loan was obtained for working capital requirements, is unsecured, and carries interest payable on a monthly basis.

17.2 Gold on loan

₹ in crore		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Secured#		
Payable to banks*	552	767
Unsecured		
Payable to banks*	15,518	7,043
	16,070	7,810

#Secured against letter of credit, inventories and receivables.

*Includes amounts payable against gold purchased from various banks under Gold on loan scheme. The interest rate of the same varies from 1.58% to 5.50% per annum (Previous year: 1.5% to 5.50% per annum) and is payable at monthly intervals. The credit period under the aforesaid arrangement is 180 days from the date of the delivery of gold.

17.3 Lease liabilities

₹ in crore		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Lease liabilities (refer note 29)	461	363
	461	363

17.4 Trade payables

₹ in crore		
Particulars	As at 31 st March 2026	As at 31 st March 2025
Total outstanding dues of micro and small enterprises {Refer note (a) below}	609	217
Total outstanding dues of other than micro and small enterprises	2,255	1,746
	2,864	1,963

Notes to consolidated financial statements

for the year ended 31st March 2026

Trade payables ageing schedule

₹ in crore

Particulars	Outstanding as at 31 st March 2026				Total
	< 1 year*	1-2 years#	2-3 years#	> 3 years#	
MSME	607	0	0	0	607
Others	2,209	22	5	21	2,257
Disputed dues – MSME	-	-	-	-	-
Disputed dues – Others	-	-	-	-	-
Total	2,816	22	5	21	2,864

₹ in crore

Particulars	Outstanding as at 31 st March 2025				Total
	< 1 year*	1-2 years	2-3 years	> 3 years	
MSME	217	-	-	-	217
Others	1,737	3	3	3	1,746
Disputed dues – MSME	-	-	-	-	-
Disputed dues – Others	-	-	-	-	-
Total	1,954	3	3	3	1,963

*Includes unbilled dues amounting to ₹ 716 crore (previous year ₹ 522 crore) and not due amounting to ₹ 1,338 crore (previous year ₹ 1,244 crore)

#Items not presented due to rounding off to the nearest ₹ crore.

Note (a) Disclosures required under Section 22 of the Micro, Small and Medium Enterprises Development Act, 2006:

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of the year:		
- Principal	607	217
- Interest	0	0
The amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006.	-	-
The amount of the payments made to micro and small suppliers beyond the appointed day during each accounting year.*	111	197
The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006.	0	0
The amount of interest accrued and remaining unpaid at the end of each accounting year.	0	0
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purposes of disallowance as a deductible expenditure under the MSMED Act, 2006.	-	-

*The payment was made beyond appointed day due to delay in receipt of invoices. Accordingly, management believes that no interest is payable on the same.

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for the year ended 31st March 2026

Dues to Micro and Small Enterprises have been determined to the extent such parties have been identified on the basis of information collected by the Management.

17.5 Other financial liabilities

Particulars	₹ in crore	
	As at 31 st March 2026	As at 31 st March 2025
Unclaimed dividends {refer note (a) below}	18	16
Payables on purchase of property, plant and equipment	50	38
Cash settled ESOP liability	2	7
Employee related	462	353
MTM loss on forward, future and options contracts	1,689	674
Others (includes dealers deposits, earnest money deposit received)	309	242
	2,530	1,330

Note:

- (a) Unclaimed dividends do not include any amount to be transferred to Investor Education and Protection Fund except where there are pending legal cases amounting to ₹ 0.22 crore (Previous year: ₹ 0.18 crore).

18 Other current liabilities

Particulars	₹ in crore	
	As at 31 st March 2026	As at 31 st March 2025
Advance from customers	4,593	2,058
Golden harvest scheme (deposit)	792	1,705
Liability towards award credit for customers	152	82
Statutory dues	116	57
Liability for sales return {refer note (a) below}	206	238
Contract liability{refer note (b) below}	23	13
Other liabilities (includes deferred income in respect of government grant, gift card liability, book overdraft etc.)	351	288
	6,233	4,441

- a) Liability for sales return represents the aggregate amount of the transaction price allocated to the performance obligations that are unsatisfied as of the end of the reporting period. Thus, it represents the value of sales the Company estimates to be returned on account of sales return.
- b) Contract liability represents billing in excess of revenue for the projects for which revenue is recognised over a period of time.

Notes to consolidated financial statements

for the year ended 31st March 2026

19 Provisions

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Provision for compensated absences {refer note 32 (c)}	45	37
Provision for pension	7	5
Provision for other employee benefits	13	9
Provision for gratuity {refer note 32 (b)}	233	93
Provision for warranty {refer note (a) below}	29	11
	327	155

Note (a): Movement of Provision for warranty

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Opening balance	13	12
Provisions made during the year	36	10
Utilisations/reversed during the year	(17)	(9)
Provision at the end of the year	32	13
Non current	3	2
Current	29	11

20 Revenue from operations

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Revenue from operations		
Sale of products		
Manufactured goods		
Watches	3,825	3,370
Jewellery	56,622	41,966
Eyecare	707	612
Others	1,404	823
	62,558	46,771
Traded goods		
Watches	1,253	1,073
Jewellery	12,194	8,677
Eyecare	196	180
Others	499	399
	14,142	10,329
Total - Sale of products (I)	76,700	57,100

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for the year ended 31st March 2026

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Income from services provided (II)	97	43
Other operating revenue		
Indirect tax incentive {refer note (a) below}	112	84
Sale of precious/semi-precious stones	37	8
Sale of gold/platinum {refer note (b) below}	10,471	3,147
Others (includes scrap sales and visual merchandising sales)	167	74
Total - Other operating revenue (III)	10,787	3,313
Revenue from operations (I+II+III)	87,584	60,456

- Represents benefits accrued on account of budgetary support for the existing eligible units under different industrial promotion schemes.
- Include sale of gold-ingots aggregating ₹ 10,568 crore (Previous year: ₹ 3,124 crore) to various customers dealing in bullion.
- As per the requirements of Ind AS 115, the Group disaggregates revenue based on line of business, geography (as given in note 27) and between manufactured and traded goods as given above.
- The Group entered into non-monetary barter arrangements during the year, exchanging products for advertising services. Revenue of ₹ 32 crore (Previous year ₹ 95 crore) has been recognised at the fair value of products transferred, consistent with the Company's revenue recognition policy.
- Reconciliation of revenue recognised in the statement of profit and loss with the contracted price:

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Contracted price	1,01,856	71,579
Reductions towards variable consideration components		
- Schemes and discounts	10,879	8,545
- Customer loyalty programme	135	84
- Others	303	175
- Taxes	3,067	2,403
Revenue recognised	87,472	60,372
Indirect tax incentive	112	84
Total	87,584	60,456

21 Other income

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Interest income on financial assets carried at amortised cost	214	230
Interest income on income tax refund	12	13
Gain on investments carried at fair value through profit and loss {refer note (a) below}	140	157

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Interest income on sub-lease	65	58
Government grant	1	1
Gain on disposal of property, plant and equipment (net)	-	1
Miscellaneous income {refer note (b) below}	120	26
	552	486

a) Includes unrealised gain on investments carried at fair value through profit and loss ₹ 4 crore (previous year gain: ₹ 20 crore)

b) Miscellaneous income includes gain on preclosure of lease contract, interest on fixed deposits, interest on income tax refund.

22 Changes in inventories of finished goods, stock-in-trade and work-in-progress

Cost of raw materials and components consumed

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Inventory at the beginning of the year	4,106	2,788
Add: Purchases	71,747	49,026
Less: Inventory at the end of the year	(6,641)	(4,106)
Cost of materials consumed	69,212	47,708

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Closing stock		
Finished goods	27,377	19,124
Work-in progress	3,498	851
Stock-in-trade	5,181	4,065
	36,056	24,040
Inventory on account of acquisition of subsidiary (refer note 40 and note 10)	2,080	-
Opening stock		
Finished goods	19,124	12,436
Work-in progress	851	440
Stock-in-trade	4,065	3,349
	24,040	16,225
Increase in inventory	(9,936)	(7,815)

Notes to consolidated financial statements

for the year ended 31st March 2026

23 Employee benefits expense

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Salaries, wages and bonus	2,213	1,827
Contribution to provident and other funds		
- Gratuity {refer note 32 (b)}	65	70
- Provident and other funds {refer note 32 (b)}	106	87
Staff welfare expenses	219	159
Employee stock compensation expense (refer note 33.1)	78	13
	2,681	2,156

24 Finance costs

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Interest expense on:		
Borrowings	610	551
Interest on lease liability	247	222
Gold on loan {refer note 17.2}	320	174
Others	3	6
	1,180	953

25 Depreciation and amortisation expense

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Depreciation of property, plant and equipment (refer note 3.1)	330	272
Depreciation of right-of-use asset (refer note 4)	427	360
Depreciation of investment property (refer note 5.1)	0	-
Amortisation of intangible assets (refer note 6.1)	69	61
	826	693

26 Other expenses

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Loose tools, stores and spare parts consumed	57	59
Agency labour	257	212
Power and fuel	87	78
Repairs and maintenance		
- buildings	9	9
- plant and machinery	41	46
- others	11	-

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Advertising	1,535	1,308
Selling and distribution expenses	2,092	1,688
Insurance	39	30
Rent	71	38
Rates and taxes	42	33
Travel	144	130
Bad trade receivables and advances written off	1	-
Provision for doubtful trade receivables and doubtful other financial assets	11	27
Loss on sale/disposal/scrapping of property, plant and equipment (net)	2	-
Legal and professional charges {refer note (a) below}	256	261
Expenditure on corporate social responsibility {refer note (b) below}	95	82
Miscellaneous expenses	1,459	1,135
Exchange loss (net)	21	6
Commission to non Whole-time Directors	11	8
	6,241	5,150

Notes:

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
a) Auditors remuneration comprises fees for audit of:		
Statutory audit	5	5
Other services including tax audit and out of pocket expenses	1	1
Total	6	6

b) Corporate Social Responsibility:

(i) Gross amount required to be spent towards corporate social responsibility by the group during the year: ₹ 95 crore
(Previous year ₹ 82 crore)

(ii) Amount spent during the year on:

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
1. Amount required to be spent by the Company during the year	94	82
2. Amount approved by the Board to be spent during the year	95	82
3. Amount of expenditure incurred on:		
- Construction/acquisition of any asset	1	-
- On purposes other than above	94	82

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for the year ended 31st March 2026

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
4. Shortfall at the end of the year	0	-
5. Total of previous years shortfall	-	-
6. Reason for short fall	NA	NA
7. Nature of CSR Activities	Health, Education, Skill development, disaster relief, Wellness and Water, Sanitation and Hygiene, Entrepreneurship.	

₹ in crore

	In cash	Yet to be paid in cash	Total
- Construction/acquisition of any asset	1	-	1
- On purposes other than above	94	-	94
	95	-	95

(iii) Amount spent during the previous year on:

₹ in crore

	In cash	Yet to be paid in cash	Total
- Construction/acquisition of any asset	-	-	-
- On purposes other than above	82	-	82
	82	-	82

(iv) CSR Contribution to Related parties:

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Related parties	-	-
Unrelated parties	95	82
	95	82

27 Segment information

a) Description of segments

The Chief Operating Decision Maker (CODM) examines the performance both from a product perspective and geography perspective and has identified the reportable segments Watches, Jewellery, Eyecare and Others, where 'Others' include Aerospace & Defence, Automation Solutions, Accessories, Fragrances and Indian dress wear. The Managing Director is the CODM.

Corporate (unallocated) represents income, expenses, assets and liabilities which relate to the Group as a whole and are not allocated to segments.

Notes to consolidated financial statements

for the year ended 31st March 2026

b) Segment revenues and segment profit/loss

	Revenue (including other income)		Profit/(Loss)	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Watches	5,267	4,598	824	548
Jewellery	79,660	53,966	7,209	4,899
Eyecare	916	801	77	80
Others	2,006	1,275	173	8
Corporate (unallocated)	287	302	(201)	(47)
	88,136	60,942	8,082	5,488
Finance costs			1,180	953
Exceptional item			101	-
Profit before taxes			6,801	4,535

There is no inter segment revenue.

c) Segment assets and liabilities

₹ in crore

Segment assets	As at 31 st March 2026	As at 31 st March 2025
Segment assets		
Watches	4,970	4,208
Jewellery	47,325	30,219
Eyecare	728	667
Others	1,910	1,446
Corporate (unallocated)	5,628	4,107
	60,561	40,647
Segment liabilities		
Watches	1,528	1,225
Jewellery	33,753	18,820
Eyecare	440	402
Others	940	671
Corporate (unallocated)	8,197	7,905
	44,858	29,023

Notes to consolidated financial statements

for the year ended 31st March 2026

e) Other segment information

₹ in crore

Depreciation and amortisation	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Watches	209	157
Jewellery	387	345
Eyecare	88	75
Others	95	32
Corporate (unallocated)	47	84
	826	693

₹ in crore

Other Income	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Watches	92	35
Jewellery	175	110
Eyecare	13	9
Others	11	7
Corporate (unallocated)	261	325
	552	486

f) Geographical information

₹ in crore

	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Revenue (including other income)		
India	83,768	58,368
Others {refer note (b) below}	4,368	2,574
Total	88,136	60,942

₹ in crore

	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Assets		
India {refer note (a) below}	51,977	38,609
Others {refer note (b) below}	8,584	2,038
Total	60,561	40,647

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Non current assets		
India	7,059	6,072
Others {refer note (b) below}	2,721	141
Total	9,780	6,213

- a) Trade receivables are disclosed based on geographical location of customers. Other assets are not identifiable separately to any reportable segments as these are used inter changeably between segments and are disclosed under "India".
- b) Details of geographical segments for individual markets outside India are not disclosed as the same do not account for more than 10% of the total segment revenues or assets.

28 Earnings per share

The following table sets forth the computation of basic and diluted earnings per share

₹ in crore

	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Profit for the year (₹ crore)	5,073	3,337
Weighted average number of equity shares	88,70,45,260	88,70,52,227
Dilutive effect of Performance stock units outstanding	5,25,582	2,90,283
Weighted average number of equity shares outstanding in calculating diluted EPS	88,75,70,842	88,73,42,510
Nominal value of shares (₹)	1	1
Earnings per share		
Basic (₹)	57.19	37.62
Diluted (₹)	57.16	37.61

29 Leases

29.1 Amounts recognised in consolidated balance sheet

₹ in crore

	Note	As at 31 st March 2026	As at 31 st March 2025
(i) Right-of-use assets	4		
Buildings		2,172	1,751
Leasehold land		23	23
		2,195	1,774
(ii) Lease liabilities			
Non-current	14.2	2,712	2,318
Current	17.3	461	363
		3,173	2,681

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

	Note	As at 31 st March 2026	As at 31 st March 2025
(iii) Lease receivables			
Non-current	7.3	710	672
Current	11.5	88	73
		798	745

29.2 Amounts recognised in the consolidated statement of profit and loss

₹ in crore

	Note	For the year ended 31 st March 2026	For the year ended 31 st March 2025
(i) Depreciation and amortisation expense	25		
Buildings		427	360
Leasehold land		0	0
		427	360
(ii) Interest expense (included in finance cost)	24	247	222
(iii) Interest income on sub-lease (included in other income)	21	65	58
(iv) Expense relating to short-term leases	26	43	34
(v) Expense relating to variable lease payments	26	13	9
(vi) Rent concessions received during the year	21	2	1

- (a) Short-term leases has been accounted for applying Paragraph 6 of Ind AS 116- Leases and accordingly recognised as expense in the statement of profit and loss.
- (b) For total cash outflow for the year ended 31st March 2026 and 31st March 2025 refer cash flow statement.

29.3 Additional information on variable lease payment:

During the year ended 31st March 2026, the Group has incurred an amount of ₹ 13 crore (Previous year: ₹ 9 crore) on account of variable lease payments. Variable payment terms ranges from 1% to 25% of net sales from a particular store. Variable payment terms are used for a variety of reasons, including minimising the fixed costs base for newly established stores and stores in malls. Excess of variable lease payments that depend on sales, over the fixed rental, are recognised in the statement of profit or loss in the period in which the condition that triggers those payments occur.

29.4 Additional information on extension/termination options:

Extension and termination options are included in a number of property lease arrangements of the Group. These are used to maximise operational flexibility in terms of managing the assets used in the Company's operations. The majority of extension and termination options held are exercisable based on mutual consent of the Group and respective lessors.

30 Contingent liabilities and commitments

Contingent liabilities not provided for - ₹ 179 crore (Previous year: ₹ 254 crore) comprising of the following:

- a) Goods and Service Tax - ₹ 11 crore (Previous year: ₹ 7 crore)
(relating to mismatch in statutory returns)
- b) Sales tax - ₹ 40 crore (Previous year: ₹ 40 crore)
(relating to the applicability of rate of tax, computation of tax liability, submission of certain statutory forms)

Notes to consolidated financial statements

for the year ended 31st March 2026

- c) Customs duty - ₹ 38 crore (Previous year: ₹ 38 crore)
(relating to denial of benefit of exemptions)
- d) Excise duty - ₹ 79 crore (Previous year: ₹ 79 crore)
(relating to denial of exemption by amending the earlier notification, computation of the assessable value, denial of input credit on service tax and excise duty on jewellery)
- e) Income tax - ₹ 2 crore (Previous year: ₹ 85 crore)
(relating to disallowance of deductions claimed)
- f) Others - ₹ 9 crore (Previous year: ₹ 5 crore)
(relating to miscellaneous claims)

The above amounts are based on the notice of demand or the Assessment Orders or notification by the relevant authorities, as the case may be, and the Group is contesting these claims with the respective authorities. Outflows, if any, arising out of these claims would depend on the outcome of the decisions of the appellate authorities and the Company's rights for future appeals before the judiciary. No reimbursements are expected.

- g. During Financial Year 2021-22, CaratLane Trading Private Limited (a subsidiary of Titan Company Limited) received Show Cause Notice ('SCN') dated 28th March 2022, from the office of the Directorate of Enforcement, Government of India ('DOE') alleging that the subsidiary received Foreign Direct Investment ('FDI') during the year(s) 2011 to 2014 in lieu of issue of shares to overseas investors, which was utilised in Single Brand Retail Trading activities without prior approval from the Government of India/Reserve Bank of India. The show-cause notice pertained to an alleged violation of FEMA Rules as Foreign Direct Investment in single-brand retail was not permitted under automatic route in above stated periods.

The Company, based upon the Management briefing, approached a former Chief Justice of India, Supreme Court who had opined that CaratLane was not in violation of the FEMA rules as at the relevant period, it was only engaged in permitted activities and was not engaged in retail trade. Furthermore, during Financial Year 2022-23, the Company filed detailed reply to the DOE with clarification vide their letter dated 28th October 2022. Thereafter, the Company also preferred a Writ Petition bearing No. 30893 of 2022 ("Writ Petition"), filed before the Hon'ble High Court of Judicature at Madras ('Hon'ble Court'), challenging the SCN and proceedings before DOE. The same was heard by the Hon'ble Court on 21st November 2022, and DOE was directed to file a counter-affidavit as its response, within 4 weeks. However, DOE has filed its counter affidavit and served the same upon Company on 26th June 2024.

The Company filed an additional Affidavit with the Madras High Court seeking a formal extension of the interim stay and requesting that proceedings related to the Show Cause Notice (SCN) be held in abeyance pending the final disposal of the Writ Petition. On 16th October 2025, the Court granted an order extending the interim injunction. While the petition was subsequently listed for hearing on 11th November and 12th December 2025, the matter was adjourned on both occasions. A notification for the next hearing date is currently awaited.

Based on the legal opinion received and its assessment of transactions and provisions of FEMA Rules for the years under consideration, the Management considered that no provision is required to be carried in the financial statements as at 31st March 2026 in relation to the above matter. The Management would re-evaluate this position in subsequent period, based on outcome of proceedings before the Hon'ble Court and DOE."

- 31** The Company has entered into various contracts with vendors and contractors for the acquisition of plant and machinery of capital nature amounting to ₹ 184 crore, which are pending to be executed (Previous year: ₹ 224 crore)

Notes to consolidated financial statements

for the year ended 31st March 2026

32 Employee Benefits

a) Defined contribution plans

The contributions recognised in the consolidated statement of profit and loss during the year are as under:

Particulars	₹ in crore	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025
National pension scheme	14	10
Superannuation fund	18	14
Employee pension fund	15	14
	47	38

b) Defined benefit plans

The expense recognised in the consolidated statement of profit and loss during the year are as under:

Particulars	₹ in crore	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Provident fund*	59	49
	59	49

*Contributions are made by the companies incorporated in India to the Group's Employees Provident Fund Trust at predetermined rates in accordance with the Fund rules. The interest rate payable by the Trust to the beneficiaries is as notified by the Government. The Group has an obligation to make good the shortfall, if any, between the return from the investments of the Trust and the notified interest rate and recognises such shortfall as an expense. Contribution made by CaratLane is not towards the Group's Employees Provident Fund Trust.

i) Gratuity (Funded)

The Group makes annual contributions to The Titan Industries Gratuity Fund in accordance with Payment of Gratuity Act, 1972. The scheme provides for lump sum payment to vested employees at retirement, death while in employment, or on termination of employment as per the Group's Gratuity Scheme. Vesting occurs upon completion of five years of service.

The gratuity benefit of the CaratLane is non-funded.

The plan is defined benefit plan which is sponsored by the Group and hence it underwrites all the risks pertaining to the plan. In particular, there is a risk for the Group that an adverse salary growth or inadequate returns on underlying plan assets can result in an increase in cost of providing these benefits to employees in future. Since the benefits are lump sum in nature the plan is not subject to any longevity risks.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

Particulars	As at 31 st March 2026	As at 31 st March 2025
Discount rate (p.a.)	6.80% to 7.25%	7.20%
Salary escalation rate (p.a.)		
- Non-management	8% - 11.18%	8% - 10.52%
- Management	8% - 10.52%	8% - 11.18%

- The retirement age of employees of the Group varies from 58 to 65 years.
- Rates of leaving service (leaving service due to disability included) at specimen ages for the Company and Titan Engineering & Automation Limited ('TEAL') are as shown below:

Notes to consolidated financial statements

for the year ended 31st March 2026

Age (years)	Rates (p.a.)	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025
21-30	15%	15%
31-45	5%	5%
46 and above	2%	2%

Components of defined benefit costs recognised in the consolidated statement of profit and loss are as follows:

₹ in crore

Particulars	For the year ended 31 st March 2026		For the year ended 31 st March 2025	
	Funded	Non Funded	Funded	Non Funded
Current service cost	52	3	35	3
Past service cost	95	-	30	-
Interest on net defined benefit liability/(asset)	7	1	1	1
(Gains)/losses on settlement	-	-	-	-
Total component of defined benefit costs charge to the consolidated statement of profit and loss	154	4	66	4

Components of defined benefit costs recognised in other comprehensive income are as follows:

₹ in crore

Particulars	For the year ended 31 st March 2026		For the year ended 31 st March 2025	
	Funded	Non Funded	Funded	Non Funded
Opening amount recognised in Other comprehensive Income outside the consolidated statement of profit and loss	116	5	90	5
Remeasurements during the period due to:				
- Adjustment on account of sale of Subsidiary	-	-	-	-
- Changes in financial assumptions*	(34)	(0)	23	0
- Changes in demographic assumptions	-	-	1	-
- Experience adjustments	81	1	(1)	(0)
- Actual return on plan assets less interest on plan assets	30	-	3	-
Closing amount recognised in other comprehensive income	193	6	116	5

* Other comprehensive income disclosed above is gross of tax.

Notes to consolidated financial statements

for the year ended 31st March 2026

The current service cost and the net interest expense for the year are included in the 'Employee benefits expense' line item in the consolidated statement of profit and loss.

The remeasurement of the net defined liability is included in other comprehensive income.

The amount included in the consolidated balance sheet arising from the entity's obligation in respect of its defined benefit plans is as follows:

₹ in crore

Particulars	As at 31 st March 2026		As at 31 st March 2025	
	Funded	Non Funded	Funded	Non Funded
Opening net defined benefit liability/(asset)	92	17	38	15
Expense charged to the consolidated statement of profit and loss	153	4	66	4
Amount recognised outside the consolidated statement of profit and loss	78	-	25	-
Benefits paid	-	(2)	-	(2)
Liabilities assumed/settled	-	-	-	-
Acquisitions of business/undertaking	-	118	-	-
Employer contributions	(90)	-	(37)	-
Closing net defined benefit liability/(asset)	233	137	92	17

Movements in the present value of the defined benefit obligation are as follows:

₹ in crore

Particulars	As at 31 st March 2026		As at 31 st March 2025	
	Funded	Non Funded	Funded	Non Funded
Opening defined benefit obligation	647	12	536	10
Current service cost	46	3	36	3
Past service cost	95	-	30	-
Interest on defined benefit obligation	47	1	38	1
Remeasurement due to				
- Actuarial gains and losses arising from changes in demographic assumptions	(34)	-	23	-
- Actuarial gains and losses arising from changes in financial assumptions	-	-	2	-
- Actuarial gains and losses arising from experience adjustments	81	1	(1)	-
Acquisitions of business/undertaking	-	118	-	-
Liabilities assumed/settled	(28)	4	-	-
Benefits paid	-	(2)	(17)	(2)
Closing defined benefit obligation	854	137	647	12

Notes to consolidated financial statements

for the year ended 31st March 2026

Movements in the fair value of plan assets are as follows:

₹ in crore

Particulars	As at 31 st March 2026		As at 31 st March 2025	
	Funded	Non Funded	Funded	Non Funded
Opening fair value of plan assets	549	-	493	-
Employer contributions	91	-	40	-
Interest on plan assets	40	-	36	-
Remeasurements due to actuarial return on plan assets less interest on plan assets	(30)	-	(3)	-
Benefits paid	(29)	-	(17)	-
Closing fair value of plan assets	621	-	549	-

Sensitivity analysis

The key actuarial assumptions to which the defined benefit plans are particularly sensitive to are discount rate, attrition rate and full salary escalation rate. The following table summarises the impact on the reported defined benefit obligation at the end of the reporting period arising on account of an increase or decrease in the assumption by 50 basis points:

₹ in crore

Particulars	As at 31 st March 2026		
	Discount rate	Salary growth	Attrition rate
Defined benefit obligation on plus 50 basis points	(159)	(92)	(150)
Defined benefit obligation on minus 50 basis points	(92)	(159)	(139)

₹ in crore

Particulars	As at 31 st March 2025		
	Discount rate	Salary growth	Attrition rate
Defined benefit obligation on plus 50 basis points	(31)	20	(27)
Defined benefit obligation on minus 50 basis points	25	(31)	(11)

Maturity profile of defined benefit obligation

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Within 1 year	77	48
1 year to 2 years	83	48
2 years to 3 years	96	63
3 years to 4 years	103	71
4 years to 5 years	115	77
Over 5 years	1,255	982

The Group is expected to contribute ₹ 233 crore to the gratuity fund next year.

The weighted average duration to the payment of these cash flows is 7.59- 9.6 years.

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for the year ended 31st March 2026

A split of plan asset between various asset classes is as below:

Particulars	As at 31 st March 2026		As at 31 st March 2025	
	Quoted	Unquoted	Quoted	Unquoted
Government debt instruments	208	-	263	-
Other debt instruments	127	-	107	-
Entity's own equity instruments	52	-	51	-
Others	202	32	83	43
	589	32	504	43

₹ in crore

c) Unfunded

The defined benefit obligation pertaining which are provided for but not funded are as under:

Particulars	As at	
	31 st March 2026	31 st March 2025
Compensated absences		
Non-current	149	212
Current	45	37
	194	249

₹ in crore

33.1 Note on Performance Stock Units (PSU)

The Holding Company introduced Titan Performance Based Stock Units Scheme, 2023 to provide equity-based incentives to all the eligible employees of the Group. The plan is administered by the Board Nomination and Remuneration Committee (BNRC) of the Holding Company through a controlled Trust. A maximum of 10,00,000 Performance Stock Unit (PSU) may be granted under the Plan. Each PSU granted under the plan entitles the holder to one equity share of the Company at an exercise price, which is approved by the BNRC.

As per the plan, Board of Directors grants options to the employees of the Group. The vesting period of the option is three years from the date of grant. Options granted under the Scheme can be exercised within a period of two years from the date of vesting.

BNRC granted PSUs to the eligible employees of the Group under the Plan. Subsequent to this grant, the Trust acquired shares from secondary market for the purpose of implementation of the Plan.

The movement in options issued are as below:

Particulars	For the year ended	
	31 st March 2026	31 st March 2025
Outstanding at the beginning of the year	7,64,800	7,24,600
Options granted during the year	-	61,700
Options forfeited during the year	(40,700)	(21,500)
Options exercised during the year	-	-
Outstanding at the end of the year	7,24,100	7,64,800
Options exercisable at the end of the year	-	-
Weighted average exercise price per option (₹)	1	1

₹ in crore

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for the year ended 31st March 2026

Fair value measurement

The fair value at grant date is determined using the Black-Scholes Model which takes into account the exercise price, the term of the option, the share price at grant date and expected price volatility of the underlying share, the expected dividend yield and the risk free interest rate for the term of the option.

The key inputs used in Black-Scholes Model for calculating fair value of options under the scheme as on the date of grant are as follows:

The weighted average remaining contractual life of the options outstanding as of 31st March, 2026 was 0.23 years.

The fair value of the options is estimated on the date of grant using the Black-Scholes-Merton Model with the following assumptions:

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
No of options granted	-	61,700
Vesting period	-	3 years
Dividend yield (%)	-	0.30
Volatility rate (%)	-	40.0-43.1
Risk free rate	-	6.8-7.0
Expected life of options (years)	-	3.0
Weighted average fair value of options per share (₹)	-	-
Weighted average share price (₹)	-	3,477

33.2 Shares reserved for issue under Employee Stock Option Scheme

During the Financial Year 2017-18, the Subsidiary CaratLane Trading Private Limited introduced CaratLane Stock Option Plan 2017 ('the Plan'). This Plan supersedes the following stock options and stock option plans:

- Executive Management Stock Option Scheme 2009
- CaratLane Trading India Private Limited Stock Option Scheme for Consultants, 2013
- Senior Management Stock Option Scheme, 2012

As per the plan, Board of Directors grants options to the employees of the Company. The vesting period of the option is one to four years from the date of grant. Options granted under the Scheme can be exercised within a period of six years from the date of vesting. For employees leaving the organisation, an option can be exercised within 3 months from the date of resignation.

A maximum of 7,14,017 options are issuable under this plan. The movement in options issued are as below:

Cash settled options

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Options outstanding at the beginning of the year	21,387	52,812
Options granted during the year	-	-
Options forfeited during the year	-	(15,000)
Options converted to cash settled during the year (Refer note below)	(16,937)	-
Options settled during the year	-	(16,425)
Outstanding at the end of the year	4,450	21,387

Notes to consolidated financial statements

for the year ended 31st March 2026

Note:

As at 31st March 2025, there are 21,387 options outstanding pending settlement, of which 16,600 have vested and 4,787 are unvested. These options have been fair valued at ₹ 3,844 per option amounting to ₹ 7.23 crore. The impact of fair valuation of cash settled ESOP has been credited to statement of profit and loss amounting to ₹ 3.54 crore. Further 15,000 options having value of ₹ 5.41 crore have been forfeited in the current year. As at 31st March 2026, there are 4,450 options outstanding fully vested pending settlement. These options have been fair valued at ₹ 3,844 per option amounting to ₹ 2 crore.

Fair value measurement

The fair value at grant date is determined using the Black-Scholes-Merton Model which takes into account the exercise price, the term of the option, the share price at grant date and expected price volatility of the underlying share, the expected dividend yield and the risk free interest rate for the term of the option.

The fair value of the options is estimated using the Black-Scholes-Merton Model with the following assumptions:

Particulars	₹ in crore	
	31 st March 2026	31 st March 2025
Fair Value	3,844	3,844
Share Price	3,845	3,845
Risk free rate (%)	6.73%	6.73%
Adjusted Beta	1.53	1.53
Equity Risk premium	6.52%	6.52%
Country risk premium	1.60%	1.60%
India Inflation	4.00%	4.00%
US Inflation	2.00%	2.00%
Average Cost of Equity	13.26%	13.26%
No. of options	4,450	21,387

34.1 Related party disclosures:

i) Relationships

Names of related parties and description of relationship:

a)	Promoters	Tamilnadu Industrial Development Corporation Limited & Tata Sons Private Limited
b)	Associate	Green Infra Wind Power Theni Limited
c)	Joint Venture	Roberto Coin Middle East LLC
d)	Key Management Personnel	Mr. C K Venkataraman, Managing Director (upto 31 st December 2025) Mr. Ajoy Chawla, Managing Director (from 1 st January 2026) Mr. Ashok Sonthalia, Chief Financial Officer Mr. Dinesh Shetty, General Counsel and Company Secretary
	Non - Executive Directors	
		Mr. N N Tata
		Mr. Ashwani Puri
		Mr. B Santhanam
		Dr. Mohanasankar Sivaprakasam

Notes to consolidated financial statements

for the year ended 31st March 2026

	Ms. Sindhu Gangadharan (upto 8 th June 2025)	
	Mr. Sandeep Singhal	
	Mr. V Arun Roy	
	Mr. Sandeep Nanduri (upto 4 th January 2026)	
	Ms. Mariam Pallavi Baldev	
	Mr. Anil Chaudhry	
	Ms. Shalini Kapoor (from 9 th May 2025)	
	Mr. P B Balaji (upto 20 th August 2025)	
	Mr. Puneet Chhatwal (from 28 th August 2025)	
	Ms. Sandhya Venugopal Sharma (from 4 th January 2026)	
e)	Group entities (Wherever there are transactions)	
	Tata Capital Housing Finance Limited	Tata Consultancy Services Limited
	Infiniti Retail Limited	Tata Housing Development Company Limited
	Kriday Realty Private Limited	Smart Value Homes (Peenya Project) Private Limited
	Tata International Limited	Tata Capital Limited
	Tata Limited	Tata Play Limited
	Tata AIG General Insurance Company Limited	Promont Hilltop Private Limited
	Tata Industries Limited	Tata Interactive Systems AG
	Tata Value Homes Limited	Tata Steel Advanced Materials Limited
	Ardent Properties Private Limited	Tata Autocomp Systems Limited
	Tata AIA Life Insurance Company Limited	Tata Teleservices Limited
	Tata Teleservices (Maharashtra) Limited	Sector 113 Gatevida Developers Private Limited
	Tata Cleantech Capital Limited	Tata Electronics Private Limited
	Tata Realty and Infrastructure Limited	Trent Hypermarket Private Limited
	AirAsia (India) Limited	Stryder Cycle Private Limited
	HL Promoters Private Limited	Supermarket Grocery Supplies Private Limited
	Tata Steel Downstream Products Limited	Tata Communications Limited
	Kolkata-One Excelton Private Limited	Innovative Retail Concepts Private Limited
	Piem Hotels Limited	Land Kart Builders Private Limited
	Rallis India Limited	Princeton Infrastructure Private Limited
	Tata Advanced Systems Limited	Tata 1Mg Healthcare Solutions Private Limited
	Tata Chemicals Limited	Tata Autocomp Hendrickson Suspensions Private Limited
	Tata Consumer Products Limited	Tata Coffee Limited
	Tata Metaliks Limited	Tata Digital Private Limited
	Tata Motors Limited	Tata Motors Finance Limited
	Tata Power Solar Systems Limited	Tata Power Delhi Distribution Limited
	Tata Steel Limited	Tata SIA Airlines Limited
	The Indian Hotels Company Limited	Tata Toyo Radiator Limited
	The Tinsplate Company Of India Limited	The Tata Power Company Limited
	Trent Limited	TM Automotive Seating Systems Private Limited
	Voltas Limited	United Hotels Limited
	Indusface Private Limited	Roots Corporation Limited
	Stt Global Data Centres India Private Limited	Benares Hotels Limited

Notes to consolidated financial statements

for the year ended 31st March 2026

	Tata Business Hub Limited	Tata Communications Payment Solutions Limited
	Tata Medical And Diagnostics Limited	Tata Technologies Limited
	TML Business Services Limited	Brainbees Solutions Private Limited
	Tata Motors Passenger Vehicles Limited	Tata Asset Management Private Limited
	Tata Power EV Charging Solutions Limited (formerly known as TP Solapur Limited)	Tata Play Broadband Private Limited
	Tata Projects Limited	Tata Power Renewable Energy Limited
	The Associated Building Company Limited	Tata Unistore Limited
	TP Southern Odisha Distribution Limited	TP Ajmer Distribution Limited
	Air India Limited	Cnergyis Infotech India Private
	Hicare Services Pvt Ltd	lit Madras Research Park
	Keya Foods International	Mailit Mailroom Management Services
	Novamesh Limited	Tata Autocomp Gy Batteries Pvt Ltd
	Tata Housing Development Co. Ltd	Tata Payments Limited
	Tata Power Company Limited	Tata Sons Private Limited
	Tata Teleservices Ltd Ahmedabad	Toyota Material Handling India Pvt
	915 Labs LLC	Harita NTI Limited
	Tata Advanced Materials Limited	Tata Electronics Systems Solutions Private Limited
	Tata SmartFoodz Limited	TEL Components Private Limited
	Titanx Engine Cooling Inc	Toyota Kirloskar Auto Parts Pvt Ltd
	TVS Motor Company Indonesia	
	Tata Electronics Products and Solutions Private Limited	
	Tata Semiconductor Assembly and Test Private Limited	
	Tata Elxsi Limited	
	Tidel Park Ltd	
e)	Post employee benefit plan entities	
	Titan Watches Provident Fund	Titan Industries Gratuity Fund
	Titan Watches Super Annuation Fund	Titan Employee Stock Option Trust

ii) Related party transactions during the year:

₹ in crore

	Relationship	For the year ended 31 st March 2026	For the year ended 31 st March 2025
<i>Purchase of property, plant and equipment</i>			
Infiniti Retail Limited	Group entity	0	1
Voltas Limited	Group entity	0	1
Tata Elxsi	Group entity	3	-
Others	Group entity	5	14
<i>Other Purchases</i>			
Tata Electronics Private Limited	Group entity	-	0
Harita NTI Limited	Group entity	0	0
Toyota Kirloskar Auto Parts Pvt Ltd	Group entity	0	
Others	Group entity	-	0

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for the year ended 31st March 2026

₹ in crore

	Relationship	For the year ended 31 st March 2026	For the year ended 31 st March 2025
<i>Purchases of services (other expenses)</i>			
Tata Sons Private Limited	Promoter	0	0
Tata Consultancy Services Limited	Group entity	51	64
Tata AIG General Insurance Company Limited	Group entity	10	0
Tata Power Renewable Energy Limited	Group entity	1	-
The Indian Hotels Company Limited	Group entity	6	4
Tata AIA Life Insurance Company Limited	Group entity	8	5
Tata Unistore Limited	Group entity	2	1
Tata Teleservices Limited	Group entity	0	-
Tata Communications Limited	Group entity	2	3
Tata Technologies	Group entity	0	-
Novamesh Limited	Group entity	0	-
Tidel Park Ltd	Group entity	1	-
Others	Group entity	27	19
<i>Revenue from operations</i>			
Tata Sons Private Limited	Promoter	0	1
Tata Play Limited	Group entity	0	-
Tata Consultancy Services Limited	Group entity	4	10
Infiniti Retail Limited	Group entity	0	-
Tata Electronics Private Limited	Group entity	47	18
Tata Motors Passenger Vehicles Limited	Group entity	0	0
The Tata Power Company Limited	Group entity	9	0
Stryder Cycle Private Limited	Group entity	0	0
The Indian Hotels Company Limited	Group entity	3	2
Toyota Kirloskar Auto Parts Private Limited	Group entity	5	0
Tata Electronics Systems Solutions Private Limited	Group entity	44	3
Tata Semiconductor Assembly and Test Private Limited	Group entity	1	
Tata Electronics Products and Solutions Private Limited	Group entity	166	
Others	Group entity	31	30
<i>Rent</i>			
Tata Sons Private Limited	Promoter	1	1
Indian Hotels Company Limited	Group entity	0	0
Others	KMP	0	-
Others	Group entities	0	1
<i>Power and fuel</i>			
Green Infra Wind Power Theni Limited	Associate	5	4
Others	Group entities	0	-

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for the year ended 31st March 2026

₹ in crore

	Relationship	For the year ended 31 st March 2026	For the year ended 31 st March 2025
<i>Dividend paid</i>			
Tamilnadu Industrial Development Corporation Limited	Promoter	272	272
Tata Sons Private Limited	Promoter	204	204
<i>Key managerial personnel compensation</i>			
Commission and sitting fees	Promoter	2	2
Commission and sitting fees	Directors	11	9
Managerial remuneration	KMP	37	33
Performance stock units (fair value of options)	KMP	12	3
Gratuity and compensated absences	KMP	4	2
Pension paid	Director	0	1
<i>Miscellaneous expense</i>			
Tata Sons Private Limited (Royalty)	Promoter	129	90
Tata AIG General Insurance Company Limited	Group entity	-	1
Tata Power Renewable Energy Limited	Group entity	-	1
Tata Electronics Private Limited	Group entity	-	-
Innovative Retail Concepts Pvt Ltd	Group entity	0	-
Roots Corporation Limited	Group entity	0	-
Others	Group entities	-	1
<i>Reimbursement towards rendering of services/expenses</i>			
Tata Sons Private Limited	Promoter	-	-
Others	Group entity	0	2
<i>Inter-corporate deposit placed</i>			
Tata Realty & Infrastructure Limited	Group entity	-	32
<i>Inter-corporate deposit redeemed</i>			
Tata Realty and Infrastructure Limited	Group entity	-	175
<i>Interest and Corporate guarantee commission income</i>			
Tata Realty and Infrastructure Limited	Group entity	3	3
Tata Housing Development Company Limited	Group entity	-	-
<i>Miscellaneous Income</i>			
TitanX Engine Cooling Inc.	Group entity	-	0
Toyota Kirloskar Auto Parts Private Limited	Group entity	0	-
Tata SmartFoodz Limited	Group entity	-	-
Tata Advanced System Limited	Group entity	1	-
Tata Electronics Private Limited	Group entity	1	-

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₹ in crore

	Relationship	For the year ended 31 st March 2026	For the year ended 31 st March 2025
<i>Contribution to Trust funds</i>			
Titan Watches Provident Fund	Others	158	144
Titan Watches Super Annuation Fund	Others	17	14
Titan Industries Gratuity Fund	Others	91	38

iii) Related party closing balances as on balance sheet date:

₹ in crore

	Relationship	As at 31 st March 2026	As at 31 st March 2025
Outstanding - receivables			
Tata Consultancy Services Limited	Group entity	-	5
Tata Projects Limited	Group entity	-	-
Tata Electronics Private Limited	Group entities	2	0
Tata Digital Private Limited	Group entities	1	4
Tata Projects Limited	Group entities	1	1
Tata Electronics Systems Solutions Private Limited	Group entities	15	-
Tata Semiconductor Assembly and Test Private Limited	Group entities	0	-
Tata Electronics Products and Solutions Private Limited	Group entities	7	-
Others	Group entity	-	17
Others	KMP	13	0
Outstanding - payables			
Tamilnadu Industrial Development Corporation Limited	Promoter	(2)	(2)
Tata Sons Private Limited	Promoter	(116)	(75)
Tata Consultancy Services Limited	Group entity	(4)	-
Tata Housing Development Company Limited	Group entity	-	(0)
Tata Electronics Private Limited	Group entity	-	(10)
Tata SmartFoodz Limited	Group entity	-	(0)
Tata Advanced System Limited	Group entity	-	(1)
C K Venkataraman	KMP	-	(8)
Ajoy Chawla	KMP	(2)	-
Others	Directors	(9)	(7)
Others	Group entities	(8)	(2)

Note:

- a) The above information has been determined to the extent such parties have been identified on the basis of information available with the Company.

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for the year ended 31st March 2026

35 Financial instruments

35.1 Categories of financial instruments

Financial assets

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Measured at fair value through profit or loss (FVTPL) and Fair value through other comprehensive income (FVTOCI)		
Equity investments and mutual funds	1,541	1,095
Total financial assets measured at FVTPL and FVTOCI (a)	1,541	1,095
Measured at amortised cost		
- Trade receivables	916	1,068
- Cash and cash equivalents	873	407
- Bank balances other than cash and cash equivalents	1,044	1,177
- Security deposits	328	253
- Investment in non-convertible debentures	1,596	750
- Investment in government securities	118	123
- Investment in Certificate Deposit	-	20
- Investment in Commercial Paper	99	-
- Employee loans	117	106
- Lease receivable	798	745
- Other financial assets	436	130
Total financial assets measured at amortised cost (b)	6,325	4,779
Derivative instruments other than in designated hedge accounting relationships (c)	92	-
Total financial assets (a + b + c)	7,958	5,874

Financial liabilities

₹ in crore

Particulars	As at 31 st March 2026	As at 31 st March 2025
Measured at fair value through profit or loss (FVTPL)		
- Gold on loan	16,070	7,810
- MTM loss on forward, future and options contracts	1,689	674
- Deferred consideration (refer note 40)	1,758	-
Total financial liabilities measured at FVTPL (a)	19,517	8,484
Measured at amortised cost		
- Redeemable non-convertible debentures	-	2,578
- Unsecured term loans from banks	93	562
- Secured term loans from banks	-	33
- Borrowings	11,285	7,113
- Trade payables	2,864	1,963
- Lease liability	3,173	2,681
- Other financial liabilities	959	662
Total financial liabilities measured at amortised cost (b)	18,374	15,592
Total financial liabilities (a+b)	37,891	24,076

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for the year ended 31st March 2026

35.2 (i) Fair value hierarchy

This note explains about basis for determination of fair values of various financial assets and liabilities:

₹ in crore

Particulars	As at 31 st March 2026			
	Level 1	Level 2	Level 3	Total
Financial assets and liabilities measured at fair value				
Financial assets				
- Quoted investments at FVTPL	3	-	6	9
- Other unquoted investments	-	1,473	59	1,532
- Derivative instruments other than in designated hedge accounting relationships	-	92	-	92
Total financial assets	3	1,565	65	1,633
Financial liabilities				
- Gold on loan	16,070	-	-	16,070
-MTM loss on forward, future and options contracts	-	1,689	-	1,689
-Deferred consideration (refer note 40)	-	-	1,758	1,758
Total financial liabilities	16,070	1,689	1,758	19,517

₹ in crore

Particulars	As at 31 st March 2025			
	Level 1	Level 2	Level 3	Total
Financial assets and liabilities measured at fair value				
Financial assets				
- Quoted investments at FVTPL	8	-	-	8
- Other unquoted investments	-	1,031	56	1,087
Total financial assets	8	1,031	56	1,095
Financial liabilities				
- Gold on loan	7,810	-	-	7,810
- MTM loss on forward, future and options contracts	-	674	-	674
Total financial liabilities	7,810	674	-	8,484

35.2 (ii) Valuation technique used to determine fair value

Specific value techniques used to value financial instruments include:

- the use of quoted market prices for listed instruments.
- the fair value of forward foreign exchange contracts is determined using forward exchange rates at the balance sheet date.
- the fair value of foreign currency option contracts is determined using option prices obtained from banks.
- the fair value of remaining financial instruments is determined using market comparables, discounted cash flow analysis.
- the fair value of deferred consideration liability is determined using Monte carlo simulation.

(iii) Fair value of financial assets and liabilities that are not measured at fair value but fair value disclosures are required

The carrying values of financial assets and liabilities approximate the fair values.

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- (iv) There have been no transfers between Level 1 and Level 2 for the years ended 31st March 2026 and 31st March 2025.
- (v) Significant unobservable inputs used in Level 3 fair value measurements and sensitivity of the fair value measurement to changes in unobservable inputs.

Particulars	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value
Investments measured at FVTPL	DCF method	Change in cash flows of subsequent years.	10% increase/(decrease) in projected cash flows would result in increase/(decrease) of investment value by ₹ 3 crore
		Changes in discount rate for cash flows for subsequent years.	10% increase/(decrease) in discount rate would result in increase of investment value by ₹ 3 crore, decrease of investment value by ₹ 4 crore
Deferred Consideration liability	Monte Carlo simulation	Change in EBITDA of subsequent years.	10% increase/(decrease) in projected EBITDA would result in increase/(decrease) of liability by ₹ 207 crore
		Changes in discount rate for cash flows for subsequent years.	10% increase/(decrease) in discount rate would result in decrease of liability by ₹ 55 crore, increase of liability by ₹ 63 crore

Reconciliation of Level 3 fair values

The following table shows a reconciliation from the opening balances to the closing balances for Level 3 fair values.

Particulars	₹ in crore	
	As at 31 st March 2026	As at 31 st March 2025
Opening financial assets	56	167
Gain included in other income		
- Net change in fair value (unrealised)	0	0
Gain/(Loss) included in OCI (net)		
- Net change in fair value -unrealised (includes exchange gain)	-	(111)
Exchange gain included in OCI	-	-
Purchase of Equity instruments	3	-
	59	56

35.3 Financial risk management objective

The Group has constituted a Risk Management Committee. The group has in place a Risk management framework to identify, evaluate business risks and challenges across the Companies both at corporate level as also separately for each business division. These risks include market risk, credit risk and liquidity risk.

The Group minimises the effects of these risks by using derivative financial instruments to hedge risk exposures. The use of derivative financial instruments and investment of excess liquidity is governed by the Group's policies approved by the Board of Directors, which provide written principles on the use of such instruments consistent with the Group's risk management strategy.

The Group does not enter into or trade financial instruments including derivative financial instruments, for speculative purposes.

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35.4 Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate as a means of mitigating the risk of financial loss from defaults. Credit risk is managed by the Group through approved credit norms, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Group grants credit terms in the normal course of business. On account of adoption of Ind AS 109, the Group uses expected credit loss model to assess the impairment loss. Credit risk arises principally from the Group's receivables from customers. Refer Note 11.2 for the disclosures for trade receivables.

Credit risk on liquid funds, Inter Corporate deposits and derivative financial instruments is limited because the counterparties are banks and Companies with high credit-ratings assigned by credit-rating agencies.

35.5 Liquidity risk

The Group has an approved policy to invest surplus funds from time-to-time in various short-term instruments. Security of funds and liquidity shall be the primary consideration while deciding on the type of investments.

The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and by matching the maturity profiles of financial assets and liabilities. The group expects to meet its other obligations from operating cash flows and proceeds of maturing financial assets.

The Group has following undrawn funding facilities at the end of the reporting period:

₹ in crore		
Particulars	31 st March 2026	31 st March 2025
Bank overdraft and other facilities	18,167	14,097

Liquidity risk tables

The following table below analyses the Group's financial liabilities into relevant maturity groupings based on their maturities for:

- all non-derivative financial liabilities, and
- derivative financial liabilities, that are net settled.

The tables have been drawn on an undiscounted basis based on the earliest date on which the Group can be required to pay.

₹ in crore				
Contractual maturities of financial liabilities	As at 31 st March 2026			
	Less than 3 months	3 to 12 months	More than 12 months	Total
Non-derivative				
Borrowings*	10,680	37	-	10,717
Unsecured term loans from banks	124	444	93	661
Secured term loans from banks	-	0	-	0
Gold on loan	3,313	12,757	-	16,070
Trade payables	2,864	-	-	2,864

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₹ in crore

Contractual maturities of financial liabilities	As at 31 st March 2026			
	Less than 3 months	3 to 12 months	More than 12 months	Total
Lease liability	86	375	2,712	3,173
Deferred consideration at fair value through FVTPL (refer note 40)			1,758	1,758
Other financial liabilities	959	-	-	959
Total non-derivative liabilities	18,026	13,613	4,563	36,203
Derivatives (net settled)				
Derivative instruments other than in designated hedge accounting relationships	1,689	-	-	1,689
Derivative instruments in designated hedge accounting relationship	-		-	-
Total derivative liabilities	1,689	-	-	1,689

₹ in crore

Contractual maturities of financial liabilities	As at 31 st March 2025			
	Less than 3 months	3 to 12 months	More than 12 months	Total
Non-derivative				
Borrowings	6,384	540	-	6,924
Redeemable non-convertible debentures	1,289	1,289	-	2,578
Unsecured term loans from banks	-	189	561	750
Secured term loans from banks	-	0	33	33
Gold on loan	3,514	4,301	-	7,815
Trade payables	1,964	-	-	1,964
Lease liability	94	748	1,990	2,832
Other financial liabilities	1,185	-	-	1,185
Total non-derivative liabilities	14,430	7,067	2,584	24,081
Derivatives (net settled)				
MTM loss on forward, future and options contracts	674	-	-	674
Total derivative liabilities	674	-	-	674

*Borrowings does not include interest

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35.6 Market risk

The market risks to which the Group is exposed are price risk {Refer note (a) below} and foreign currency risk {Refer note (b) below}.

(a) Price Risk:

The Group is exposed to fluctuations in gold price (including fluctuations in foreign currency) arising on purchase/sale of gold. To manage the variability in cash flows, the Group enters into derivative financial instruments to manage the risk associated with gold price fluctuations relating to the inventory lying with the Company. Such derivative financial instruments are primarily in the nature of future commodity contracts and forward foreign exchange contracts. The risk management strategy against gold price fluctuation also includes procuring gold on loan basis, with a flexibility to fix price of gold at any time during the tenor of the loan.

The use of such derivative financial instruments is governed by the Group's policies approved by the Board of Directors, which provide written principles on the use of such instruments consistent with the Group's risk management strategy.

As the value of the derivative instrument generally changes in response to the value of the hedged item, the economic relationship is established.

The following table gives details of contracts as at the end of the reporting period.

Hedges Sell forward/future contracts:

Particulars	Nature of hedge	Average rate (Per gram)	Quantity of hedge instruments (kgs)	Nominal amount (₹ in crore)
31st March 2026	Fair Value	13,839	8,428	11,664
31 st March 2025	Fair Value	8,576	13,600	11,663

- The line items in the Balance Sheet that include the above hedging instruments are other financial assets and other financial liabilities.

Particulars	₹ in crore	
	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Balance at beginning of the year (net of tax)	-	-
Movement in cash flow hedges during the year		
Changes in fair value of effective portion of cash flow hedges	(3)	-
Deferred tax on fair value of effective portion of cash flow hedges	1	-
Movement in cash flow hedges	(2)	-
Deferred tax on movement in cash flow hedge	-	-
Balance at end of the year (net of taxes)	(2)	-

Fair value hedge

The Group designates derivative contracts as hedging instruments to mitigate the risk of change in fair value of hedged item due to movement in gold prices. Changes in the fair value of hedging instruments and hedged items that are designated and qualify as fair value hedges are recorded in the consolidated statement of profit and loss. Therefore, there will be no impact of the fluctuation in the price of the gold on the Group's profit for the period.

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The table below shows the position of hedging instruments and hedged items as at 31st March 2026 and 31st March 2025:

Commodity price risk	Carrying value of 31 st March 2026		Maturity date	Impact of fair value hedge	Balance Sheet Disclosure
	Hedged item	Hedging Instrument			
Hedged item - fixed gold	11,664	-	2 to 6 months	569	Inventories
Hedging instrument - derivatives	-	569	2 to 6 months	(569)	Other financial assets/liabilities

Commodity price risk	Carrying value of 31 st March 2025		Maturity date	Impact of fair value hedge	Balance Sheet Disclosure
	Hedged item	Hedging Instrument			
Hedged item - fixed gold	11,663	-	2 to 6 months	474	Inventories
Hedging instrument - derivatives	-	474	2 to 6 months	(474)	Other financial assets/liabilities

b) Foreign currency risk management

The Group is exposed to foreign exchange risk arising through its sales and purchases denominated in various foreign currencies.

- The risk management strategy on foreign currency exchange fluctuation arising on account of purchase/sale of gold is covered in Note 35.6 above.
- In respect of normal purchase and sale transactions denominated in foreign currency, the Group enters into forward foreign exchange contracts and option contracts to mitigate the risk of changes in exchange rates on foreign currency exposures. These contracts are measured at fair value through profit and loss.

Foreign currency sensitivity analysis:

The Group is mainly exposed to USD, CHF, EURO, SGD, AED, JPY, HKD, CAD, AUD and GBP currencies. The Group's sensitivity to a 1% increase and decrease in ₹ against the relevant foreign currencies is presented below:

As on 31st March 2026

Particulars	% variance	Impact on equity (Increase/decrease)
Titan Company Limited	1.0%	1
Titan Engineering & Automation Limited	0.5%	0
CaratLane Trading Private Limited	1.0%	0

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As on 31st March 2025

Particulars	% variance	Impact on equity (Increase/decrease)
Titan Company Limited	1.0%	1
Titan Engineering & Automation Limited	0.5%	0
CaratLane Trading Private Limited	1.0%	0

35.7 The Group's exposure to forward foreign exchange contracts and options contracts at the end of the reporting year are as follows:

The Group has 91 forward exchange contracts in USD 12.28 crore equivalent to ₹ 1,154.96 crore as at 31st March 2026 (Previous year: 54 forward exchange contracts in USD 6.62 crore equivalent to ₹ 565.74 crore) and 12 forward contracts in EUR 0.27 crore equivalent to ₹ 29.92 crore (Previous year: 23 forward contracts in EUR 0.93 crore equivalent to ₹ 84.83 crore as at March 2025).

In addition to the above, the Group has 5 Option contract in USD 2.53 crore equivalent to ₹ 237 crore as at 31st March 2026 (Previous year: 3 Option contracts in USD 0.51 crore equivalent to ₹ 45 crore).

36 Details of Inter-corporate deposits given and investments made during the year as per Section 186 of Companies Act, 2013:

₹ in crore

Name of the entity	Nature of relationship	Secured/unsecured	Purpose	Rate of interest	Term	As at 1 st April 2025	Given during the year	Receipt during the year	Provision for impairment	As at 31 st March 2026
Inter-corporate deposits										
Bajaj Finance Limited	Others	Unsecured	Trade deposits	6.30%	93 days	-	100	100	-	-
						-	100	100	-	-

₹ in crore

Name of the entity	Nature of relationship	Purpose	As at 1 st April 2025	Investment made during the year	Share of Profit/(loss) during the year	Investment sold during the year	As at 31 st March 2026
Investments							
<i>Investment in equity instruments (unquoted)</i>							
Green Infra Wind Power Theni Limited	Associate	Strategic investment	5	-	1	-	6
			5	-	1	-	6

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₹ in crore

Name of the entity	Nature of relationship	Purpose	As at 1 st April 2025	Investment made during the year	Share of Profit /(loss) during the year	Investment sold during the year	Foreign Exchange fluctuations	As at 31 st March 2026
Investments								
<i>Investment in equity instruments (unquoted)</i>								
Roberto Coin Middle East LLC	Joint venture	Strategic investment	-	144	0	-	8	152
			-	144	0	-	8	152

₹ in crore

Name of the entity	Nature of relationship	Purpose	As at 1 st April 2025	Investment made during the year	Investment sold/impaired during the year	Foreign Exchange Fluctuation	As at 31 st March 2026
Investments							
<i>Investments in equity instruments (quoted)</i>							
NELCO (formerly known as National Radio & Electronics Company Limited)*	Others	Wealth creation	0	0	-	-	0
Tata Steel Limited*	Others	Wealth creation	0	0	-	-	0
Tata Consumer Products Limited* (formerly known as Tata Global Beverages Limited)	Others	Wealth creation	1	0	-	-	1
Tata Chemicals Limited*	Others	Wealth creation	0	0	-	-	0
Trent Limited*	Others	Wealth creation	2	(1)	-	-	1
Other investments in equity instruments (unquoted)			-				-
Innoviti Payment Solutions Private Limited*	Others	Strategic investment	26	-	-	-	26
Investment in Great Heights Inc.	Others	Strategic investment	-	-	-	-	-
Investment in CueZen Inc.	Others	Strategic investment	30	-	-	3	33
Green Infra Wind Generation Limited	Others	Wealth creation	0	-	-	-	0
Clean Windpower (Pratapgarh) Private Limited	Others	Wealth creation	0	-	-	-	0

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₹ in crore

Name of the entity	Nature of relationship	Purpose	As at 1 st April 2025	Investment made during the year	Investment sold/impaired during the year	Foreign Exchange Fluctuation	As at 31 st March 2026
<i>Investments in non-convertible debentures carried at amortised cost - unquoted</i>							
Investment in non convertible debentures	Others	Wealth creation	750	1,121	275	-	1,596
Investment in Government Securities	Others	Wealth creation	123	-	5	-	118
Investment in Certificate Deposit	Others	Wealth creation	20	-	20	-	-
			952	1,120	300	3	1,775

*The movement is on account of fair valuation as at the year end.

Details of Inter-corporate deposits given and investments made during the previous year:

₹ in crore

Name of the entity	Nature of relationship	Secured/unsecured	Purpose	Rate of interest	Term	As at 1 st April 2024	Given during the year	Receipt during the year	Provision for impairment	As at 31 st March 2025
Inter-corporate deposits										
Bajaj Finance Limited	Others	Unsecured	Trade deposits	7.80%	365 days	100	-	100	-	-
Bajaj Finance Limited	Others	Unsecured	Trade deposits	7.00%	33 days	-	100	100	-	-
Tata Realty & Infrastructure Ltd	Group entity	Unsecured	Trade deposits	7.50%	30 days	-	32	32	-	-
Tata Realty & Infrastructure Ltd	Group entity	Unsecured	Trade deposits	7.85%	90 days	115	-	115	-	-
Tata Realty & Infrastructure Ltd	Group entity	Unsecured	Trade deposits	7.85%	86 days	28	-	28	-	-
Aditya Birla Finance Ltd	Others	Unsecured	Trade deposits	7.50%	42 days	-	200	200	-	-
						243	332	575	-	-

₹ in crore

Name of the entity	Nature of relationship	Purpose	As at 1 st April 2024	Investment made during the year	Share of Profit/(loss) during the year	Investment sold during the year	As at 31 st March 2025
Investments							
<i>Investment in equity instruments (unquoted)</i>							
Green Infra Wind Power Theni Limited	Associate	Strategic investment	4	-	1	-	5
			4	-	1	-	5

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₹ in crore

Name of the entity	Nature of relationship	Purpose	As at 1 st April 2024	Investment made during the year	Investment sold/ impaired during the year	Foreign Exchange Fluctuation	As at 31 st March 2025
Investments							
<i>Investments in equity instruments (quoted)</i>							
National Radio Electronics Company Limited*	Others	Wealth creation	0	0	-	-	0
Tata Steel Limited*	Others	Wealth creation	0	-0	-	-	0
Tata Consumer Products Limited (formerly known as Tata Global Beverages Limited)*	Others	Wealth creation	1	-0	-	-	1
Tata Chemicals Limited*	Others	Wealth creation	0	-0	-	-	0
Trent Limited*	Others	Wealth creation	0	1	-	-	2
Other investments in equity instruments (unquoted)							-
Innoviti Payment Solutions Private Limited	Others	Strategic investment	26	0	-	-	26
Investment in Great Heights Inc.	Others	Strategic investment	111	-	111	-	-
Investment in CueZen Inc.	Others	Strategic investment	30	-	-	-	30
Green Infra Wind Generation Limited	Others	Wealth creation	0	-	-	-	0
Clean Windpower (Pratapgarh) Private Limited	Others	Wealth creation	0	-	-	-	0
Investments in non-convertible debentures carried at amortised cost - unquoted							-
Investment in non convertible debentures	Others	Wealth creation	433	642	325	-	750
Investment in Government Securities	Others	Wealth creation	123	-	-	-	123
Investment in Certificate Deposit			-	20			20
			726	663	436	-	952

*The movement is on account of fair valuation as at the year end.

Notes to consolidated financial statements

for the year ended 31st March 2026

37 Additional information pursuant to para 2 of general instructions for the preparation of Consolidated Financial Statements:

Additional information as required by Paragraph 2 of the General Instructions for Preparation of Consolidated Financial Statements to Schedule III to the 2013 Act.

₹ in crore

Name of the entity	Net assets, i.e., total assets minus total liabilities		Share of profit/(loss)		Share in other comprehensive income		Share in total comprehensive income	
	As % of consolidated net assets	Amount	As % of consolidated profit/(loss)	Amount	As % of consolidated other comprehensive income	Amount	As % of consolidated profit/(loss)	Amount
Parent: Titan Company Limited	100.50%	20,487	90.67%	4,630	75.33%	(55)	90.88%	4,575
Subsidiaries:								
Indian								
1) CaratLane Trading Private Limited	2.60%	530	5.25%	268	0.00%	-	5.32%	268
2) Titan Engineering & Automation Limited	3.43%	700	3.76%	192	6.72%	(5)	3.72%	187
3) Titan Commodity Trading Limited	0.17%	34	0.20%	10	0.21%	(0)	0.20%	10
Foreign								
1) Titan Holdings International FZCO	0.26%	52	(0.14%)	(7)	0.00%	-	(0.14%)	(7)
2) Titan Global Retail LLC	(1.04%)	(212)	0.41%	21	0.00%	-	0.42%	21
3) Titan International QFZ LLC	(0.10%)	(21)	(0.01%)	(0)	0.00%	-	(0.01%)	(0)
6) StudioC Inc.	(0.26%)	(53)	0.00%	-	8.28%	(6)	(0.12%)	(6)
7) TCL North America Inc.	(0.33%)	(68)	0.39%	20	10.19%	(7)	0.25%	13
8) Signature Jewellery Holding Limited	8.64%	1,762	(0.18%)	(9)	(0.72%)	1	(0.17%)	(9)
9) Damas LLC	(14.16%)	(2,887)	(0.14%)	(7)	0.00%	-	(0.15%)	(7)
10) Damas Jewellery LLC	0.31%	64	(0.24%)	(12)	0.00%	-	(0.24%)	(12)
11) Damas Jewellery DMCC	(0.04%)	(8)	(0.03%)	(1)	0.00%	-	(0.03%)	(1)
12) Damas Saudi Arabia Co. Ltd.	(0.24%)	(49)	0.03%	2	0.00%	-	0.03%	2
13) Damas Jewellery SPC	0.13%	26	0.00%	0	0.00%	-	0.00%	0
14) Damas Company WLL	0.03%	6	(0.01%)	(1)	0.00%	-	(0.01%)	(1)
15) Damas Jewellery Kuwait Co. WLL	(0.05%)	(10)	0.00%	(0)	0.00%	-	0.00%	(0)
16) Damas Doha Jewellery WLL	0.16%	33	0.01%	1	0.00%	-	0.01%	1
	100.00%	20,386	100.00%	5,107	100.01%	(72)	99.99%	5,035

Notes to consolidated financial statements

for the year ended 31st March 2026

₹ in crore

Name of the entity	Net assets, i.e., total assets minus total liabilities		Share of profit/(loss)		Share in other comprehensive income		Share in total comprehensive income	
	As % of consolidated net assets	Amount	As % of consolidated profit/(loss)	Amount	As % of consolidated other comprehensive income	Amount	As % of consolidated profit/(loss)	Amount
Adjustments arising out of consolidation		(4,689)		(35)		(24)		(59)
		15,697		5,072		(96)		4,976
Associate:								
Green Infra Wind Power Theni Limited		6		1		-		1
Joint venture								
Roberto Coin Middle East LLC		-		0		-		0
		15,703		5,073		(96)		4,977

38 Capital management

The Group's objective for capital management is to maximise shareholder value, safeguard business continuity and support the growth of the Group. The Group determines the capital requirement based on annual operating plan and other strategic investment plans. The funding requirements are primarily met through equity, combination of short-term and long-term borrowings and operating cash flows generated. Gold on loan as disclosed in the financial statements represents amounts due to banks for the procurement of gold under 'Gold (Metal) loan scheme' by the Company.

The Group aims to manage its capital efficiently so as to safeguard its ability to continue as a going concern and to optimise returns to all its shareholders. The Group is not subject to any externally imposed capital requirements. The gross debt equity ratio is 0.93:1 as at 31st March 2026 (as at 31st March 2025 1.12:1).

In addition, the Company has financial covenant relating to the redeemable non-convertible debentures that it has taken from the debenture holders to manage "Net debt to EBITDA ratio" which is maintained by the Company.

39 Commercial paper

The following tables set forth, for the period indicated, details of commercial paper issued by the Group:

₹ in crore

Maturities	As at 31 st March 2026		
	0-1 Month	2-3 Months	4-6 Months
Face value	-	-	-
Carrying value	-	-	-

₹ in crore

Maturities	As at 31 st March 2025		
	0-1 Month	2-3 Months	4-6 Months
Face value	-	1,200	-
Carrying value	-	1,197	-

Notes to consolidated financial statements

for the year ended 31st March 2026

(b) Movement of Commercial Paper:

₹ in crore

Particulars	For the year ended 31 st March 2026	For the year ended 31 st March 2025
Opening Balance	1,197	-
Additions during the year	12,819	7,431
Repayments during the year	14,016	6,234
Closing balance	-	1,197

40 Business Combination

- a. During the year ended 31st March 2026, Titan Holding International FZCO ("Titan Holding"), a wholly owned subsidiary of the Company, acquired a 67% equity interest in Damas LLC through Signature Jewellery Holding Limited, with effect from 4th January 2026, for a consideration of ₹ 1,191 crore, thereby obtaining control.

The Group holds a call option to acquire the remaining 33% equity interest, while the minority shareholders hold a corresponding put option exercisable on 31st December 2029. Accordingly, the minority interest is deemed acquired at the acquisition date, and a put option liability of ₹ 1,668 crore has been recognised and included in the total purchase consideration of ₹ 2,859 crore.

Given that the operations of Damas LLC for the period from 1st January 2026 to 3 January 2026 were not material, the Group has determined 1st January 2026 as the effective date for consolidation.

Assets acquired and liabilities assumed

The preliminary fair values of the identifiable assets and liabilities of Damas LLC as at the date of acquisition were:

Particular	Valuation methodology	Fair value recognised on acquisition
		In ₹ crore
Assets		
Property, plant and equipment (Note 3.1)	Book value*	144
Property, plant and equipment (Note 3.1)	Fair value	376
Capital work in progress	Book value*	33
Right of use of assets (Note 4)	Book value*	218
Brand (Note 6.1)	Fair value	763
Intangible assets	Book value*	3
Investment properties (Note 5.1)	Fair value	128
Investment in joint venture (Note 43)	Fair value	144
Inventories	Fair value	2,080
Trade receivables	Book value*	55
Cash and cash equivalents	Book value*	82
Loans	Book value*	3
Other financial assets	Book value*	35
Other current assets	Book value*	35
Total Assets (A)		4,099

Notes to consolidated financial statements

for the year ended 31st March 2026

Particular	Valuation methodology	Fair value recognised on acquisition
		In ₹ crore
Liabilities		
Lease liability	Book value*	200
Provisions	Book value*	115
Deferred tax liabilities (net)	Book value*	0
Borrowings	Book value*	184
Gold on loan	Book value*	875
Trade payables	Book value*	344
Other financial liabilities	Book value*	104
Other current liabilities	Book value*	15
Current tax liabilities	Book value*	2
Total liabilities (B)		1,839
Total identifiable net assets at fair value (C= A - B)		2,260
Purchase consideration transferred (D)		2,859
Goodwill arising on acquisition (provisional) (E = D - C)		599

Exchange rate of 1 AED = 24.50 INR is used for conversion of acquisition date assets acquired and liabilities assumed.

*Book values represent fair values as the assets will be realised and liabilities will be settled at book value post acquisition.

- Based on a preliminary purchase price allocation of the identifiable assets acquired and liabilities assumed, the transaction has resulted in the recognition of provisional goodwill amounting to ₹ 599 crore. The purchase price allocation remains subject to finalisation, particularly with respect to the valuation of tangible assets and leases. This will be completed within the measurement period prescribed under Ind AS 103. The goodwill primarily represents expected synergies and the value of assembled workforce, and has been allocated to the Damas cash-generating unit (CGU). The goodwill is not income tax deductible.
- From the date of acquisition, Damas LLC has contributed ₹ 555 crore of revenue and loss of ₹ 41 crore to the profit before tax from continuing operations of the Group. Had the business combination occurred at the beginning of the accounting year, the revenue from operations would have been higher by ₹ 1738 crore and profit after tax lower by ₹ 568 crore, for the year ended 31st March 2026.

	₹ in crore
Purchase consideration	
Tranche I - Cash consideration	1,191
Tranche II - Deferred consideration	1,668
	2,859
Analysis of cash flows on acquisition:	
Transaction costs of the acquisition (included in cash flows from operating activities)	(25)
Net cash acquired with the subsidiary (included in cash flows from investing activities)	82
	57

Transaction costs of ₹ 25 crore have been expensed and are included in other expenses.

Notes to consolidated financial statements

for the year ended 31st March 2026

Deferred consideration

As part of the purchase agreement with the previous owner of Damas LLC, a deferred consideration has been agreed. There will be additional cash payments to the previous owner based on agreed EBIDTA multiple for a defined period as per the share holders agreement.

As at the acquisition date, the fair value of the deferred consideration was estimated to be ₹ 1668 crore. The deferred consideration is classified as other financial liability. (See Note 14.3)."

- b. During the year, Titan Engineering & Automation Limited acquired 100% of the business of manufacturing specialised test and assembly automation equipment, from Justech Precision Industry India Private Limited ("Justech India") pursuant to a Business Transfer Agreement dated 4th April 2025, for a total cash consideration of ₹ 62 crore. Justech India, incorporated in 2019, is engaged in providing support services for assembly/manufacturing lines of electronic design and manufacturing industries. The objective of the acquisition is to streamline these support services and position itself as a comprehensive solution provider for the equipment used in assembling Customer's products.

The following table presents the purchase consideration, fair value of assets and liabilities acquired and goodwill recognised on the date of control.

Details of Fair value recognised on acquisition:

Particular	Valuation methodology	Fair value recognised on acquisition
		In ₹ crore
Intangible assets (Technology/knowhow) (Note 6.1)	Book value*	26
Inventories	Book value*	23
Property, plant and equipment (Note 3.1)	Book value*	7
Other current assets	Book value*	3
Other financial assets	Book value*	0
Trade receivables	Book value*	0
Provisions	Book value*	(0)
Trade payables	Book value*	(0)
Total fair value of net assets aquired (A)		58
Fair value of purchase consideration (B)		62
Goodwill arising on acquisition (C) = (B-A)		4

The goodwill of ₹ 4 Cr represents the assembled workforce, domain capabilities and expected synergies. Goodwill is allocated to Automation Solutions segment. The goodwill is not income tax deductible.

*Book values represent fair values as the assets will be realised and liabilities will be settled at book value post acquisition.

Notes to consolidated financial statements

for the year ended 31st March 2026

Purchase consideration	Amount (₹ crore)
Cash consideration	62
Total purchase consideration	62

If the acquisition had occurred on 1st April 2025, there would not be any difference in revenue and profit contributed by the aquired business.

41 Details of transactions with struck off companies during the year:

Name of Struck off Company	Nature of Transactions	Transactions during the year ended 31 st March 2026	Balance outstanding as at 31 st March 2026	Relationship with Struck off Company
Sew Eurodrive India Private Limited	Payables	0.05	-	Vendor
Sumitron Exports Private Limited	Payables	0.01	-	Vendor
Vani Private Limited	Payables	0.07	-	Vendor

Details of transactions with struck off companies during the previous year:

Name of Struck off Company	Nature of Transactions	Transactions during the year ended 31 st March 2025	Balance outstanding as at 31 st March 2025	Relationship with Struck off Company
There are no transactions with struck off companies during the year				
	-	-	-	-

42 The Group has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or
- provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

The Group has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Group shall:

- directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
- provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries."

43 Interest in joint venture

The Group has a 51% interest in Roberto Coin Middle East LLC., a joint venture involved in the trading of Jewellery. The Group's interest in Roberto Coin Middle East LLC is accounted for using the equity method in the consolidated financial statements. Summarised financial information of the joint venture, based on its Ind AS financial statements, and reconciliation with the carrying amount of the investment in consolidated financial statements are set out below:

Notes to consolidated financial statements

for the year ended 31st March 2026

Summarised balance sheet as at 31st March 2026:

	₹ in crore
	As at 31 st March 2026
Current assets, including cash and cash equivalents and prepayments	97
Non-current assets	41
Current liabilities, including tax payable	(40)
Non-current liabilities, including deferred tax liabilities and long-term borrowing	(30)
Equity	68
Group's share in equity- 50%	34
Goodwill	112
Currency translation difference	6
Group's carrying amount of the investment	152

Summarised statement of profit and loss of the Roberto Coin Middle East LLC.:

	₹ in crore
	For the 3 months ended 31 st March 2026
Revenue from contracts with customers	22
Cost of materials and components consumed	(10)
Employee benefits expense	(3)
Finance costs	(0)
Depreciation and amortisation expense	(3)
Other expenses	(5)
Profit before tax	1
Income tax expense	0
Profit for the year (continuing operations)	1
Total comprehensive income for the year (continuing operations)	1
Group's share of profit for the year	1

The joint venture had no other contingent liabilities or capital commitments as at 31st March 2026.

- 44** On 21st November 2025, the Government of India notified the four Labour Codes - the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020 - consolidating 29 existing labour laws. The Ministry of Labour & Employment published draft Central Rules and FAQs to enable assessment of the financial impact due to changes in regulations. The Group has evaluated and disclosed the incremental impact of these changes using the best information currently available, consistent with the guidance provided by the Institute of Chartered Accountants of India. Considering the materiality and regulatory-driven, non-recurring nature of this impact, the Group has presented such incremental impact amounting to ₹ 101 crore for year ended 31st March 2026. The increase is primarily on account of past service cost for gratuity and leave liability due to change in wage definition for employees and contract labour. The Group continues to monitor the finalisation of Central/ State Rules and clarifications from the Government on other aspects of the Labour Code and would provide appropriate accounting effect on the basis of such developments as needed.

Notes to consolidated financial statements

for the year ended 31st March 2026

45 Other statutory information:

- (i) The Group does not have any Benami property or any proceeding is pending against the Company for holding any Benami property.
- (ii) The Group do not have any charges or satisfaction which is yet to be registered with Registrar of Companies beyond the statutory period.
- (iii) The Group has not traded or invested in crypto currency or virtual currency during the financial year.
- (iv) The Group is not classified as wilful defaulter.
- (v) The Group doesn't have any transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 such as search or survey.

See accompanying notes to the consolidated financial statements.

As per our report of even date attached

for **B S R & Co. LLP**

Chartered Accountants

Firm Registration No.: 101248W/W-100022

Arjun Ramesh

Partner

Membership Number: 218495

Place: Bengaluru

Date: 8th May 2026

for and on behalf of the Board of Directors

Sandhya V Sharma

Chairperson (DIN: 08445015)

Srinivasan Varadarajan

Director (DIN: 00033882)

Ajoy Chawla

Managing Director (DIN: 07083700)

Ashok Sonthalia

Chief Financial Officer (M.No.: 055490)

Dinesh Shetty

General Counsel and Company Secretary (M.No.: F3879)

Place: Bengaluru

Date: 8th May 2026

Financial statistics under Ind AS - Last 5 years

₹ in crore

BALANCE SHEET	2021-22	2022-23	2023-24	2024-25	2025-26
(1) Non-current assets					
Property, plant and equipment, Capital Work-in-progress, Right of use assets and Intangible assets	1,996	2,288	2,778	3,112	3,438
Financial assets					
- Investments	869	1,116	6,178	6,386	6,836
- Other financial assets	548	574	733	798	873
Deferred tax asset (net)	136	144	153	125	129
Tax assets (net)	135	146	199	85	91
Other non-current assets	74	134	128	124	101
(2) Current assets					
Inventories	12,787	14,952	16,874	24,517	34,980
Financial assets					
- Investments	15	2,143	1,635	1,337	2,196
- Trade receivables	495	908	937	984	892
- Cash and cash equivalents	1,049	792	805	1132	850
- Other financial assets	1,181	790	1,152	849	1398
Other current assets	852	1,101	1,290	1,625	1,833
TOTAL APPLICATION OF FUNDS	20,137	25,088	32,862	41,075	53,617
Equity share capital	89	89	89	89	89
Other equity	9,284	11,905	14,368	16,722	20,398
Non-current liabilities					
- Borrowings	-	-	3,139	420	-
- Lease liabilities	1,026	1,359	1,666	1,943	2,142
- Provisions	179	214	238	256	213
- Deferred tax liability (net)	-	-			
Current liabilities					
Financial liabilities					
- Borrowings	225	1,190	2,670	7,483	6,239
- Gold on loan	5,161	5,090	4,938	7,043	14,314
- Lease liabilities	193	223	248	282	314
- Trade payables	1,055	965	943	1472	1915
- Other financial liabilities	429	497	624	1134	2244
Other current liabilities	2,386	3,365	3,801	4,069	5,466
Provisions	30	118	81	130	269
Current tax liabilities (net)	80	73	57	32	14
TOTAL SOURCES OF FUNDS	20,137	25,088	32,862	41,075	53,617

Financial statistics under Ind AS - Last 5 years

₹ in crore

PROFIT & LOSS ACCOUNT	2021-22	2022-23	2023-24	2024-25	2025-26
Revenue from operation	27,210	38,270	47,114	54,842	77,554
Expenses	23,931	33,500	42,090	49,550	70,251
Interest	195	240	480	767	955
Depreciation/Amortisation	347	364	447	537	596
Operating Profit/(loss)	2,737	4,166	4,097	3,988	5,752
Add: Other Income	246	299	510	493	535
Less: Exceptional Item	51	-	-	-	89
Profit before tax	2,932	4,465	4,607	4,481	6,198
Tax expense	752	1,132	1,063	1,146	1,568
Profit for the year	2,180	3,333	3,544	3,335	4,630
Other comprehensive income	(5)	(46)	(3)	(19)	(55)
Total comprehensive income	2,175	3,287	3,541	3,316	4,575
Equity Dividend (%)	750%	1000%	1100%	1100%	1500%
Equity Dividend (')	666	888	977	977	1332
Employee costs (excluding VRS)	1,143	1,362	1,503	1,717	2,041
% to Sales Income	4.20%	3.56%	3.19%	3.13%	2.63%
Advertising	474	739	829	979	1220
% to Sales Income	1.70%	1.93%	1.76%	1.79%	1.57%